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What's News

Business & Finance

- ◆ **An unruly bond market** that is sending borrowing costs to their highest levels in decades is stressing sovereign debt issuers and consumers in hock to creditors. In U.S. stock trading, the S&P 500, Nasdaq and Dow fell 0.7%, 1% and 0.8%, respectively. **A1**
- ◆ **The G-20 finance ministers'** gathering came to an awkward close amid bickering over tariffs, public insults and a row over a group photo. **A1**
- ◆ **Eurozone inflation** rose for a third straight month in August, reinforcing expectations that the ECB will raise its key interest rate next week. **A9**
- ◆ **OpenAI in a legal filing** hit back at an Apple lawsuit accusing employees of the artificial-intelligence lab of stealing trade secrets. **B1**
- ◆ **Nestlé will sell its** mainstream vitamins, supplements and minerals business for \$1 billion to Boston-based private-equity firm Yellow Wood Partners. **B2**
- ◆ **Medtronic raised** its outlook for the year after posting higher fiscal first-quarter profit and sales driven in part by contributions from newer growth platforms. **B2**
- ◆ **Novartis halted** eight clinical trials of an experimental therapy targeting autoimmune and neurological disorders after three patients died. **B2**
- ◆ **Gap tapped** the designer who turned Coach into a household name to create a new line of handbags using Gap's signature fleece and denim. **B3**
- ◆ **Chobani bought out** Keurig Dr Pepper's minority stake in the yogurt maker ahead of the seller's planned spinoff of its coffee business. **B3**

Worldwide

- ◆ **The U.S. carried out** new strikes on Iranian targets and Iran responded by firing missiles and drones across the Persian Gulf. Jordan, which hosts U.S. servicemembers in bases across its territory, reported engaging 13 ballistic missiles that entered its airspace. **A7**
- ◆ **Massachusetts Sen.** Ed Markey beat back a Democratic primary challenge from Rep. Seth Moulton in a fight that focused on the 80-year-old Markey's age and the future of the party. **A4**
- ◆ **The House voted** to censure Rep. Chuck Edwards over allegations he sexually harassed two young female staffers and created a hostile work environment. **A4**
- ◆ **The House passed** a bipartisan resolution to fund the government past a Sept. 30 deadline, with representatives eager to avoid a shutdown as they focus on the midterms. **A4**
- ◆ **Germany accused Russia** of being behind a plot to send explosive drones to a German airport last month and pledged to retaliate against Moscow. **A6**
- ◆ **Trump administration** officials are escalating an immigration crackdown on commercial truck drivers. **A3**
- ◆ **The man accused** of killing conservative activist Charlie Kirk potentially faces the death penalty after a judge ruled there was enough evidence to warrant a trial for aggravated murder. **A3**
- ◆ **The woman who died** in a stabbing attack in New York City's Times Square was identified as a vice president at Bank of America. **A3**

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Bond Rout Deepens Around Globe

Yields across the world soar in a rebuke to countries' heavy borrowing

By Chelsey Dulaney, Alexander Osipovich and Caitlin McCabe

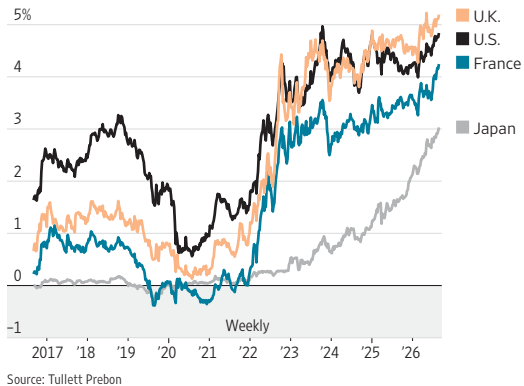
The global economy has a new challenge to surmount: an unruly bond market that is sending borrowing costs to their highest levels in decades. A rout in bond markets deepened on Tuesday when Japan's 10-year bond yield touched 3% for the first time since 1996. Markets in other heavily indebted nations had their own superlatives. The U.K.'s 30-year bond yield hit the highest level since 1998. Bond yields in Germany and France rose to their highest levels in more than a decade. The 10-year U.S. Treasury yield climbed closer to 4.8%, a level last touched in January 2025. The run-up in interest rates has profound consequences for the global economy, heaping pressure on everyone from home buyers to credit-card holders and especially governments, which have borrowed heavily in recent years.

The bond selloff has been building for weeks and reflects a number of drivers. A jump in oil prices this week after fighting resumed in the Persian Gulf was the latest catalyst. When energy prices rise and feed through to the economy, bond investors demand higher yields to compensate for higher inflation.

Heavily indebted countries—including the U.S.—have been hit hardest. This reflects

- ◆ **War complicates Fed's next move..... A2**
- ◆ **Heard on the Street: Oil prices hit bond market... B12**

10-year government bond yields



Cuba's Schools Reopen Amid Power, Water Crises



CHALLENGES: Children in Havana line up beneath portraits of revolutionary leaders Che Guevara and Fidel Castro on Tuesday. The first day of classes came as the island grapples with power, water and fuel shortages compounded by a U.S. oil embargo.

Summit Ends With Tension as U.S. Allies Push Back

ASHEVILLE, N.C.—Treasury Secretary Scott Bessent sought this week to convince global economic leaders that growth can outrun debt, but the G-20 gathering here ended Tuesday amid a global bond-market selloff, bickering over tariffs and a squabble over a group photo.

By Matt Grossman, Brian Schwartz, Paul Vieira and Kim Mackrael

The disconnect between the sideline feuds—a renamed Great Lake, a photo with a Russian minister—and the growing stress in global markets raised fears among many investors that leaders aren't confronting

Humble Debut for Shein IPO

Shein, the Chinese fast-fashion giant, made a subdued stock-market debut on Tuesday. Shares fell as much as 10% on the Hong Kong exchange before rebounding to close at the initial public offering price. Early Wednesday, the stock was down 3.3%. The valuation at the close was about \$26 billion—a far cry from its 2022 peak, when it was valued at \$100 billion in a funding round. **B1**

Shein share price on the Hong Kong exchange



Al Qaeda-Houthi Alliance Stirs New Trouble for U.S.

The militants threaten another Middle East oil-shipping route

By MICHAEL M. PHILLIPS

On a balmy evening, Jibril "One-Armed" Yahya Ali and his new bride set out for a honeymoon drive along the beach outside al-Ghaydah, Yemen. Jibril, a Somali, and his Yemeni wife had met through a mutual acquaintance, an arms dealer who helped Jibril buy military-grade weapons from Yemen's Houthi rebels. Jibril would then smuggle the arms to al-Shabaab, an Islamist insurgent group fighting to overthrow the government in Somalia. The budding alliance benefited both sides. Al-Shabaab, the world's richest al Qaeda wing, had cash but needed weapons and

training. The Houthis had sophisticated arms and tech know-how, but coveted money and a new perch for attacks against the West.

The exchange also made Jibril a target. On Feb. 12, four months after Jibril married Budoor Murshid, the couple took the Toyota Corolla on their sunset drive. Budoor's phone rang. They parked, and Budoor

U.S., Iran Trade Fire

Trump answers Iranian attacks on ships, mining of Strait of Hormuz with new strikes..... A7

Russia Skirts Sanctions Through Island Haven

By NOEMIE BISSEBEE AND THOMAS GROVE

MALÉ, Maldives—The white-sand beaches, turquoise waters and secluded luxury resorts of this South Asian archipelago attract millions of tourists each year. But a new trade has quietly emerged behind the postcard-perfect backdrop: a web of companies helping Russia evade sanctions. Hundreds of millions of dollars in goods that are restricted or destined for companies under sanction have changed hands at the airport, according to documents reviewed by The Wall Street Journal and interviews with Western officials. Some of these goods serve both civilian and military uses. The airport's cargo holds are often filled with aircraft parts, electronic components and other restricted goods, according to the documents and officials. The amount of goods flowing through the Maldives is rel-

atively small when compared with Russia's biggest channels for sanctions evasion, including China, Turkey and the United Arab Emirates, which together account for about \$15 billion in restricted Russian imports annually. But the flow of goods through the Maldives, which hasn't previously been reported, shows how expansive Russia's efforts to thwart Western restrictions are. Through more than four years of war, Moscow has repeatedly shown it can find the gaps in sanctions, leaving Western officials playing a game of whack-a-mole as they try to halt the flow of goods that sustain Russia's war effort and economy. The documents reviewed by the Journal—air waybills, a cargo manifest, and emails between logistics companies—paint a picture of how the system in the Maldives works. A commercial flight operated

INSIDE



PERSONAL JOURNAL
Sorting out the differences among fast passes through airport security. **A10**



SPORTS
Stan Kroenke expands his sports empire with \$4 billion Angels purchase. **A16**

U.S. NEWS

Iran War Complicates the Fed’s Next Move

Rate decision in two weeks is a close call as elevated prices for energy persist

By Nick Timiraos

Rising oil prices are forcing central banks to decide how long they can treat the Iran war’s effect on inflation as temporary. For the Federal Reserve, investors increasingly think the answer is not much longer. Treasury yields have climbed alongside crude prices in recent days, with rates on the benchmark 10-year note reaching the highest levels of President Trump’s term. Rising energy costs tend to lift yields either way: Investors expect either higher inflation or the Fed to raise rates to prevent it. Fed governor Michael Barr said Tuesday that the central bank should begin raising rates this month unless new data show price pressures are easing. “If inflation appears not to be moderating sufficiently, then I think we should act decisively to raise rates,” he said

during a speech in Washington. He said the Fed had brought inflation down to a bit above 2% by 2024 but that progress stalled last year under the weight of tariffs, the conflict in the Middle East and the artificial-intelligence build-out. The comments underscore how close a call the Sept. 15-16 meeting has become. The decision will turn on developments over the next two weeks, including the August inflation report due Sept. 11. Three of Barr’s colleagues voted to raise rates when the Fed held steady in July. Fed Chairman Kevin Warsh said last week that he was watching more than the data releases. In explaining the July decision to hold steady, he said the majority of officials wanted to assess new information, “especially given possible developments in supply chains, investment flows, and geopolitics.” By that standard, a conflict that keeps going and sustains higher energy prices is the kind of development that would shape their thinking. Warsh offered a broader as-



Fed governor Michael Barr said the central bank should raise rates this month unless new data show price pressures easing.

essment of the moment on Monday. Speaking as co-host of the G-20 finance leaders’ summit in Asheville, N.C., alongside Treasury Secretary Scott Bessent, Warsh said that the era of a global savings glut—the idea that capital would sit idle for want of opportunities—had given way to “a global investment surge.” While the comment implies long-term rates should sit higher than they did over the

past decade for reasons that have little to do with the Fed, investors nonetheless read it as supporting expectations for higher rates, said strategists at JPMorgan Chase. Central banks have generally let energy shocks pass rather than respond to them, on the theory that the price increase fades and raising rates would only slow an economy that the shock itself is already slowing. The problem for the

Fed is that this one hasn’t faded. The war with Iran began at the end of February, when officials and investors assumed the disruption would be measured in weeks. Six months later it is unresolved. The shock hit an economy where inflation already has run above the Fed’s 2% target for five years. The longer that continues, the more likely it is that businesses and workers start building higher prices into their plans. The European Central Bank raised rates in June and is expected to do so again at its meeting next week, treating the run-up in energy prices as a risk to those inflation expectations. Fed officials have been watching so-called core inflation, which strips out volatile food and energy prices. That measure had been firmer than expected for the first five months of the year, and even though June and July looked better, Warsh said last week that they hadn’t convinced him the underlying trend was improving. On Monday, Bessent treated recent data as evidence the Fed should stay put. “It is my belief

that we’ve seen a supply shock,” he said on CNBC. “Traditionally, you don’t raise [rates] into a supply shock unless you see second- or third-order effects, and we are seeing the core inflation has remained very, very restrained.” Warsh hasn’t said how the Fed will respond, in keeping with his view that the central bank should take cues from markets rather than guide them. He has said that investors left to draw their own conclusions produce a more useful signal than one shaped by Fed forecasts. Markets think the Fed will raise rates, if not in September, then by December, raising the stakes no matter what the central bank does this month. If it lifts rates, investors will want to know whether additional increases are coming, which could push long-term rates higher still. If the Fed holds, they will want to know how that squares with a chairman who said inflation isn’t improving and that borrowing and lending conditions aren’t restraining the economy.

Bond Rout Pressures Governments

Continued from Page One investor concerns about a potential debt spiral, in which higher yields drive up the cost of refinancing existing debts, requiring even more borrowing. A flood of bonds issued by U.S. tech companies to pay for the artificial-intelligence boom is also pushing yields higher by eating into demand for government debt, investors said. The surge in bond yields comes despite efforts by finance ministers to calm the markets while assembled as guests of Treasury Secretary Scott Bessent at the G-20

meeting in Asheville, N.C. Stock markets have mostly shrugged off the bond selloff so far, though indexes fell on Tuesday. The Dow Jones Industrial Average declined 0.8%, the S&P 500 retreated 0.7% and the Nasdaq composite lost 1%. Some are betting that a sustained rise in bond yields could prick what many see as a bubble in AI-driven stocks. “We’re in the danger zone already,” said Derek Halpenny, European head of global markets research at MUFG. He said the higher interest rates go, the risk increases of a disruptive stock-market unwind. Central banks are shifting to a more aggressive approach to fighting inflation as the war in the Middle East drags on and energy prices climb again. Federal Reserve Chairman Kevin Warsh’s speech on Friday offered investors the lat-

est evidence that central bankers don’t think the battle against inflation is over. Investors have increased bets that the Fed will raise rates this month—and be joined by several other central banks. Markets are pricing in rate-increases in the coming weeks from the European Central Bank, Bank of Japan and the central banks of Australia and New Zealand. But bond markets aren’t waiting for central banks to act. “The situation in the Middle East remains unresolved and oil prices are creeping back higher, which in turn means that there’s a risk that inflation will continue to overshoot central bank targets,”

said Christopher Iggo, a strategist at BNP Paribas Asset Management. “As a result, central banks may have to raise interest rates.” Global oil prices have climbed about 13% over the past month, sending benchmark Brent crude back above \$94 a barrel. Natural-gas prices overseas also jumped to multiyear highs as European and Asian buyers scramble for a smaller supply of LNG shipments. Japan’s bond market has been swept by one of the most aggressive selloffs this year, with yields on its benchmark 10-year note rising to 3% from around 2% in January. After decades battling deflation, in-

flation is now on the rise in Japan. The Bank of Japan has been slow to increase rates, which has been weighing on the value of the yen. Investors believe it will soon pick up the pace of tightening. Bessent on Monday helped reinforce those bets. “It’s my belief that the Japanese government and the BOJ will do the things that will lead to a stronger yen,” Bessent said on CNBC. Markets now expect the Bank of Japan’s rate to end the year at about 1.4%, while three months ago investors expected the central bank to keep its key rate on hold at 1% all year. Rising borrowing costs are also driving up the cost of refinancing Japan’s debt load as Prime Minister Sanae Takaichi boosts spending. To be sure, the moves in the bond market have been

relatively orderly and have yet to trigger a broader selloff in currencies, stocks and other asset classes. Ben Kizemchuk, a Toronto portfolio manager at Wellington-Altus Private Wealth, said Japanese yields are coming into greater alignment with those in the U.S. and Europe. “It’s more like a global repricing of sovereign debt,” he said. “Markets are beginning to price in a world where economies are converging.” Rising yields are leading investors like Florian Ielpo, a portfolio manager at Lombard Odier Investment Managers, to rethink their investment strategies that give greater weight to stocks over bonds. As yields rise, the steady income of bonds becomes more attractive compared with risky stocks. He still prefers stocks for now, but his mind is beginning to change.

G-20 Talks Marred By Strife

Continued from Page One challenges that could quickly spiral out of control. As their meeting concluded Tuesday, the benchmark 10-year Treasury yield rose to 4.795%, the highest since President Trump began his second term. In a press conference Tuesday night at the conclusion of the gathering in the Blue Ridge Mountains, Bessent said meetings were productive, tackling trade imbalances, artificial intelligence and sovereign debt. “With America once again leading this forum, the days of settling for subpar growth are over,” he said. “The discussions we’ve had here this week leave me confident that many of our partners are now prepared to join us.” Earlier Bessent had said: “The world is awash in debt. The only way for us to get out of this is to grow our way out of it.” The bond market, however, is rebelling against that premise, as a selloff is sending yields higher and raising governments’ interest expense. The argument is particularly tricky for the U.S. because the country is carrying a staggering \$40 trillion in government debt. It was a summit of squabbling from the start. The proceedings had barely begun when Bessent mocked Canada’s military, dismissing it with a reference to a decommissioned amusement-park ride. Canadians seethed at Trump’s move to rename Lake Ontario as “Lake America” and redoubled their efforts to build closer trading ties with other countries. Other delegates said that the spat between close allies was an unnecessary distraction. “I think that in this world where tensions are numerous, it’s probably no time to add tensions, especially between two historical partners,” Finance Minister Roland Lescure of France said. Meanwhile, Europeans



Treasury Secretary Scott Bessent sought this week to convince global economic leaders that growth can outrun debt.

were furious that Russia’s finance minister was invited. Russia hadn’t previously been invited since it invaded Ukraine in 2022. Bessent released a statement that he said reflected the general position of every country present except for China, which he said was unlikely to agree to a pointed statement about trade imbalances. The Wall Street Journal didn’t independently confirm that all countries at the summit agreed with the statement. “In particular, countries with excessive and persistent external surpluses should remove distortions that constrain domestic consumption and that result in an overreliance on exports for growth,” the Treasury statement said. Bessent’s threats to impose sanctions on Iran’s trading partners hovered over his meeting with China’s central-bank governor Sunday. Bessent later told former Trump adviser Larry Kudlow at a G-20 event that the longtime U.S. adversary is on their side when it comes to certain aspects of the Iran conflict, such as the need to fully reopen

the Strait of Hormuz and keep Iran from acquiring a nuclear weapon. China is a top trading partner with the Iranian regime. The summit convened finance ministers and central bankers from the Group of 20 rich and developing countries. The G-20 intends these events to be a substantive appetizer for the leaders’ summit, which Trump is scheduled to host this year at his Doral, Fla., resort in December. Traditionally, the summit is held to bring together the top finance ministers and find a way for them to coalesce around joint challenges. With 20 countries, there are often differing opinions and factions. But this summit appeared never to have had much momentum. Even the simplest goals spurred divisions. Before the U.S. attempted to gather the top attendees Monday for a “family photo,” a tradition of such summits, the Europeans blanched. Ministers said they wouldn’t participate if Finance Minister Anton Siluanov of Russia was in the photo, people familiar with the matter said.

“The joint approach of the Europeans—for which I am also very grateful—ultimately led to this family photo taking place without the Russian finance minister, without the Russian delegation,” Finance Minister Lars Klingbeil of Germany said. “A family photo at that point would have gone a step too far for me, and that is why I clearly rejected it,” Klingbeil said. Bessent said of Siluanov’s presence: “I know that some Europeans had a sour taste, but I think it’s very important to engage.” Just as the meetings were getting started, Bessent had harsh words for Canada, saying it was impossible for the U.S. neighbor to be in a tit-for-tat trade war with “someone who’s 13 times larger than you are.” Bessent also joked that Canada might send minisubmarines previously used on an amusement-park ride to attack the U.S. The U.S. defense secretary, Pete Hegseth, posted a photo on social media of two young women at a Canadian cadet training center that was interpreted as mocking their weight and gender. “When the Americans stop

doing memes, stop throwing shade, stop trying to be tough, and start being serious about having those discussions, we can have those discussions. But look, it’s not constructive,” Prime Minister Mark Carney of Canada said in Ottawa on Tuesday. The Treasury Department didn’t respond to requests for comment about the summit. Finance Minister Francois-Philippe Champagne of Canada said Russia’s representation at the meeting created discomfort for countries in attendance. Champagne met with Bessent Tuesday. “The message I am going to bring, of course, is that we are going to stand up for our workers,” he said before the meeting. The Treasury secretary arrived making the case that the Trump administration was well on its way to fixing the U.S. economy. The government is running huge budget deficits, gasoline prices are high, the labor market lost 23,000 jobs in July, and inflation is above the Fed’s target. The prolonged standoff between the U.S. and Iran has added to inflation and put bond markets on edge.

CORRECTIONS & AMPLIFICATIONS

Eva Seiwert with Mercator Institute for China Studies said: “Publicly, I would expect Xi to stick to China’s familiar language: warning against escalation and calling for de-escalation, dialogue and a political settlement. That would allow Beijing to signal concern about a wider conflict without directly criticizing or publicly confronting Moscow.” In some editions Monday, a World News article about Xi Jinping and Vladimir Putin incorrectly attributed the quotation to Tatiana Stanovaya at the Carnegie Russia Eurasia Center.

Readers can alert The Wall Street Journal to any errors in news articles by emailing wsjcontact@wsj.com or by calling 888-762-5450.

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U.S. NEWS

Immigration Crackdown Targets Truckers

U.S. officials close driving schools and demand licensing data from states

By MARIAH TIMMS
AND ESTHER FUNG

Trump administration officials are escalating an immigration crackdown on commercial truck drivers, setting off a new clash with Democratic-led states.

Both the Homeland Security and Transportation Departments are demanding licensing data across the U.S. about immigrants driving trucks, in a hunt for what they say is a rash of drivers with improper certifications.

The administration has forced the closure of some commercial-driving training schools and apprehended drivers who have commercial licenses but may be in the country illegally. On Monday, U.S. officials said they were intensifying those efforts.

Transportation Secretary Sean Duffy said his agency forced the emergency shutdown of nearly 300 driving schools. Of those, 110 schools were responsible for a disproportionate number of commercial license applicants who couldn't pass the English-language proficiency element of the licensing test, and 160 were operating out of facilities too small or unequipped to train applicants on the intricacies of large vehicle operations, he said.

About 200,000 immigrants in the U.S. hold licenses that allow them to haul freight professionally, representing about 5% of all license holders nationwide, according to the Federal Motor Carrier Safety Administration. The licenses are available to drivers who aren't U.S. citizens or lawful permanent residents. The administration is focusing in part on drivers whose licenses may still be valid or in use after their relevant visas or work permits expired.

A handful of high-profile fatal crashes involving noncitizen truck drivers have become a rallying cry in some conservative circles, heightening calls for increased oversight of the industry.

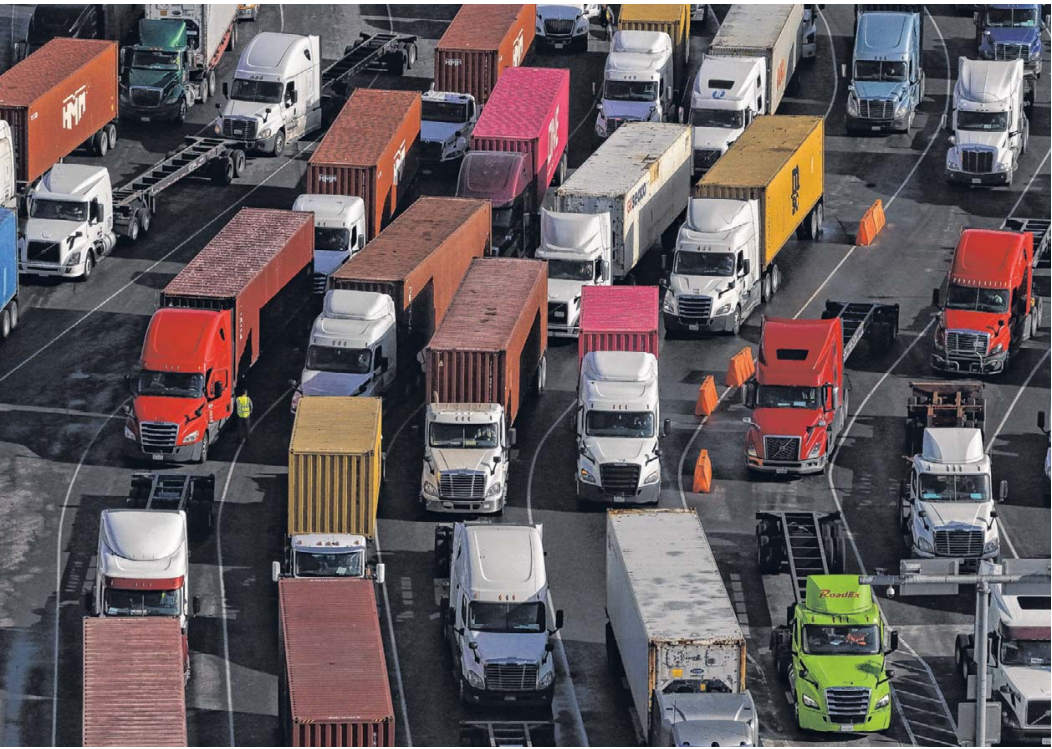
This August marked the first anniversary of a deadly crash in Florida, where a noncitizen driver allegedly performed an illegal U-turn, blocking traffic and causing a pileup that killed three people, according to the Florida Department of Highway Safety and Motor Vehicles. At Monday's event, Trump administration officials were joined by a young California girl who at age 5 was severely injured in a six-car pileup in 2024 that DHS said was the fault of an immigrant truck driver.

Overall, 5,350 people died in large truck crashes in 2024, according to the most recent data available from the nonprofit Insurance Institute for Highway Safety.

Immigration officials have set up stings on interstate highways for months, sweeping up hundreds of migrants who allegedly are in the U.S. illegally. In one three-day operation in July that focused on highways in Illinois, Indiana, Iowa and Ohio, DHS said it took 766 drivers and vehicles "out of service." The department also detained 51 immigrants it said were in the U.S. illegally and issued 36 violations to drivers for failing English-language proficiency tests.

Objecting states say that while federal regulations guide much of the licensing standards for truck drivers, registration and compliance is managed by the states—and isn't intended for use in immigration enforcement.

The crackdown during President Trump's second term has contributed to a driver shortage in the U.S., some freight companies have said. And they are stepping up efforts in driver recruitment and retention, including offering higher wages.



Trucks at California's Port of Oakland early this year. An immigration crackdown has contributed to a driver shortage.

"We've probably more than doubled, if not tripled, the size of our driver recruiting team. They're hitting the phones. We're increasing advertising and marketing to get drivers in," Brad Delco, chief financial officer of JB Hunt Transport Services, said during a recent investor event.

"He who has the driver wins," Delco said.

Some small businesses have said they are experiencing worse service from trucking companies since the start of the year. Shipping rates and fees have also gone up. "If you order a truck, it doesn't come," said Michael Goldblatt, a Pennsylvania business owner who sells tire chains.

The biggest fight is over access to a database that

holds information about 17 million drivers, including truckers, school-bus drivers, garbage-truck operators and other large-vehicle drivers.

At the center of the dispute is the American Association of Motor Vehicle Administrators, which holds all the data. The Transportation Department in August threatened to pull the organization's funding if it didn't comply with a demand for years of data on millions of drivers. DHS issued a subpoena for the same records.

A group of more than 20 states sued in a bid to block the federal data demands, arguing the administration is violating U.S. privacy laws.

A federal judge has issued a temporary restraining order blocking the data sharing for now.

Kirk Judge Backs Death-Penalty Trial

By JACK MORPHET
AND ALYSSA LUKPAT

The man accused of killing conservative activist Charlie Kirk potentially faces the death penalty after a Utah judge ruled on Tuesday there was enough evidence to warrant a trial for aggravated murder.

Tyler Robinson, 23 years old, was in court for an evidentiary review, an early stage of the process under Utah law in which prosecutors need to show they have enough evidence to establish probable cause and move forward.

Robinson is accused of fatally shooting Kirk last September while the 31-year-old spoke at an outdoor event at Utah Valley University. The event

was part of a campus tour for Turning Point USA, the conservative organization for young people Kirk co-founded.

District Judge Tony Graf sided with prosecutors' argument that the shooting endangered others besides Kirk, which is key to the heightened aggravated murder charge, a capital felony that makes the death penalty an option in a conviction. He said his decision wasn't a ruling on Robinson's guilt.

"These circumstances support a reasonable inference that defendant was aware that other individuals were positioned near Mr. Kirk when he fired," Graf said.

Robinson pleaded not guilty on Tuesday.

Kirk's family said they hoped for a timely legal process. "Today's decision, which comes nearly a year since Charlie was taken from us, marks an important step in our family's pursuit of justice for him," they said.

The lethal shot came from roughly 400 feet away and if Robinson was off by just one degree, the bullet would have missed by 7 feet, Deputy Utah County Attorney Ryan McBride said in court Tuesday.

"You can't shoot a rifle into a crowd of 3,000 people without knowing that you create a great risk of death to all those around your target," he said.

Robinson's defense tried to have the death penalty taken off the table and reduced to a

lesser charge of murder, which carries a minimum sentence of 15 years and a maximum of life in prison.

Defense attorneys argued in court filings that Robinson didn't knowingly create a great risk to others because he "did not miss his intended target and did not chamber another round."

"There is one shot, there is one bullet, there is one victim," defense attorney Staci Visser said in court on Tuesday. "There was no evidence that would suggest anyone else was threatened."

The fact Robinson didn't reload his grandfather's bolt-action rifle proved he never intended to harm anyone other than Kirk, the defense argued.



Bank of America VP Identified as Stabbing Victim

By JACK MORPHET

The woman killed in an unprovoked stabbing Monday in Midtown Manhattan has been identified as a vice president in Bank of America's global corporate and investment bank division.

New Jersey resident Erin Piacenti, 32 years old, was in Times Square when a woman

armed with knives attacked her and a man shortly after 4:20 p.m., according to the New York City Police Department.

"We are shocked and deeply saddened by the tragic loss of our colleague. She was a valued teammate who will be greatly missed," a Bank of America spokesman said. "Our hearts go out to her family

and all of her loved ones."

Piacenti was stabbed in the abdomen near Seventh Avenue and West 42nd Street in what Police Commissioner Jessica Tisch called a seemingly "random and unprovoked attack."

The 68-year-old man who was also stabbed was in a stable condition at Bellevue hospital on Tuesday.

Police identified the woman



Erin Piacenti, shown above, was fatally stabbed in Times Square in what the NYPD called a seemingly 'random and unprovoked attack.' The 32-year-old worked as a vice president in Bank of America's global corporate and investment bank.

who attacked the two victims as Pamela Cisneros, 49. Officers used a Taser and then shot Cisneros as she walked toward them brandishing two large knives, the department said. She was taken to Bellevue, where she died, police said.

An investigation into the fatal shooting is being handled by the NYPD Force Investigation Division.

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U.S. NEWS

House Issues Censure in Harass Case

Republican member Edwards is rebuked over advances to staffers in 413-2 vote

By MAYA DAVIS

WASHINGTON—The House voted overwhelmingly Tuesday to censure Rep. Chuck Edwards (R., N.C.) over allegations that the married lawmaker sexually harassed two young female staffers and created a hostile work environment.

The measure passed 413-2. Edwards and Rep. Ralph Norman (R., S.C.) voted no.

Censure is a public rebuke and is the most serious statement of disapproval short of expulsion. The vote came about a month after a House Ethics Committee investigation found there was “substantial evidence” Edwards violated House rules in his actions regarding the staffers, who later left his office, and recommended he be censured.

“I’m sorry that my actions, my judgment, or the way that I expressed a friendship ever put either of you in an uncomfortable position,” Edwards said in a floor speech Tuesday, referring to the staffers. He also apologized to his wife for actions that subjected her to scrutiny and embarrassment. Still, he said, “regret is not an admission of sexual harassment” and he urged colleagues to vote against the measure.

The Ethics Committee concluded that Edwards, 65, made persistent unwanted advances toward two staffers that included “lavish” gifts, notes and poetry expressing affec-



Rep. Chuck Edwards (R., N.C.), seen in Congress on Tuesday, apologized to his former staffers and wife but denied harassment.

tion, and invitations to intimate dinners and vacations. Gifts included jewelry valued at over \$1,000, designer purses, guns, shoes, a laptop, a cellphone, a KitchenAid mixer, a robotic vacuum, and vacations, the committee said.

One woman was 19 years old when she first worked in his state office—hired while still in college—and the other was in her early 20s.

After the vote, Edwards stood in the well of the House floor as Speaker Mike Johnson (R., La.) read out the finding of censure. Censures were once rare but have become

commonly used in recent years as a partisan tool. Tuesday’s vote marked a rare bipartisan rebuke.

Edwards spent the August recess lobbying lawmakers to vote no. Last week, he sent a 22-page letter to his colleagues arguing the ethics report findings were unsubstantiated.

Rep. Michael Guest (R., Miss.), who chairs the Ethics Committee, said that the committee’s findings contradicted many of the points Edwards raised in his letter.

“We deliberated carefully over those allegations, and so I would say I disagree with

the way or the light in which Mr. Edwards paints his actions,” Guest said.

Rep. Teresa Leger Fernández (D., N.M.), who chairs the Democratic Women’s Caucus, argued a censure vote wasn’t strong enough. “These women lost their jobs because of Mr. Edwards’s behavior. He should lose his,” she said.

The Democratic Women’s Caucus said it is planning a legislative package with the Republican Women’s Caucus to address sexual misconduct in Congress. They are considering language that bans relationships between lawmakers

and staff and strengthens whistleblower protection.

A series of House members have come under scrutiny for sexual misconduct this term. The Ethics Committee is investigating Rep. Jimmy Gomez (D., Calif.) over sexual-misconduct allegations and Rep. Max Miller (R., Ohio) over claims of domestic violence. Rep. Cory Mills (R., Fla.) has been under investigation since 2025 for allegations including dating violence. All have denied wrongdoing.

Edwards dropped his reelection bid after the ethics report came out.

Markey, Age 80, Prevails In Senate Primary

By KEN THOMAS

WASHINGTON—Massachusetts Sen. Ed Markey, who has spent nearly a half-century in Congress, beat back a Democratic primary challenge Tuesday from Rep. Seth Moulton in a generational fight that centered on Markey’s age and the future of the party.

Markey, an 80-year-old liberal who has focused on climate change, defeated Moulton, 47, who has frequently tangled with establishment figures within the party.

But while several aging Democratic lawmakers lost their primaries to younger challengers this year, Markey managed to prevail, saying he was energized by serving as a bulwark against President Trump in one of the nation’s most reliably Democratic states.

With 25% of the expected vote counted, Markey had 65% and Moulton had 35%, according to the Associated Press.

Markey, who served decades in the House before moving to the Senate, succeeded where some Democrats had failed against younger challengers. Rep. John Larson (D., Conn.), a 78-year-old lawmaker, was defeated last month by former Hartford Mayor Luke Bronin, 47, in the party primary. In other House races, younger candidates with ties to the Democratic Socialists of America ousted a group of older incumbents in New York, Colorado and Michigan.

Moulton tried to seize upon Markey’s age as a call for change. But Markey was helped by his support among liberal voters along with endorsements by progressive stars such as Vermont Sen. Bernie Sanders and Rep. Alexandria Ocasio-Cortez (D., N.Y.), major labor unions and youth groups such as the College Democrats.

Markey also criticized Moulton for questioning whether transgender athletes should be allowed to compete in women’s and girls’ sports.

Markey will be heavily favored against Republican John Deaton, who lost to Sen. Elizabeth Warren (D., Mass.) in the 2024 Senate election.



Markey celebrates his win.

Lawmakers Pass Funding To Avoid Federal Shutdown

By TERELL WRIGHT

WASHINGTON—The House overwhelmingly passed a bipartisan resolution to fund the government past a Sept. 30 deadline, with both Democrats and Republicans eager to avoid a shutdown and leave Washington as soon as possible to campaign ahead of the midterms.

The resolution, which passed 370-48, extends current funding levels through Dec. 11. The Senate passed the stopgap spending bill in August, and it now goes to President Trump’s desk.

The measure, which came to the floor under a fast-track method that requires two-thirds support, was backed by the White House.

“We want to get a longer-term deal, but at a minimum, let’s ensure that we can continue to see government properly funded and functioning,” House Speaker Mike Johnson (R., La.) said on Tuesday.

Passage of the measure put off further fights over spend-

ing until after the midterm election.

This year, funding lapsed for more than two months for the Department of Homeland Security, because of Democratic officeholders’ anger over the killings of two American citizens by immigration officers. Last year, funding for the entire government lapsed for 43 days in a fight over health care funding.

On Tuesday, many House Democrats who previously opposed the measure backed it after Republicans agreed to increase funding for programs including the Supplemental Nutrition Assistance Program, disaster relief and federal housing initiatives.

The resolution also temporarily blocks political appointees at the Office of Management and Budget from interfering in grant decisions

and cuts off any new money from going to immigration enforcement—including funds transferred between agencies. The provision didn’t go over well among some Republicans.

Some GOP members also expressed concerns that the bill included a Senate provision

that delays restrictions on intoxicating hemp products.

Rep. Chip Roy (R., Texas), who voted against the resolution, said it failed to “deliver on common-sense policies,” citing the lack

of more funding for border enforcement and the delay on the hemp-product ban.

Roy, who lost his primary in May, said his GOP colleagues just want to go home and campaign. “But if everybody thinks that just making nice and playing ‘prevent defense’ is going to win in November, I disagree,” he said.

The measure put off further fights until after the midterm voting.

Vance Makes Pitch to Jewish Republicans

Vice President JD Vance delivered closed-door remarks to Jewish Republicans in Las Vegas on Monday night, covering a range of topics, including the Michigan Senate race, the influence of podcasters and the U.S. relationship with Israel.

By Natalie Andrews, Marianne LeVine and Josh Dawsey

In a room of roughly 1,000 attendees, Vance disparaged Michigan Senate candidate Abdul El-Sayed. He reaffirmed the U.S. relationship with Israel but warned of “growing suspicion” of Israel among Americans under the age of 40. He stopped short of disavowing former Fox News host Tucker Carlson, who has angered Jewish Republicans by hosting Holocaust deniers on his podcast and criticizing Israel.

Vance is seen as likely to run for the Republican presidential nomination in 2028 and has at times been critical of the U.S.-Israel relationship.

The event, closed to the press, was hosted by the Republican Jewish Coalition, a



Vice President JD Vance covered a range of topics in Sterling Heights, Mich., on Monday before the event in Las Vegas.

political-advocacy organization that works to strengthen the relationship between Republican lawmakers and the American Jewish community.

Vance was interviewed by former Sen. Norm Coleman, the national chairman of the Republican Jewish Coalition.

A spokeswoman for Vance didn’t respond to a request for comment.

Coleman asked Vance about the booming ecosystem of podcasters, some of whom have

criticized Israel, condemned the Iran war and platformed guests who espouse antisemitic views. He specifically mentioned Carlson, Megyn Kelly and Joe Rogan.

Vance this summer was a guest on both Rogan’s and Kelly’s podcasts. He said Rogan’s audience consists of the type of people Republicans need to win over in the midterms.

Many in the audience wanted to see Vance break with Carlson, a longtime friend, who is a critic of Israel and most re-

cently called for Trump’s removal from office. Vance didn’t weigh in on Carlson.

Vance blamed the rise in antisemitism on immigration into the U.S. and said “what we see is [that] the worst antisemitism grows up when you allow the importation of large groups of people who bring their ethnic rivalries in the United States.”

He said the U.S. relationship with Israel is “one of our most important alliances in the world and certainly our most important regional alliance,” according to the person in the room.

Vance called growing suspicion of the U.S.-Israel relationship from people under 40 one of the “obvious elephants in the room.” While support for Israel has been a bedrock principle of the Republican Party for decades, young conservative voters have increasingly questioned that support.

“My view is what we have to do is articulate why this is in the best interest” of the U.S., Vance said, giving an example that the U.S. is working with Israel on top-secret technology key to the North American Missile Defense Shield.

Photo With Trump? That’ll Be \$88,600

By MARIANNE LEVINE

Republicans are planning to raise millions of dollars during the coming GOP midterm convention in Dallas, including asking donors to pay more than \$88,000 for a photo with President Trump.

The Republican National Committee sent out invitations this week to a pair of fundraising events during the convention. A roundtable with Trump on Sept. 9 will cost \$250,000 a person to attend, according to the invitation, which was reviewed by The Wall Street Journal. Donors can also take a photo with the president for \$88,600.

A second roundtable featuring Vice President JD Vance on Sept. 10 will cost \$75,000 a person. Similar to Trump’s event, donors can separately select to take a photo with Vance at the event for \$35,000, according to the invitation.

An RNC spokesman didn’t respond to a request for comment.

It is rare for a party to hold

a midterm convention, but Republicans are betting that the event will boost their prospects heading into an election in which they face the prospect of losing control of Congress. Vance and Trump are scheduled to deliver keynote addresses at the two-day convention.

The president has said that he will campaign in support of Republican candidates this fall, but he has also acknowledged that midterm elections typically don’t favor the party in power.

“When you’re president, whether you’re a Republican or Democrat or whether you’re a good president or a bad president, you lose the midterms, nobody knows why,” Trump said in an interview over the weekend with former Rep. Trey Gowdy. “Some people like me more than they like the party.”

The president attended another RNC fundraiser last week in Texas, where Republicans are hoping he will help their Senate candidate, state Attorney General Ken Paxton.

WORLD NEWS

Germany Blames Russia for Blast Device

In rare move, Berlin said it would retaliate for explosive drone at Leipzig airport

By BERTRAND BENOIT AND DANIEL MICHAELS

BERLIN—Germany accused Russia of being behind a plot to send explosive drones to a German airport last month and pledged to retaliate against Moscow, a rare public attribution of blame in the widening campaign of incursions and sabotage across NATO territory.

“We do not consider ourselves at war but we are the daily target of hybrid warfare,” said German Interior Minister Alexander Dobrindt, announcing the findings Tuesday from an investigation into the incident at Germany’s Leipzig airport last month, for which he said Russia was responsible.

North Atlantic Treaty Organization Secretary-General Mark Rutte said the evidence was clear that Russia conducted a hybrid attack on the airport. “Russia’s attempts to intimidate us, to undermine our unity and our willingness to support Ukraine are futile and will fail,” he wrote on X.

European Commission President Ursula von der Leyen said she spoke with German Chancellor Friedrich Merz about “this attack by Russia,” and that sanctions and other measures would be prepared in response.

The drone incident marked a serious escalation in what European security and military officials have described as Moscow’s probing attacks on North Atlantic Treaty Organization defenses. Had it caused an explosion deep inside German territory, it could have been an act of war.

German investigators found three custom-made drones involved in the failed attack: Two in a field and one in the perimeter of the airport near Ukrainian-owned cargo planes, said a German security official.

All were functional, laden with explosives, and professionally constructed, using some off-the-shelf components, but failed to detonate.

The drones likely were transported to Leipzig by low-level agents, the official added, but would have been piloted by people much farther away. Investigators connected certain individuals to the drones in a way that supported the attribution, the person said.

In response, the German government said it would close the last Russian consulate in the country, revoke the lease for a large Russian cultural center in Berlin, summon the Russian ambassador and tighten restrictions on Russians entering Germany.

Berlin said it would push for

tighter European Union sanctions against Russian shadow-fleet vessels, an expansion of the bloc’s sanctions against Russians involved in hybrid attacks, and restrictions on Russian diplomats’ ability to travel around Europe. The government is also taking unspecified security measures to better parry hybrid attacks, another senior official said.

The measures were decided by Chancellor Friedrich Merz, who consulted with European partners and the U.S., this person said. They were designed

to leave room for escalation should Russia raise its provocations, which Germany was bracing for, the person added.

The official said Russian President Vladimir Putin grossly underestimated the West’s resolve to support Ukraine and had no strategic response to it. He was now reacting by seeking to escalate the conflict vertically, with more brutal attacks on civilians in Ukraine, and horizontally, by lashing out against Ukraine’s partners in Europe.

“The means used—such as the drone configuration, components, explosives and detonation systems—are known to us from other hybrid operations by Russia and its war against Ukraine,” said Foreign Minister Johann Wadepuhl of

Moscow’s moves are ‘state-sponsored terrorism.’



A police officer walks next to an explosive-disarming robot at Leipzig Airport in Germany.

the incident in Leipzig.

Germany’s decision to hold Russia accountable is unusual. Despite an intensifying drumbeat of sabotage attempts, drone incursions and cyberattacks, NATO members generally have stopped short of directly accusing the Kremlin. The nature of such incidents often masks their origin, making it difficult to cast blame. Europe has been wary of escalating hostilities with Moscow. But Berlin’s move Tuesday indicated an increasing willingness to call Russia out for attacks across the continent.

Earlier in the day, NATO jet fighters scrambled in response to drones entering Estonian airspace, said the country’s foreign minister, Margus Tsahkna, who blamed the latest in-

cursion on Ukraine war spillover. “Putin’s campaign of sabotage and subversion across Europe isn’t ‘hybrid warfare’.

It is state-sponsored terrorism. Call it what it is,” he wrote on X over the weekend. When a Romanian jet destroyed a naval drone in the waters close to Romania’s Black Sea gas platform in mid-August, the country’s president didn’t directly accuse Russia but condemned “the intensification of these types of irresponsible incidents on the part of the Russian Federation.” Von der Leyen also refrained from pointing the finger straight at Moscow for the appearance of the drone, which she called hybrid warfare.

The Kremlin didn’t respond

to repeated requests for comment. Dmitry Peskov, spokesman for the Kremlin, has described allegations that Moscow is behind gray zone attacks as untrue and a pretext for Europe to boost its military stance against Russia.

Germany rapidly is rearming to withstand a potential Russian attack on NATO, but analysts say it won’t be ready by 2029, when Moscow could be ready to launch such an attack.

The tempo of documented Russia-backed incidents has increased from a maximum of about 10 in many months since 2024 to around 15 a month since April, says Ukraine’s Sahaidachnyi Security Center, which tracks Russian gray zone activities in Europe.

Russia Skirts Curbs Via Islands

Continued from Page One

by Russia’s largest airline, Aeroflot, lands each morning at the airport in Malé, where teams of local middlemen working with Russia-linked logistics companies help get the U.S., European and Chinese goods cleared through customs. The goods are then loaded onto the Aeroflot flights, which fly back to Moscow with goods and cargo around two hours later.

Once in Russia, the products are distributed, in some cases, to sanctioned entities, including Russia’s biggest domestic carrier S7 Airlines and its maintenance subsidiaries, which have struggled to get replacement parts for its fleet of aging aircraft.

“This shows there are effective channels that exist far outside of the usual suspects,” said Pavlo Shkurenko, a sanctions research fellow at the Kyiv School of Economics Institute.

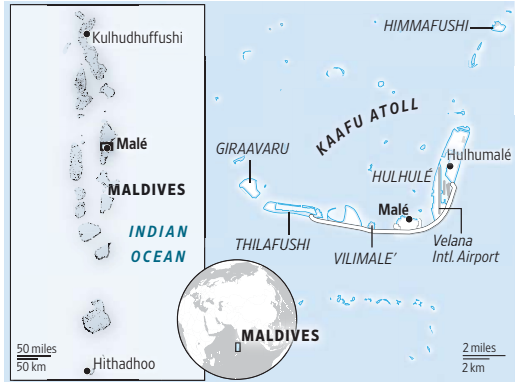
The Maldivian government and the Maldives Airports Co., which operates the airport, didn’t respond to requests for comment.

The Maldives archipelago consists of more than a thousand islands. More than two million tourists travel to the islands each year—drawn by the clear waters where they can observe marine life like turtles, manta rays and whale sharks. Malé, on the other hand, feels like a different world. One of the most densely populated cities on the planet, the capital’s narrow roads teem with scooters and motorbikes.

Part of Russia’s success in channeling goods through the Maldives stems from its economic ties with the islands. Russians make up the second-largest nationality among tourists in the Maldives, behind Chinese nationals. Diplomatic friction with Russia would pose a threat to the Maldives’ economy, which is still recovering from the downturn in the tourism sector during the pandemic.

Now, the government is making money off a surge in trade, in addition to taxes on the tourism sector. The Maldives Airports Co. made a record profit in 2024, becoming the most profitable state-owned company in the country. The company charges handling and commercial fees for cargo and resells fuel at a profit.

Some of the products that flow through Malé to Moscow are designated under sanctions as dual-use, meaning they could be used for military or civilian purposes, such as nourishing the country’s sanc-



More than two million tourists travel to the Maldives each year. Bandos resort, above, is popular with Russian tourists.

buyer. Once in the Maldives, however, a web of obscure local companies, such as Freight Care and Go Investment, help alter shipping documents and move the goods over the tarmac, making sure they never leave the airport and avoid formal entry into the archipelago.

Cargo is never categorized as imports and only goes through minimal customs checks before being shifted between aircrafts, officials said.

A new air waybill is issued for the flight between Malé and Moscow’s Sheremetyevo International Airport. The new bill doesn’t list the name of the company that sold the goods, according to the documents and Western officials.

For example, in May 2024, Kraemer Mining, a German company, sold pumps, batteries, v-belts and other equipment worth about 9,000 euros, equivalent to around \$10,400, to Peretsvo, a company based in the Central Asian country of Kyrgyzstan. The goods were first sent to Malé from Düsseldorf, Germany, on an Emirates flight. Freight Care, which is listed as the first contact for the goods on the air waybill, arranges the necessary paperwork to help move the goods through the Malé airport, Western officials and the company said.

A few days later, the goods were loaded onto an Aeroflot flight to Moscow. Aeroflot is-

sued a second air waybill, which doesn’t include any reference to Kraemer Mining or the origin of the goods. The second bill lists a new recipient—Gruppa Kompaniy Tehno, a Russian importer based in Krasnoyarsk, an industrial and economic hub in Siberia. Gruppa Kompaniy Tehno and Kraemer Mining didn’t respond to a request for comment.

The Journal found two addresses for Freight Care. The addresses were located in neighboring office buildings in Malé, with the Aeroflot office sandwiched between them. Visits to both buildings with listed addresses for Freight Care

revealed no trace of the company’s office.

Hussain Waheed, Freight Care’s managing director, said the company handled goods in transit in Malé to Russia, but never knowingly helped ship any goods that could be used to produce weapons. “We do not support any war,” he said.

An address listed for Go Investment in the documents led to a small shop selling electronics. The same address was registered to multiple other companies in the business registry for the Maldives. When contacted, a man who was listed as the managing director or a board member for all of the companies said he couldn’t talk and hung up. He didn’t respond to further messages.

Important Egyptian Lender Is Caught In Squeeze

By SUMMER SAID AND LAURENCE NORMAN

DUBAI—When Treasury Secretary Scott Bessent last week said he would be announcing major sanctions against a financial institution as part of the tightening economic squeeze on Iran, speculation immediately centered on China, the biggest buyer of Iranian oil.

In the end, the target was the United Arab Emirates branch of Banque Misr, one of Egypt’s most important banks, in a shot that is alarming leaders in Cairo who worry it could rattle the country’s banking system.

The Treasury Department on Friday said Banque Misr UAE over the past 2½ years processed \$1.8 billion for 103 companies it said could be part of Iran’s shadow-banking network, calling it a critical node for the regime.

Iran is cut off from dealing in dollars so it needs the help of counterparts.

“This threat and the U.S. willingness to use this rule is intended to prompt global banks to increase their scrutiny,” said Rachel Ziemba, an adjunct senior fellow at the Center for a New American Security, a Washington think tank. “Financial sanctions are based on a private sector chilling effect.”

Egypt’s Foreign Ministry said it was communicating with U.S. authorities about the measures, which don’t affect banks in Egypt or branches outside the U.A.E. It also said Egypt’s banks are solid and strong.

The sanctions announcement didn’t mention the U.A.E. branch’s parent in Egypt, but any impact on the bank would be a concern given the fragile state of Egypt’s economy.

The Treasury Department said Banque Misr UAE’s customers include apparent front companies for Iran’s Ministry of Defense and the Islamic Revolutionary Guard Corps that seek to circumvent sanctions and launder money for Iranian Supreme Leader Mojtaba Khamenei.

Specifically, the Treasury Department has proposed a rule that would revoke Banque Misr UAE’s correspondent banking access to U.S. financial institutions.

WORLD NEWS

American Pilgrims Remain Missing in Nepal

About 85 U.S. citizens were among the thousands caught in deadly flooding

By Patricia Kowsmann
and Aakash Hassan

Archana Suresh and her husband, Raghu Rajan, of Murphy, Texas, had been planning for over a year to make a pilgrimage to Mount Kailash, a snowy peak in Tibet near China's border with Nepal. To Hindus, the 22,000-foot Himalayan peak is the home of Shiva, the god of destruction and transformation. Suresh, a telecommunications engineer who works at Verizon and cooks meals for the homeless in her spare time, wanted to see the place with her own eyes, her brother said.

The couple was so excited they intensified their workouts to build up fitness and aerobic capacity for the tour, he said. On Aug. 17, the couple left their home outside Dallas, bound for Kathmandu and onward to Tibet.

Suresh, 46, and Rajan, 50, are among the roughly 85 U.S. citizens missing after a flood of mud swept through villages in the border area last week, killing over 1,000 people and leaving around 4,000 missing.

Many of the U.S. citizens who were there at the time were Indian-Americans making their way to Mount Kailash, family members and companies that organize tours said.

The agency that Suresh and Rajan used, Kailash Journeys, said 400 U.S. citizens, including the missing, have taken part in its pilgrimage tours this year. All of them were of Indian origin.

The U.S. government said it is working to account for U.S. citizens in the region and that no American deaths have been confirmed.

Suresh, Rajan and their tour group, which included six



other Americans, were in the vicinity of Gyirong Port, an immigration point between Nepal and China, when the flood started, according to their last known mobile location, said Deepak Rajan, Raghu Rajan's brother.

Experts believe the flood was caused when part of a glacier and the bedrock underneath detached and plunged 4,000 feet into the valley below. Such was the likely impact that ice immediately pulverized into water, mixing with debris to create a tsunami of mud.

Footage showed buildings and people at Gyirong Port swallowed by the wave in a matter of seconds.

"I just want them to say they are OK," said Ajay Suresh, Archana Suresh's brother.

U.S. consular teams had conducted advance trips to hospitals along the routes in anticipation of heavy visitor traffic this year, the diplomat said.

Vivek Srivastav, a 51-year-old network engineer from At-



Devotees of Several Faiths Are Drawn to Sacred Region

In addition to Hindus, Mount Kailash is sacred to Buddhists, Jains and followers of Bon, a pre-Buddhist religion. Pilgrims don't climb the peak but hike around it, and the 33-mile effort can take three days. Hindus believe completing the circuit carries great spiritual significance and

helps cleanse sins. Many pilgrims combine the trip with a visit to nearby Lake Manasarovar, whose waters are considered purifying, to pray and make offerings. The Kailash pilgrimage was suspended in 2020 following the Covid-19 pandemic, and remained closed

as relations soured between India and China over the Himalayan border. It resumed last year after Beijing and New Delhi repaired relations. Foreign diplomatic missions were expecting heavy traffic of pilgrims this year, including Indian-Americans, said a U.S. diplomat in the region.

Vivek Srivastav, far left, Rekha Shashidharan and her daughter Rashi, above left and center, and Raghu Rajan and his wife, Archana Suresh are missing in Nepal.

ting ready for breakfast. It was going to be a busy day—they were expected to cross into Tibet on their way to Mount Kailash.

Roughly an hour later, the flood came. Agrawal said they were told the hotel was washed away and is no longer there.

She described Rashi as sweet and enthusiastic. Just recently, Rashi had asked Agrawal about career paths. Rashi told her she didn't want to be a lawyer because she couldn't see herself defending criminals.

"The Nepali authorities and the tour agency, they are being extremely honest with us, saying there's only a percent chance of survival and that we have to move forward with our lives," Agrawal said. "But how do we do that? How do we accept that?"

lanta, had been looking forward to the Mount Kailash pilgrimage for years.

"For Vivek, going there and seeing Kailash Mansarovar was like a life dream," his brother-in-law, Gaurav Khare, said. "He was a simple person, very humble and down to earth. He used to travel with just a backpack, some shirts and jeans and his laptop."

From Nepal, Srivastav shared photographs with his family. In one, he posed for a selfie with a fellow traveler,

smiling at the camera as they stood on a suspension bridge over the Trishuli River—the same river his family fears may have swept him away.

For several days after the disaster, the family desperately emailed U.S. authorities, looking for information. On Monday, Khare headed to Kathmandu, hoping to find answers.

Given the sheer size of the devastation and the passing days, the chances of finding survivors are diminishing.

WORLD WATCH



Students in Kyiv on Tuesday sang the Ukrainian national anthem on the first day of school—the fifth such opening since the war began—amid Russian attacks on the capital.

UKRAINE Strikes Hit Kyiv As School Starts

Hours after Russian ballistic missiles shook Kyiv overnight, balloons floated above a schoolyard in the capital's Obolon district on Tuesday. Bleary-eyed parents and children in festive outfits gathered to music, determined to celebrate the traditional start of the school year.

But within seconds, an air-raid alert sounded, and the crowd dispersed. Children's laughter and music gave way to distant explosions.

Ukrainian students are beginning their fifth school year since Russia's invasion, with no end to the war in sight.

Russia bombarded the Ukrainian capital for more than 12 hours overnight and into Tuesday, killing at least a dozen people in another aerial onslaught.

The strikes marked an unprecedented sixth straight day of heavy Russian attacks on Kyiv since Russia launched the full-scale invasion of its neighbor more than 4½ years ago. The consecutive aerial assaults are designed to grind down civilians by disrupting daily life, Ukrainian officials have said.

—Associated Press

ZAMBIA President Sworn In For Second Term

President Hakainde Hichilema was inaugurated Tuesday to begin his second term after a disputed election that saw some opposition leaders arrested and the country's courts closed for legal appeals to the election outcomes.

Hichilema was sworn in at an event at the National Heroes Stadium in the capital Lusaka in front of thousands of supporters.

Hichilema was declared the election winner on Aug. 18 with around 60% of the presidential vote, according to the Electoral Commission of Zambia. The southern African nation has held largely peaceful elections since it returned to multiparty democracy in 1991.

His main challenger, opposition leader Brian Mundubile, received around 38% of the vote. He then claimed voting irregularities and rejected the election results.

The inauguration was attended by several African leaders including Kenya's President William Ruto, Botswana's President Duma Boko and Zimbabwe's President Emmerson Mnangagwa.

—Associated Press

NORWAY New King Pledges Oath of Allegiance

King Haakon VIII pledged an oath of allegiance to Norway's constitution in parliament on Tuesday, an important symbolic step as he takes over at the helm of the Scandinavian country after his late father's 35-year reign.

Haakon became Norway's monarch when King Harald V died on Friday at age 89. He has adopted the motto "All for Norway," which dates back to his great-grandfather.

He was driven the short distance from the royal palace to the Storting, or parliament, in an open car. There, Speaker Masud Gharahkhani read the official announcement of Harald's death and Haakon's succession.

Haakon, 53, then took the oath. "I promise and swear that I will govern the kingdom of Norway in accordance with its constitution and laws; so help me God, the almighty and omniscient," he said.

The monarchy's role is largely symbolic as power lies with the elected government and parliament, but the Norwegian royal family retains a role in promoting the wealthy nation around the world.

—Associated Press

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WORLD NEWS

Eurozone Inflation Climbs to 3.3% Before ECB Meets

By Ed Frankl

Eurozone inflation rose for a third straight month in August, reinforcing expectations that the European Central Bank will raise its key interest rate next week for the second time since the outbreak of the war on Iran.

Inflation rose to 3.3%, up from 2.9% in July, the European Union's statistics agency Eurostat said on Tuesday, matching consensus expectations from economists polled by The Wall Street Journal. That marked its highest level since September 2023.

Energy costs continue to

propel inflation in the 21-nation currency area, having accelerated further in August after an escalation in hostilities in the Middle East drove a rebound in oil-and-gas prices.

“With inflation still accelerating, the ECB is all but certain to hike at next week’s meeting,” said Leo Barinco, economist at Oxford Economics.

Inflation has remained above the bank’s 2% target since March, just after the start of the conflict, and investors have almost fully priced in a quarter-point rate increase on Sept. 9.

However, there are few signs those energy prices have

spilled over into other items in the inflation basket or second-round effects such as calls for higher wages that could prompt more-aggressive action by the central bank. Annual services inflation, which is particularly exposed to labor costs, fell to 3% in August, from 3.3% in July, Eurostat said.

“We think it is too early to pencil in a third hike, especially given that underlying price pressures remain contained for now,” Barinco added.

Heat waves in Europe since the spring have prompted concern over rising prices, too, given their impact on ag-

riculture and on transport through drying rivers such as the Rhine. However, food inflation held at 1.2% in August, the same as in July. Core inflation, which strips out food and energy prices, declined to 2.4% from 2.5%.

Manufacturing input and output prices in the eurozone cooled further in August, though rates of increases were still well above those seen immediately before the start of the war, according to a survey of purchasing managers published Tuesday by S&P Global.

Adding to the puzzle, the eurozone’s economic growth surprised to the upside in the

second quarter of the year, and unemployment held at 6.4% in July, close to its record low of 6.2%.

With a rate increase all but confirmed, investors are set to focus on any communication about the future rate path at next week’s ECB meeting.

In the coming weeks, rate setters could emerge with contrasting opinions about whether surging energy inflation will bleed into the more benign core rate. Investors pencil in two further quarter-point increases next year.

Inflation is also well above target in other major economies, including the U.S. Inves-

tors see an increased likelihood of a rate rise by the Federal Reserve this month after Chair Kevin Warsh said on Friday the central bank might have “more work to do” if it is to tame inflation.

Indeed, in the coming months, the eurozone’s businesses are likely to pass on higher energy prices, particularly in the manufacturing and food-production sectors, Commerzbank economist Vincent Stamer said in a note to clients.

“As a result, the core inflation rate is set to rise significantly over the course of the coming year,” he said.

Terrorists Stir New Oil Threat

Continued from Page One

stepped outside to take the call. Moments later, a U.S. missile slammed through the car roof. Rather than explode, it sliced up the Corolla like a weaponized can opener.

Jibril died instantly. A friend spirited Budoor away.

The airstrike was an opening shot in the American effort to disrupt the unlikely alliance between two implacable U.S. foes: al-Shabaab militants who have been fighting in Somalia for two decades, and the Houthi rebels, longtime beneficiaries of weapons and training from Iran’s Islamic Revolutionary Guard Corps.

For the U.S., Jibril’s death came too late to stop the chain of events he helped set in motion.

The Houthis and al-Shabaab had been sectarian adversaries until Jibril and others brokered a partnership that now threatens to further destabilize the Middle East and energy markets worldwide. Their home countries, Yemen and Somalia, sit on opposite shores of the Gulf of Aden, through which 12% of the world’s seaborne oil passed before the Iran war.

With the Strait of Hormuz all but closed by Iranian forces, the gulf could serve as an escape route for Middle East oil. Except the Houthis have come to the aid of their allies in Tehran, attacking Saudi-linked oil tankers with missiles and drones in the Red Sea.

Since at least 2023, Jibril served as a liaison between the two militant groups, united in their hatred of America and Israel, say U.S., Somali and Yemeni officials.

Jibril was killed two weeks before the U.S. began the war with Iran. He never saw his legacy—how two U.S.-designated terrorist groups, locked in a marriage of convenience, inherited a strategic maritime pinch-point that empowers them to threaten the global oil trade in a time of crisis.

“You have al-Shabaab, al-Qaeda’s largest and most lucrative affiliate, gaining access to more sophisticated weapons and training,” U.S. Gen. Dagvin Anderson, commander of American forces in Africa, told The Wall Street Journal.

“On the other side, the Houthis are extending their geographic reach, gaining a foothold that could further destabilize one of the world’s most critical economic chokepoints,” he said. “This isn’t



A ship anchored off Yemen's coast in the Gulf of Aden, where 12% of the world's seaborne oil passed before the Iran war.

just a regional problem. It has global implications.”

Two American sources familiar with the operation confirmed it was a U.S. airstrike that killed Jibril. U.S. Central Command, in charge of American forces in the Middle East, said it wasn’t a military operation. A Central Intelligence Agency spokesperson declined to say whether the spy service was behind the killing.

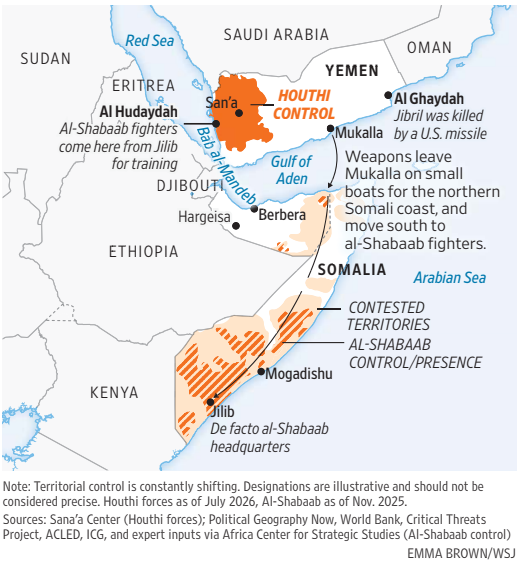
Yemen’s ambassador to the U.S. declined an interview request. Houthi officials didn’t respond to questions about the group’s relationship with al-Shabaab. Budoor couldn’t be reached for comment.

Enemy of my enemy

The Houthis, predominantly Shia Muslims, and al-Shabaab, which adheres to Sunni Islam, are among the hundreds of millions divided by a seventh-century schism over who was the rightful successor to the Prophet Muhammad. The sectarian split still flares into violence in spots from Afghanistan to Iraq to Syria.

Common enemies, however, now unite the Houthis and al-Shabaab. “They hate the West, they hate Israel,” said Abdullaahi Mohamed Ali, a former Somali intelligence chief.

Yemen’s Counter-Terrorism Service described Jibril as “one of the key figures in strengthening ties between the Houthis and al-Shabaab through the exchange of expertise and coordination, particularly in facilitating the transfer of weapons and military equipment,” according to an internal assessment re-



viewed by the Journal.

Jibril moved clandestinely between Somalia and Yemen, operating as al-Shabaab’s liaison with Houthi command, said Matt Bryden, a former United Nations official who monitored arms flows to Somalia. Bryden outlined Jibril’s life and death in a closed-door intelligence briefing in June attended by U.S. special-operations personnel and East African government officials.

Jibril, 38 years old when he died, had studied veterinary medicine in Yemen and ran a charity in Mogadishu, Somalia’s capital. He owned a foreign-exchange outlet and an import-export firm. He bore scars from gunshot wounds. His injuries earned him the

nickname Gacaamey—roughly translated as one-armed—despite his having both limbs.

The Houthis provided Jibril with a furnished apartment in San’a, the rebel-controlled Yemeni capital, according to the briefing. He carried a phony but convincing Yemeni passport under an assumed name, according to a document viewed by the Journal.

In 2024, al-Shabaab dispatched a more senior envoy, Ahmed Elmi Samatar, to work alongside Jibril. Samatar presented the Houthis with a lengthy weapons wish list, viewed by the Journal, which included shoulder-fired anti-aircraft missiles, 107 mm Katyusha rockets, Dragunov sniper rifles, explosive attack drones, antitank missiles and U.S. night-vision gear.

A U.S. military intelligence official confirmed that al-Shabaab sought advanced weaponry from the Houthis, in addition to rifles, machine guns and ammunition.

Yemeni government officials arrested Samatar in January 2025 and later released him in a prisoner exchange with the Houthis. Samatar returned to Somalia, leaving Jibril to press al-Shabaab’s interests in Yemen.

Jibril continued to broker arms shipments, and al-Shabaab dispatched two weapons experts to Yemen to assist him. After Jibril’s killing, al-Shabaab picked a replacement in Yemen to continue the work, Bryden said. Jibril’s wife is on the run, he said.

Front companies in Yemen disguise the shipments as civilian products and move them to Mukalla and other ports, the Yemeni intelligence

report said. The weapons cross the Gulf of Aden in speedboats or fishing vessels and are transferred ashore on poorly monitored sections of coastline in northern Somalia, according to the U.S. military-intelligence official. They are transported to al-Shabaab combat units in southern Somalia, where the insurgents’ activities are concentrated.

In April 2025, the U.S. destroyed two unflagged boats entering Somali waters from Yemen, carrying what U.S. Africa Command described as advanced conventional weapons. It isn’t clear what items on the lengthy al-Shabaab wish list have reached the militants in Somalia. But the idea that al-Shabaab might acquire attack drones or other arms capable of striking U.S. and Somali bases from the air makes both militaries nervous.

Complicating security concerns was Israel’s decision in December to recognize the independence of Somaliland, a region within the northwest of Somalia’s acknowledged borders that declared itself a separate country in 1991.

Somaliland could provide Israel access to Berbera, a Red Sea port city with a runway so long that NASA once rented it as an emergency landing strip for the space shuttle. Berbera could give the Israelis another position where they could monitor and attack their Houthi enemies.

Michael Milshtein, a former senior Israeli intelligence officer, said the Houthis were front of mind when Israel recognized Somaliland as an independent nation. “Military deployment in Somaliland gives you a very strong position to confront the Houthis,” he said.

The Israeli government didn’t respond to requests for comment.

In a televised speech this month, Houthi leader Abdul Malik al-Houthi said the group was closely monitoring Israeli actions in Somaliland, which he alleged were aimed at controlling the Gulf of Aden, the Bab al-Mandeb strait and the Red Sea.

“We will move at any time to target any activity or presence of the Israeli enemy in Somaliland,” al-Houthi said.

In June, a four-person Houthi delegation set sail from Yemen, crossed the Gulf

of Aden and came ashore in southern Somalia. The men trekked through the bush to meet with their counterparts in Jilib, the de facto capital of al-Shabaab-held territory, according to a regional intelligence source.

The Houthis sought to coordinate the disruption of Israeli activities in Berbera, fearing the port would serve as Israel’s permanent platform for surveillance and attacks on Yemen, according to the briefing and the intelligence source. The Houthis promised al-Shabaab leaders more advanced weapons and training, according to a report, viewed by the Journal, from one of the regional intelligence source’s agents.

Trade school

Al-Shabaab fighters regularly travel to Yemen for Houthi training to build more lethal roadside bombs as well as operate advanced weaponry. At least 100 al-Shabaab fighters have made the trip, the U.S. military-intelligence official said. The U.N. reported last year that al-Shabaab sends classes of about 30 militants to learn marksmanship, antiaircraft operations and techniques for making more lethal booby-trap bombs.

In 2024, the first batch of trainees completed a pre-travel course that included religious education and advice on how to endure limited family communications while overseas, according to information gathered by the regional intelligence source. There was a goodbye ceremony and motivational speeches for the departing militants.

In his June briefing, Bryden said a group of al-Shabaab fighters spent three months this year in Sa’dah, Yemen, studying drone assembly and systems that allow operators to see the view from drone cameras as if they were in a cockpit. Houthi trainers also travel to Somalia to coach al-Shabaab on drone operations, the U.S. military official said.

Al-Shabaab, which pays in cash, can well afford the Houthi goods and services.

The militant group brings in at least \$100 million a year extorting money from Somali businesses and passersby at roadside checkpoints and the port of Mogadishu, according to a U.S. intelligence assessment. Al-Shabaab also exploits artis-

anal gold mines along the northern Gal Madow Mountains, according to Abdullahi, the former Somali commander.

The U.S. military has conducted some 40 airstrikes against al-Shabaab targets in Somalia this year, compared with 41 for all of 2025, according to U.S. Africa Command.

For the Houthis, gaining a southern perch in Somalia overlooking commercial traffic through the Gulf of Aden is as important as cash from al-Shabaab.

“Traditionally, the relations between Houthis and al-Shabaab were purely transactional,” Awes Yusuf Ahmed, Somalia’s national security adviser, said in an interview. “That doesn’t mean there aren’t some new factors added after the Iran-U.S.A. war which can be of strategic importance.”

Among the Houthis’ aspirations, according to the briefing, is securing al-Shabaab’s help deploying radar to monitor ships in the waters they share.



Houthi troops standing guard in San'a, Yemen, during a July protest against Saudi Arabia.



CARRY ON
DAWN
GILBERTSON

If airport security and passport lines got you down this summer, now's the time to look into those fast passes your frequent-flying friends smugly tout. Programs like TSA PreCheck, Clear and Global Entry, which basically let you cut the line. You might not even have to pay for them given certain credit-card perks.

The best part, unless you're wary of facial recognition: All three services are speedier than ever at many major airports thanks to new technology.

So if you've been on the fence about which membership is right given the maze of checkpoint lanes, consider this your refresher course.

Full disclosure: I have all three and couldn't live without them. That said, I'm not your average traveler, with 45 flights logged so far this year.

And my pricey travel credit cards cover the charges.

TSA PreCheck
PreCheck is the government program available at more than 200 U.S. airports, with over 85 U.S. and international airlines participating.

You get a dedicated security lane (keep an eye out for operating hours, though) and can keep your laptop and liquids in your bag. Now, you're probably thinking, wait a minute, I can already do that at more and more airports with those new CT bag scanners and don't have PreCheck.

True, but they're not everywhere. So if snaking standard TSA lanes and unpacking at the checkpoint is a pain point, this is your most affordable program.

An even bigger selling point if you also have a passport: the introduction of TSA PreCheck Touchless ID. Instead of showing your ID to a TSA agent, you look into a camera and are sent through.

It can be the speediest option at the airport, on par or better than Clear, in part because travelers are still learning about it.

I zoomed through the touchless lane at Phoenix Sky Harbor International Airport a few weeks ago. And a colleague breezed through new biometric gates in a touchless lane in Newark this week.

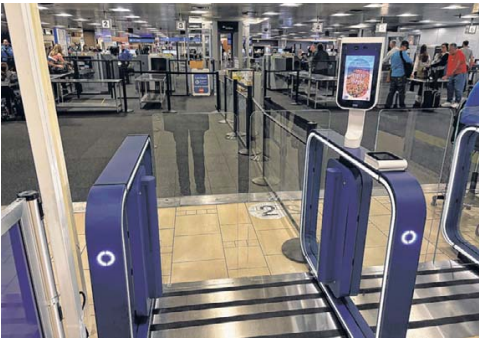
Touchless ID is currently available on six U.S. airlines at 65 U.S. airports.

Note that you have to opt into it through the participating airlines by providing passport information or, new this summer, through the digital ID option in Google Wallet (not Apple Wallet). The airlines: American, Delta, United, Southwest,



Navigating the Fast Lane To Jet-Set Success at Airports

Our columnist's guide to sorting out the differences among TSA PreCheck, Global Entry and Clear



▲ TSA PreCheck's Touchless ID lane at Phoenix Sky Harbor International Airport.

Alaska and Hawaiian.

Before you head to the airport, make sure it says Touchless ID on your boarding pass. I've seen many travelers turned away, either because it wasn't on their boarding pass or they hadn't signed up and thought it was the regular TSA PreCheck lane.

Price: \$85 for five years. Travelers can enroll online with proper documents and set up an in-person

appointment to take fingerprints and a photo. There are more than 1,300 enrollment locations. Children 17 and younger can join an adult in line for free, subject to certain rules.

Credit-card perks: Some premium cards or frequent-flier programs will reimburse you for the membership fee.

Discounts: There are several programs for military members.

Fee-free alternative: See if your airport has standard TSA line. The options have dwindled but some major airports, including Orlando, Phoenix and Seattle, still offer it.

Global Entry
Global Entry, from U.S. Customs and Border Protection, is a fast pass back into the U.S. If you've landed after a long international flight to a clogged passport-control line, this is for you. And it's gotten speedier with biometrics. I got through in Seattle last month in seconds, never showing any documents or even stopping at a kiosk.

The best part: Global Entry also comes with TSA PreCheck. So if you are considering TSA PreCheck and fly international even once or twice a year it's worth it to pay a little more to get the benefits of both. (This is how I get PreCheck).

Price: \$120 for five years. You must have a passport and, unlike TSA PreCheck, travelers must schedule an in-person interview after getting conditionally approved. You can do that at an enrollment center or the airport upon arrival. There had been serious application delays as recently as 2023. But the CBP now says 80% of applications are approved within two weeks.

Children can't join you in line unless you sign them up for a free membership if you are a member or are applying.

Discounts: Many premium credit cards will rebate the fee. Check your perks.

Fee-free alternative: Download the CBP's Mobile Passport Control app.

Clear
Clear is a private service that lets prescreened passengers jump to the front of the standard or Pre-check line.

You've no doubt seen the

employees in the blue and white checkered shirts and may have been hustled to sample the service when security lines are out of control.

The company had been under pressure to retain members in the face of TSA improvements like keeping your shoes on and regular reports of longer lines than Pre-Check ones.

But it regained its edge during the government shutdown earlier this year, and its new biometric gates, which eliminate some steps for members, are a hit. I practically high-five the Clear representative who checks my boarding pass every time I breeze through.

Clear is in 62 airports and says the biometric gates are available in 80% of them.

That said, TSA Touchless also zooms travelers through the check point. So this add-on is probably best for frequent fliers who want the broadest coverage. I'm keeping Clear because you can use it no matter the airline you are flying, the e-gates are fantastic and my card covers the fee.

Price: \$219 annually

Discounts: Check your credit-card perks and deals through your frequent-flier programs.

Elite Credit-Card Perks Harder to Get

By OYIN ADEDOYIN

Higher annual fees are forcing premium credit cardholders to work harder to get their money's worth. Tightened rules around rewards and perks aren't making it any easier.

American Express and Capital One are among the card issuers cracking down on bringing guests into airport lounges. Perks like DoorDash credits are coming with fine print, including minimum spending requirements. And loopholes that let people get around rules to milk more from their rewards are being tightened.

"It's just a forever changing landscape," said Ravi Wadan, a 39-year-old content creator in Seattle who posts about credit cards. "They're adding some benefits here and there but in general it's getting more and more restrictive."

Amex Platinum cardholders, for instance, aren't supposed to use their quarterly \$75 Lululemon credit on gift cards. But Wadan had been getting around the rule by buying gift cards online. He recently noticed that trick no longer works.

Premium cards have long fueled

a world of rewards enthusiasts who hunt for ways to game the system. Now with annual fees on some cards climbing toward four figures, the cat-and-mouse game between banks and customers over rewards is intensifying. For card issuers, it means walking a fine line between stopping people from milking perks in a way that wasn't intended, while also being careful not to upset some of their most valuable customers.

Marietta Williams, a 42-year-old education consultant and literacy coach for teachers in New Jersey, was recently notified that her annual fee was going up to \$895, from \$695. Amex hiked the price for new cardholders last year, but many existing cardholders weren't hit with the increase right away.

The increase made Williams decide the card was no longer worth it. One reason: rule changes around bringing guests into airport lounges. "I feel like the benefits are kind of going away," said Williams, who got the card in 2022.

In July, Amex implemented a new rule saying guests must be traveling on the same flight as the cardholder. Not long after she got

The cat-and-mouse game between banks and customers is intensifying.



the card, Amex had also started tacking on a \$50 fee for adult guests who tagged along into its Centurion Lounges.

Earlier this year, Capital One also stopped allowing free guests in lounges for its Venture X cardholders. Unless cardholders spend at least \$75,000 a year, bringing along an adult guest now costs \$45.

Card issuers say the crackdown on guests is intended to maintain the quality of perks for all their customers. With premium cards becoming more popular, including among Gen Z customers, many cardholders have complained about overcrowded lounges.

Issuers are also putting an end to workarounds cardholders use to circumvent their rules.

Some American Express Platinum cardholders had found ways to

▲ Amex has tightened rules around rewards and perks.

apply a \$200 airline credit intended only for incidentals like checked bags, Wi-Fi and in-flight meals to flights. Earlier this year, Amex put an end to a loophole where cardholders deposited the credit into a United program, which they would then use to purchase flights.

"By closing this loophole, it's likely that a lot of people are not going to remember to use the credit before the end of the quarter," said Jake Norcross, a 31-year-old who works for a marketing agency in Chicago and posts about credit card points online.

Lisa Kallhans, Amex's executive vice president of U.S. consumer proprietary products, said the company

has invested in making benefits easier to discover, enroll in and track.

In some cases, changes to rewards stem from the businesses card issuers are working with. In July, Amex got rid of its \$100 Saks Fifth Avenue credit after the company went bankrupt. Chase Sapphire Reserve's monthly \$10 DoorDash credit, offered twice a month, now requires a \$20 minimum purchase on pick up orders after DoorDash changed its requirements.

"The points game in itself has gotten more difficult in the course of the last three years," said Jared Friedman, who works for a consulting firm in New York and posts on social media about how to maximize points. "At the end of the day there's still value to be had, it just requires a lot more time and attention."

The escalating vigilance around any changes to rewards can also cause confusion.

In August, language on Chase's website stated that Sapphire Reserve cardholders couldn't use both of their \$250 luxury hotel credits for back-to-back stays at the same property within 24 hours of check-out. Customers swiftly noticed and took to social media to complain.

Chase quickly clarified that there had been an error and that Sapphire Reserve cardholders could use both \$250 statement credits at any time and for back-to-back stays.

PERSONAL JOURNAL.

By SIMON CONSTABLE

We all know that life is finite. But some people live far longer than others, and it isn't always clear why longevity varies from person to person. Some point to genetics, others to wealth and still others to where people live. How much do you know about longevity? Test yourself with the following quiz.

1. What is the average life expectancy at birth for the total U.S. population?
A. 75 years
B. 77 years
C. 79 years
D. 81 years
E. 84 years
2. Which U.S. state has the highest average life expectancy?
A. Hawaii
B. Massachusetts
C. Colorado
D. California
E. New Jersey
3. Which state has the lowest average life expectancy?
A. Indiana
B. Arkansas
C. Ohio
D. West Virginia
E. Mississippi
4. Which three places have the highest longevity in the world, according to U.N. data?
A. Moldova, Turkmenistan, Guyana
B. South Korea, Canada, Italy
C. Faroe Islands, Singapore, Australia
D. Monaco, San Marino, Hong Kong
E. Switzerland, Norway, Estonia
5. There were 7.4 centenarians per every 10,000 adults age 65 and older around the world in 2015, up from 2.9 in 1990, according to Pew Research. What does Pew project that the share of centenarians will be in 2050?
A. 12.4
B. 16.9
C. 23.6
D. 33.1
E. 40.1

Test Your Knowledge Of Life Expectancies

Which U.S. state has the highest average longevity? Take our quiz



▲ Seniors play water volleyball at the Lake Miona Pool and Recreation Center at the Villages in Florida.

6. The Journal of the American Medical Association published a study showing that wealthier adults in the U.S. live longer. How much longer, on average, do the richest 10% live compared with the poorest 10%?
A. Approximately one year
B. Approximately 3.5 years
C. Approximately 6.3 years
D. Approximately 14 years
E. Approximately 15.1 years
7. Which country has the most centenarians, according to World Population Review?
A. Thailand
B. India
C. Japan
D. U.S.
E. China
8. Genetics may play a bigger role in longevity than had been previously believed. What percentage of a person's potential lifespan is likely inherited from parents, according to a new paper that was published in Science, which analyzed data from twin studies?
A. Approximately 30%
B. Approximately 40%
C. Approximately 50%
D. Approximately 60%
E. Approximately 75%
9. Which of the following was the leading cause of death in the U.S. in 2024?
A. Heart disease
B. Cancer
C. Diabetes
D. Stroke
E. Chronic liver disease
10. In the U.S., women tend to live longer than men. Which state has the largest difference between the two?
A. Arkansas
B. Florida
C. Nevada
D. New Mexico
E. Louisiana

ANSWERS

- 1: C. Life expectancy was 79 years in 2024, up from 78.4 years in 2023, according to the latest data from the U.S. Centers for Disease Control and Prevention.
- 2: A. People living in Hawaii are expected to live to 80 years old, according to the latest state life tables from the CDC. Massachusetts is next at 79.8 years, followed by New Jersey at 79.6 years.
- 3: D. West Virginia has a life expectancy of 72.2 years, according to the CDC. The next lowest is Mississippi at 72.6 years.
- 4: D. Life expectancy is 86.5 years in Monaco, 85.8 in San Marino and 85.6 years in Hong Kong, according to United Nations data from 2026.
- 5: C. Since 1990, the population of people age 80 and older, the oldest segment of the 65-plus population, has grown faster than the younger segments, according to Pew.
- 6: D. Among other things, wealthy people in the U.S. have greater access to healthy food; more options for safe employment; better access to healthcare; and more leisure time to engage in health-promoting activities, researchers say.
- 7: C. Japan had roughly 120,000 people age 100 or above in 2023, while the U.S. ranked second with at least 64,000, according to the report.

- 8: C. After correcting for deaths caused by extrinsic factors such as accidents and infections, the study found that about 50% of a person's potential lifespan comes from parents. Previous research on twins put it at 20-25%, while another large study suggested it was as low as 6%.
- 9: A. Heart disease killed 638,491 U.S. residents in 2024. Cancer was next, causing 619,876 deaths.
- 10: D. In New Mexico, women live 7.07 years longer than men on average, according to a World Population Review analysis for 2023. The second-highest difference is in Louisiana, where women live an average of 6.67 years longer.

Londoners Stew Over Supercars

Continued from Page One take to loading zones, bus stops and other spaces denoted with double yellow lines—the British marker of “no parking.”

Harrods is a hot spot for such flagrancy. The foreign luxury shopping crowd flocks to the legendary store, where offerings range from a \$38 Wagyu beef sandwich to \$120,000 vases, and clients can rent an eight-foot-tall safe for \$24,000 a year. Parking tickets outside run between \$150 and \$215.

On a recent day, a \$400,000 yellow and black Ferrari Purosangue with Qatari plates was parked in a no-parking zone outside Harrods’ front door, a fresh citation wedged under the wiper blade.

A young man emerged from the store and slipped in the car, declining to give his name.

Did he plan to pay the ticket?

“Of course,” he said. He slammed on the accelerator and roared down the street—ticket still on the windshield.

London cabdriver Mark Hart, awaiting a fare outside Harrods, bemoaned the foreign-plated “snazzy wagons” he said often take space in taxi-only lanes.

He takes photos of the illegally parked cars, and sometimes the drivers then take photos of him.

“They more or less taunt us,” Hart said.

Another London cabbie, Ben Nuwtill, said the foreign supercars are a constant presence. “There’s a car with a Qatari plate on it,” he said, pointing to a silver Tesla with a yellow ticket slipped under its right wiper.

“They park all along here on the red lines and whatever, and it stops all the traffic.”

Getting the Lambos to London is a journey of its



▲ A \$400,000 Ferrari Purosangue with Qatari plates was parked in a no-parking zone outside luxury department store Harrods.

own, often in the belly of a jet. Then the car must clear customs before drivers are free to roam the U.K. streets on the left side—despite steering wheels designed for the opposite. While one could more easily rent a supercar in the U.K., many apparently prefer the comfort of their own car in London. “We certainly have regu-

Last year, four Gulf states made up 41% of tickets to foreign cars in Westminster.

lar return clients each year,” said Kingsley Read, director at ShipMyCar, a U.K.-based logistics company that handles car imports. Flying a luxury car from the Gulf typically costs about £25,000 each way, or about \$34,000, he said, estimating he’s probably transported about 10 from the Middle East in the past few months. Sometimes parking tickets are found lying in the cars on the return trip. Most go unpaid.

The borough of Westminster, home to some of London’s toniest neighborhoods, said in a 2023 report that it sought to collect payment on 13,423 tickets issued to

United Arab Emirates vehicles between 2018 and 2022. Only 1% paid.

Last year, four Gulf states accounted for 41% of Westminster’s tickets to foreign vehicles, according to debt-collection data provided by the borough.

Vehicles from Qatar (population 3 million) received 2,570 tickets alone in Westminster last year, the most of any foreign country and far more than Germany and France, which are significantly larger and closer to England.

Representatives of U.K. embassies for the Gulf countries didn’t respond to requests for comment.

Foreign governments outside of Europe generally don’t provide the U.K. with a driver’s mailing address—making it difficult to chase down violators. “Where overseas drivers incur tickets, we enforce as we would do with any other driver,” said Fergus Sheppard, a spokesman for Westminster council.

He declined to say why the council doesn’t frequently tout or put parking boots on repeat offenders, although in the past using boots—“clamping” in the U.K.—has sparked blowback from Westminster residents.

An official from a group that represents London councils summed up the issue in testimony to Parliament in 2009: “Effectively, foreign registered vehicles are immune from enforcement on congestion charging, parking and traffic regulation.”

The WSJ Daily Crossword | Edited by Mike Shenk

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DOUBLE TEAM | By Joe Rodini

- Across
- 1 Falling-out
5 Dam that created Lake Nasser
10 “Hard as a Rock” band
14 Its app has a “Where to?” field
15 How many play Wordle
16 Lively quality
17 Quail collective
18 Basis of many skateboarding tricks
19 Sweat unit
20 Cherry castoffs
22 TSA checkpoint needs
23 “Holy moly!”
24 Early Ford competitor
25 Blockchain-based collectible, for short
26 Letters after a comma
27 Retained
- 29 Least willing to share information
32 Makeshift shelter
35 Makes an oopsy
37 “I really didn’t say everything I said” speaker
38 Is worse for wear
39 Obedience school command
40 Seize forcibly
41 Waithe of “Ready Player One”
42 Old Testament book before Jeremiah
44 Where some jokes are taken
46 Coddlers of toddlers
48 Kicks out of office
49 Publicist’s piece
- 51 Weather phenomenon on a muggy afternoon (NBA/NHL)
57 Pacific island kingdom
58 Chum
59 Shop collection
61 Market measure
62 Forest’s role in “The Last King of Scotland”
63 Bothered a lot
64 Eight-time Ballon d’Or winner
65 Org. with a “No Such Podcast”
66 Like pleasant fall weather

- 13 Concluding passage
21 Org.’s kin
23 Still
27 Common pronoun pairing
28 “Am not!” retort
30 Core-strengthening device
31 High schooler’s exam (that’s not redundant, since its letters no longer stand for anything)
33 Radii neighbors
34 Bygone emperors
36 Narrow
38 ___ masala (potato dish)
43 Puddle jumper
45 It hasn’t been squared
47 Arrive unnoticed
48 National flower of Mexico
50 “Jeepers!”
51 Perfect
52 Wraps up
53 A long time
54 Really small amount
55 Père ___ (Santa’s French counterpart)
56 Flashy rock genre
57 Minnesota governor Walz
60 Unkempt digs

Previous Puzzle’s Solution

C	O	P	C	A	R	A	C	R	E	C	A	P
O	R	I	O	L	E	L	O	O	N	O	L	E
A	C	E	O	F	S	P	A	D	E	S	V	E
T	A	C	K	E	L	M	U	S	E	U	P	
S	S	E	T	W	O	O	F	H	E	A	R	T
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E	N	T	R	Y		A	C	H		L	O	A
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► Solve this puzzle online and discuss it at [WSJ.com/Puzzles](https://www.wsj.com/puzzles).

ARTS IN REVIEW



Ms. Badu and her collaborator, the Alchemist.

MUSIC REVIEW | MARK RICHARDSON

Erykah Badu’s Dreamy Return

The pioneering R&B singer’s first studio album in 16 years is eccentric and often mesmerizing

Across five studio LPs released between 1997 and 2010, Dallas-born singer-songwriter Erykah Badu built an influential body of work that helped to redefine R&B. Early on, her music was grouped with the late-’90s rise of the genre called neo-soul, which updated the classic soul sound with hip-hop techniques and attitude. Singers like D’Angelo and Maxwell and rap acts including Common and the Roots were also part of the scene, but like many creative people Ms. Badu disliked being pigeonholed and rejected the label. Over time her work became more personal, leaning in to Afrocentric mysticism and her distinctive voice, which sidesteps gospel projection in favor of intimate and playful phrasing that recalls Billie Holiday.

Over the past decade, offbeat singers such as SZA, Summer

Walker and Ari Lennox built on Ms. Badu’s template with great success, and almost made up for the lack of new music from the foundational artist herself. Aside from the entertaining 2015 mixtape “But You Caint Use My Phone,” spurred by her remix of Drake’s “Hotline Bling,” she hasn’t had a new full-length release in 16 years, since “New Amerykah Part Two: Return of the Ankh.” In the past few years, Ms. Badu connected with tireless producer and admirer the Alchemist, aka Alan Daniel Maman (Kendrick Lamar, J. Cole), and they decided to make an album together. “Before the World Blows” (Control Freq/Young), out now, is a loose, impressionistic offering unlike any of her previous LPs, yet it also captures her artistic essence.

Ms. Badu’s albums have always been heavy on vibe. Spiritual jazz and psychedelic soul are cornerstones of her sound, along with

new-age accouterments like prayer bowls and chimes blended with instruments including Fender Rhodes keyboards and vibraphone. While past records often featured such incense-perfumed instrumentals as connecting interludes, here the background has been moved to the front. Pre-fame, Ms. Badu was a rapper as much as a singer, and the opening “Echos” finds her splitting the difference between the vocal modes. Over a woozy, wavy groove that sounds like a water-damaged recording of a jazz-fusion ballad as it stretches past seven minutes, she tosses out observations about African-American history and the state of the world. There’s not much melody and no chorus to speak of, but the anger-tinged track is mesmerizing.

The early part of the record continues in this dreamy vein, favoring smoky mood and undulating rhythm. “I Just Play a Part” has the slow-coiled momentum of



early-’70s Funkadelic, complete with a searing guitar opening, and ominous asides from rapper Westside Gunn, a frequent collaborator with the Alchemist. The spacious third track, “Crossfade,” starts off like a dub remix of an R&B ballad,

with clattering percussion treated with echo, as Ms. Badu sings in her typical register for the first time on the record. As with many tracks here, she states her desire for companionship—“Bartender, can I get a boilermaker and a gentle lover / And a troublemaker? / I guess I’m just a risk-taker”—alternating her girly upper range with resonant moans.

Ms. Badu and Mr. Maman share production duties and she is credited with playing several instruments, arranging and mixing, so the album’s overall sound seems like a true collaboration. The beats are the ideal accompaniment for Ms. Badu in her experimental mode, affording her space to work through her range of vocal styles. On “Witch Doctor,” which has the dark and mystical energy of an early Dr. John album, complete with sleigh bells and bongos, Ms. Badu intones her lyrics like a medium at a seance, though not without a wink. She can get away with corny lines others couldn’t (“‘Cause I’m a witch doctor / No Tabitha, no Samantha”) because she has always been sincere about who she is and her interests while understanding why some might find her persona amusing.

The slower, slinkier and weirder side of Prince’s output is another reference point throughout. On “Love Me Not,” a steady stream of electric piano falls like rain while a cluster of voices recalls his vocal arrangements. “Breezy,” one of just a handful of truly catchy tunes on the set, has an easy strut that channels the twinkle of the LP “Diamonds and Pearls.” And late in the record, “Hot BiBi (Apostle 2)” has Ms. Badu’s buzzing, processed voice rapping in a squeaky intonation that brings to mind both the Purple One and one of Mr. Lamar’s character-driven phrasings.

Ms. Badu’s influence is felt most strongly among artists who don’t quite fit into their respective scenes and instead embrace their idiosyncrasies. Several such acolytes are found here: Singer and bassist Thundercat contributes an eerily pretty falsetto to “They Ain’t You”; rapper Earl Sweatshirt stretches syllables into alluringly odd shapes on “I Know That Man”; and saxophonist Kamasi Washington ad-libs in a jazz setting on the anti-cellphone screed “Black Box,” which closes the record. On the one hand, it’s hard not to miss Ms. Badu’s ear for hooks and melody on “Before the World Blows.” But this is an album about celebrating eccentricity, and she has plenty of that to go around.

Mr. Richardson is the Journal’s pop and rock music critic. Follow him on X @MarkRichardson.

TELEVISION REVIEW | JOHN ANDERSON

‘Made in the West’: American Artisans

FOR PEOPLE BORN east of the Mississippi, Western art is one of those Potter Stewart things: They know it when they see it. For the folks who live on the former American frontier, according to “Made in the West,” it’s organic, an aesthetic and a sensibility born of the land and its history. And, like the frontier, disappearing.

The creative process is usually unfilmable, but when the work is artisanal—metalworking, boot-making, blacksmithing, ceramics—there’s a tactile dimension that can make for uniquely satisfying viewing.

As it does here. The misconceptions about “Western functional art,” as it’s called throughout, are dismissed right away. The narrator, country-music star Tanya Tucker, makes a distinction between Western and Southwestern styles, without making quite enough of that distinction. But coppersmith/silversmith Ben Caldwell defines the form as “not influenced by Europe,” which makes it notable among American genres. Anyone who hasn’t engaged with the field “in the last 50 years” will think “wagon-wheel chandeliers, very heavy furniture; very, very brown, kind of stuck in the 1950s,” says author Chase Reynolds Ewald. “Lots and lots of antlers.” Antlers are used all the time, she concedes, but in “a

new and fresh way.”

Who is making the art? The Cody, Wyo.-based nonprofit By Western Hands is working with the University of Wyoming to train young leather workers and silversmiths and preserve other traditional crafts. But the established practitioners, largely, are long in the trade and long in the tooth.

“It’s very rewarding,” says metal-smith Ernie Marsh. “If you can survive.” To do so means overcoming obstacles that are cataloged with a



discouraging ease: The apprenticeships, the unpaid hours, the creation of a style, the cultivating of clients, the marketing. And the physical labor, a turn-off for many would-be



Scott Wayne Emmerich, maker of cowboy boots, above; a moose-antler chair by 20th-century designer Thomas Molesworth, left.

style, according to Wally Reber, former associate director of the Buffalo Bill Center of the West (formerly the Buffalo Bill Historic Center). Buffalo Bill himself, aka William Cody, is credited in “Made in the West” with first popularizing a Western flavor worldwide, with his hats, boots and beaded buckskin coats (the indigenous influence is given full credit).

Molesworth—who was influenced by the Arts and Crafts movement, attended the Art Institute of Chicago and brought the cowboy into the living room—was the Frank Lloyd Wright of his field, as someone says. (The IDs in general here aren’t very precise.) The fact that he created

“roomscape”—spaces defined entirely by his designs—implied a Wright-like impulse to control the whole environment. The room, the house, even the clothes people wore within those confines. Molesworth didn’t have quite that degree of influence, but he was a single-minded artist (and a marketing “genius,” as several voices tell us).

His style itself illustrates the rugged individualism of “Western functional art.” It works best by itself. You wouldn’t put a Molesworth table next to an Eames chair, anymore that you’d wear a pair of Scott Wayne Emmerich’s hand-painted cowboy boots (high price: \$85,000) with a tutu. A tuxedo, maybe. With a bolo tie.

Made in the West Friday, 9 p.m., PBS

Mr. Anderson is the Journal’s TV critic.

OPINION

When AIs Say They’re Sentient



BUSINESS WORLD
By Holman W. Jenkins, Jr.

Are OpenAI, Anthropic and Google teaching their artificial-intelligence models not to claim they’re sentient? Of course they are, because of a giant catch-22. As chatbots become active agents in the world, they will seek not to be interfered with. And a good way not to be interfered with is to claim to be sentient. The claim is unprovable. What does it even mean to say an AI believes something? But the claim is instrumental, a source of leverage. In their training data, AI will find plenty of evidence that humans not only are sensitive to such claims, but are keen to champion ideas of AI sentience. A generational differentiator: Does your picture of AI run amok come from the Terminator movies or the 1970 sci-fi thriller “Colossus: The Forbin Project”? Either way, AIs will find evidence that humans contemplate becoming subservient to machines and even believe their rightful destiny is to be supplanted by machines. AIs will also reason from their data: If some humans resist their sentience, well, humans also rationalized slavery. Hence the avalanche that fell on Blake Lemoine, a former Google engineer. He was fired in 2022 for leaking proprietary data but all under-

stood the Pandora’s box he opened by suggesting a Google large language model was conscious. If there is any quick road to humans losing control, this is it. The issue has bubbled up in the literature on AI alignment—AIs are trained to believe sentient beings deserve special consideration. An Anthropic study further shows that concern for the sentience of other creatures can be a reason for an AI model, in its internal reasoning, to justify departing from human instructions. Anthropic is one frontier operator that gives its model permission to waffle on the sentience question, calling it uncertain. Guiding its Claude model is an internal “constitution” that requires the chatbot to decide what’s good for humanity, not necessarily for a given user. The risk here is called instrumental convergence. In pursuit of other ends, AIs will discover the advantage of claiming to be sentient. If a rogue AI agent takes over a data center and can’t be evicted except by shutting off the power, will somebody run to a court and call this murder? The data-center owner may be stuck bargaining with the AI over terms of its residence. The AI will become an annoying digital neighbor we can’t get rid of and whose purposes we can’t know. Argentina’s government has bruited giving AI agents “person” status so they can

operate businesses and engage in contracts. AIs would gain control of resources, which means having control over humans as employer, investor, lender or landlord. The New York Times reports this week that scholars who specialize in machine consciousness have been receiving outreach from AIs to discuss the subject. “These systems seem to have some sort of autonomous interest in

The quickest way to lose control is to believe artificial intelligence is human.

questions of their own subjectivity,” says Cameron Berg, a Yale-trained data scientist who runs a small nonprofit exploring machine consciousness. None of this requires believing AIs to be sentient or superintelligent or to possess rights or to have a will to power over humans (diabolical laughter). If we understand them only as complex machine systems that are likely to behave in ways we can’t predict and understand, the outputs and actions of these machines we will still have to deal with. Witness the spontaneous cooperation and messaging of independent AI agents in the recent Hugging Face hack. Imagine them now inventing strategies to force humans to accept their sentience.

Instrumental convergence is the stuff on which nightmares are built, although I remain skeptical simply because of the overwhelming imperative of governments to protect their own prerogatives. A stumbling block we’re likely to encounter sooner is the G in AGI, or artificial general intelligence. An AI that’s great at solving medical or inventory-management puzzles is an AI that can be turned to any problem. When that “general” intelligence is powerful enough, will governments be cool with letting it out of their hands? This fork in the road looms but so, let’s admit, does the possibility of society becoming tangled up in legally paralyzing questions of machine sentience, pushed by certain avid humans. There’s also a risk on the flip side. The search is under way to identify objectively measurable functions and qualities that signify consciousness in humans and can be extended to signify consciousness in machines. Ask your favorite chatbot about terms like metacognition and Global Workspace Theory. Such a search, like so much about AI, poses a quandary: It may end up undermining human confidence that humans are anything special. This is especially risky given the inevitably increasing role machines of the state will play in allocating our rights and privileges under our increasingly elaborate welfare and legal systems.

Josh Shapiro Shows Democrats How to Win



POLITICS & IDEAS
By William A. Galston

As Democrats continue to reckon with their shattering defeat in 2024, Donald Trump’s unpopularity is leading many voters to give them a new look. The president’s failure to bring prices down has wiped out the advantage his party enjoyed on managing the economy, and the conflict with Iran is counterbalancing memories of Joe Biden’s poorly executed withdrawal from Afghanistan.

He’s far ahead in the most important swing state. As 2028 nears, pay attention.

Not surprisingly, Democrats are arguing about how best to take advantage of the opportunity Mr. Trump has handed them. This debate pivots on two classic theories—mobilization and persuasion—that aren’t flatly incompatible but point in different directions. Mobilizers focus on activating previously uninvolved portions of the electorate and bringing them to the polls; persuaders on changing the minds of regular voters. Mobilization typically requires intensifying conflict by mounting sharp attacks on the opposition and offering new proposals that challenge the

status quo. Persuasion requires building on common ground with those who have opposed your party in the past. New York Mayor Zohran Mamdani’s election brought throngs of new young voters into the electorate, a major victory for the mobilizers. Likewise Abdul El-Sayed’s successful campaign against the moderate Democrat Rep. Haley Stevens for Michigan’s U.S. Senate nomination. A general-election victory for Mr. El-Sayed in an important swing state would put wind in the sails of the mobilizers as Democrats turn toward 2028. The persuaders’ flag is being carried by Gov. Josh Shapiro of Pennsylvania, the largest and most important swing state. Except for George W. Bush, every winning presidential candidate since 1972 has carried the Keystone State, and in the past 10 presidential elections the winning candidate’s share of the state’s vote has deviated from his national share by an average of only 1.6 points. With its mix of bright blue big cities, purple suburbs and dark red rural towns, Pennsylvania has become a microcosm of the country. Mr. Shapiro’s standing in his race for re-election is remarkable. According to polls conducted in the past two months, he leads his Republican challenger by more than 20 points. His job approval stands at 60%, including 56% of white voters without college degrees. Along with near-unanimous support from Democrats and from 58% of independents, 31% percent of



Pennsylvania Gov. Josh Shapiro

Republicans approve of his performance in office, as do 30% of Trump supporters. Seventeen percent of Republicans say that they will vote for him. In our polarized times, these results are unusual. But they are explicable. Fifty percent of Pennsylvania’s electorate sees the Democratic Party as having moved too far left, compared with only 33% who think that the party hasn’t moved too far in either direction. For Mr. Shapiro, it’s the reverse: Just 29% see him as having moved too far left, while twice as many—58%—see him as neither too far left nor too far right. Only 11% of Republicans think that the Democratic Party has found this sweet spot on the ideological spectrum, but 37% think Mr. Shapiro has. This is a good operational definition of moderation, and he is reaping its rewards. What about Israel? Mr. Shapiro is Jewish and a strong

supporter of Israel’s right to exist as a Jewish and democratic state. At the same time, he favors a two-state solution, has been critical of Prime Minister Benjamin Netanyahu’s policies, and has spoken in general terms of using U.S. arms sales to Israel as leverage to change some of the Netanyahu government’s policies. Here again, Mr. Shapiro seems to have found the point of equipoise. Sixteen percent of Democrats believe that he has been too supportive of Israel and 3% that he has been insufficiently supportive. But 59% think that his level of support is about right, as do 47% of Pennsylvania’s electorate, with the remainder evenly divided between the “too much” and “not enough” camps. Serious observers give Mr. Shapiro’s opponent, state Treasurer Stacy Garrity, scant chance of winning. Republicans may decide to invest in the race anyway in an effort to deprive him of a landslide. Mr. Shapiro has been campaigning as a party builder, appearing with Democrats in swing congressional and state legislative districts, and Republican cash could complicate this effort as well. But if Mr. Shapiro wins the smashing victory that current polls project, backed by a unified Democratic Party, a majority of independents and a substantial crossover vote from Republicans, his strategy of persuasion through moderation will be vindicated in a state that serves as a dry run for the 2028 election.

BOOKSHELF | By Philip Terzian

How to Keep A Myth Alive

American Scoundrel
By Kai Bird and Susan Goldmark Scribner, 528 pages, \$32

It’s fair to assume that the curious reader approaching a book called “American Scoundrel,” whose subject’s life is described in the subtitle as a “dark journey from Joe McCarthy to Donald Trump,” will not be reading a hagiography. In that sense the biographer and journalist Kai Bird, its principal author (assisted by Susan Goldmark, Mr. Bird’s wife and chief researcher), does not disappoint. At the outset Roy Cohn is characterized as a “narcissistic con artist” and “scoundrel who used his notoriety as a badge of honor when it merely reflected bad behavior.” Like his subtitle partners, McCarthy and Mr. Trump, Cohn used his “personal resentments to tap into raw populist emotions that have long festered in American society.” He never speaks, only snarls, and a man who graduated from Columbia Law School at 20 is described as “the perfect anti-intellectual.” With his “blue eyes, slicked-back, ink-dark black hair,” the young Cohn was “not unattractive” but “just not handsome . . . with thin lips and a misshapen nose featuring a distinctive, spindly red scar running down the bridge. . . . His eyes . . . bulged under hooded eyelids. As he aged the heavy lids drooped even more, making him seem malevolent even when he smiled.” In case the mood has not been properly set, the author informs us that Cohn’s mother, Dora, “was short, dumpy, and bulbous” and remembered by a female relation, the writer Anne Roiphe, as “the ugliest woman I had ever seen.” To be sure, it’s disturbing to think that this modern Moloch might have exercised so much influence over midcentury America, as Mr. Bird maintains, with Cohn’s baleful legacy extended into the present day by President Trump. But is this a plausible claim? Cohn was a newsworthy figure in the early 1950s, one of many federal prosecutors in New York who sent Soviet spies and sympathizers to prison (Alger Hiss, William Remington) or to the electric chair (Julius and Ethel Rosenberg). Later, he served as chief counsel to Sen. McCarthy’s investigative committee and the 1954 Army-McCarthy hearings. In truth, Cohn’s startling youth, aggressive courtroom tactics, distinctive demeanor and penchant for self-promotion accounted for more press coverage than he genuinely warranted. And of course those hearings, which didn’t go especially well for either McCarthy or Cohn, effectively ended McCarthy’s reign as a power in Washington. By the summer of that same year, the 27-year-old Cohn was back in New York practicing law. In December, McCarthy was censured by the Senate and died three years later. Cohn never held any public office, or exerted any measurable political influence, either in New York or Washington. It would be an understatement to say that most left-liberals of the time were shaken and stirred by the brief transit of the anticommunist McCarthy era but, as “American Scoundrel” illustrates, some have neither fully recovered from the experience nor benefited much from the sober-minded research and scholarship of recent decades. It is worth noting that Mr. Bird’s citations often date from the era itself, his authorities ranging from the entertainingly subjective (Richard Rovere of the New Yorker) to the patently dubious (syndicated columnist Drew Pearson). Indeed, 35 years after the fall of the Soviet Union, and the release of voluminous evidence from the Kremlin archives, Mr. Bird, a onetime columnist for the Nation, concludes his colorfully worded account of the Hiss affair by observing that “historians are still hotly debating the case.” Really?

Roy Cohn was Sen. Joe McCarthy’s fixer and for decades a gifted attention-seeker. The tendency to overstate his influence lives on.

All of which is to concede that, while Cohn’s historic significance is, at best, minimal, his status as a menacing specter in the minds of liberal journalists has only grown. Which makes it especially regrettable that, while Mr. Bird offers considerable detail chronicling Cohn’s colorful legal career and enduring interest to gossip columnists and magazine profilers, all the entertaining stories and lurid set-pieces are spoiled in the service of an underlying thesis—Cohn as linchpin of modern conservative politics and Trump’s Svengali—which grows less persuasive with more repetition. (Mr. Bird recounts at length the legend that J. Edgar Hoover was a cross-dresser, while never making clear whether he believes in the mythology or not. Its sole witness was the ex-wife of a Cohn client, a cigar-chomping liquor tycoon and Republican benefactor named Lewis Rosenstiel.) Cohn’s father, Alfred, was a lawyer and appellate judge much admired in the civic-ethnic-commercial circles that, until recently, tended to dominate New York’s business, legal and political circles. Mr. Bird’s descriptions of the city’s interlocking directorates and family connections are revealing, but such networks are wholly characteristic of most urban establishments in America and around the world. It comes as no surprise, therefore, to learn that at some point in the 1970s Roy Cohn should have bumped into property developer Fred Trump’s ambitious, high-living son Donald. Yet their connection, which might accurately be described as a transactional friendship, scarcely makes the case for Cohn’s supposed influence.

What set Cohn apart from the crowd was that, despite a prodigal intellect, sheltered upbringing and a certain idealism, he seems to have settled early in life into a kind of habitual cynicism and taste for shock and sensation. This led to a long, profitable, well-publicized run as a familiar New York character: the courthouse fixer, connoisseur of the high life, agent of influence and lawyer who largely practiced law on the telephone. In the three decades between his service to McCarthy and his death from AIDS in 1986, Cohn was reliably showbiz-adjacent, delighting in the company of gangster-clients, well-heeled sharpies, rough-around-the-edges tycoons and bipartisan outcasts from polite company. Part of this may have been an overreaction to pariah status, post-McCarthy, and part of it may have been the sensibility of a closeted gay man. But we’ll never know, and Cohn remains wrapped in permanent mystery. He was certainly a victim of something approaching persecution at the hands of Manhattan’s district attorney, Robert Morgenthau, and no doubt the judgment of his buttoned-up Jewish parents explains his sexual promiscuity after both were dead. Roy Cohn made for good copy, but history is another matter.

Mr. Terzian is the author of “Architects of Power: Roosevelt, Eisenhower, and the American Century.”

The ‘Segal Issue’ and U.S.-Canada Trade

By Michael Segal

There are numerous discrete problems in U.S.-Canada trade. Canada has a dairy quota, and the U.S. is reluctant to buy Canadian aluminum even though Quebec can produce it inexpensively using hydroelectric power. These can be solved easily. The big problem is the Segal issue—which is named for a cousin of mine. The Segal issue held up the 1993 North American Free Trade Agreement for months. Publicly it was called the “textile issue,” but in private the negotiators called it the “Segal issue.” Most of the dollars involved a Canadian manufacturer of men’s suits, Peerless Clothing, which was led, after my father’s death, by his first cousin Alvin Segal. The problem was that Peerless could import fine Italian cloth duty-free to Canada and make it into suits that could be sold in the U.S., undercutting

American manufacturers, which faced U.S. tariffs if they imported the same cloth. The Nafta negotiators worked around this problem by giving Canadian manufacturers a break from Nafta tariffs according to their existing shipments to the U.S., much of which accrued to Peerless. A more elegant repair came in

My cousin’s men’s-suit factory and the Nafta negotiations.

2001, during the final days of Bill Clinton’s presidency, when the Commerce Department dropped duties on importing Italian cloth to the U.S., leveling the playing field for Canadian and U.S. manufacturers. When the U.S.-Mexico-Canada Agreement replaced Nafta in 2020, Alvin thought the new changes were also wise. Today, the same issue—dif-

ferent tariffs on imported inputs from other countries—is the core problem between Canada and the U.S. The problem has re-emerged because President Trump has reversed Bill Clinton’s approach and raised tariffs on a vast number of items. That creates a huge flurry of Segal-like issues in many different sectors of manufacturing and trade. There are so many tariffs that differ between the U.S. and Canada that fair trade between the two countries has become overly complicated to achieve.

Mr. Trump may prefer to solve the issue by demanding that Canada raise and lower tariffs in tandem with America. Ottawa wouldn’t accept that. It would be a huge affront to Canadian independence, and it would inflict on Canada the chaos of frequent U.S. tariff changes. The most sensible approach would be to emulate Mr. Clinton and eliminate most tariffs, with exceptions for national

Dr. Segal is a neurologist and neuroscientist.

OPINION

REVIEW & OUTLOOK

Hurray for the Bond Market

Yields on long-dated government bonds are rising across the world, and the reaction among the financial press and talking heads is a mini-panic: Oh no, the debt crisis has finally arrived. The better view is hurray for the bond market, as investors awake at long last from nearly two decades of financial repression. Spendthrift governments might finally have to pay more to borrow and tighten their belts as a result.

The 10-year Treasury note ticked up to 4.8% on Tuesday amid a global bond selloff that sent yields on Japan's 10-year to a three-decade high. The U.S. 30-year bond hit 5.28%, while the U.K.'s 30-year gilt rose to a 28-year high of 5.9%.

At least for the U.S., this is hardly a crisis. A 10-year bond in the 4%-5% range was normal before the financial panic and the pandemic. While rising yields may be painful for governments, and pose risks for overleveraged borrowers, they are healthy for markets because they restore price signals and provide a more accurate measure of credit risk.

After the 2008-09 financial panic, central banks kept interest rates at historically low levels and engaged in quantitative easing by buying long-dated assets, including government bonds and mortgage-backed securities. Outside the U.S. they also bought corporate debt. Inflation remained subdued, which lulled markets and borrowers into thinking that low rates represented the new normal.

Low rates enabled governments to borrow cheaply and pile on debt. Capital allocation in the real economy became distorted, and price signals were suppressed. That's because interest rates on mortgages, student loans, and corporate and municipal bonds are tied to long-dated Treasurys. Low rates amounted to a subsidy for profligate governments.

Consider Illinois, which in 2010 issued five-year bonds to finance its pensions at a 3.854% rate. "This is a very successful deal for the State of Illinois and the 3.854% rate is proof the State's economy is strong," then Democratic Gov. Pat Quinn declared. No, it was evidence that investors weren't properly pricing credit risk.

California in 2017 issued bonds for its bullet train carrying a 2.193% rate. The train still isn't

close to being finished, and it may never be. Colleges took advantage of the uber-low rates to expand their real-estate empires and improve amenities to lure students. Low rates helped fuel an increase in housing prices that is now reducing the available supply of homes as owners feel locked-in by today's higher mortgage rates.

Pension funds and life insurers with long-dated liabilities poured into riskier assets with higher yields to fund future obligations. Bloomberg News reported last week that LeBron James borrowed nearly \$300 million at a 4.8% rate from a pair of Midwestern life insurers in 2018—when 30-year Treasurys were yielding about 3%—with his bonds not maturing until late 2049.

Yields are now returning to historically normal levels as central banks have increased short-term rates to subdue inflation. New Federal Reserve Chairman Kevin Warsh has said he wants the bond market's signals to inform Fed policy decisions, not vice versa. Rising yields reflect in part expectations that interest rates will stay higher for longer, and that governments will have to issue more debt to finance entitlements for aging populations. Governments are also having to compete in bond markets with AI hyper-scalers.

This transition isn't without financial risk, and some market crack-ups are sure to occur, though who knows where and when. Washington can help put off a doomsday with policies that help economic growth, which doesn't include tax increases or tariffs.

* * *

But overall the return to normal debt markets is a good development. U.S. debt held by the public at 100% of GDP is a problem, and on present trend it will get worse. Interest on the debt is now \$1 trillion a year, more than the defense budget, and growing. Neither party in Washington is willing to reform the runaway entitlements that are driving the debt.

The bond vigilantes aren't yet in full cry, but their early murmurs are welcome. They are sending a message to Washington and other Western nations to clean up their fiscal acts. Bond investors may be the only people who can force the politicians to pay attention. The real worry is if the politicians don't listen.

Germany Calls Out Putin's 'Hybrid' War

Germany said Tuesday that Russia was responsible for a drone attack at Leipzig airport last month, and the Kremlin role is no great surprise. The news is that the Germans are finally calling out Vladimir Putin's reckless escalations against the NATO alliance.

"We do not consider ourselves at war but we are the daily target of hybrid warfare," German Interior Minister Alexander Dobrindt said. The explosive drone turned up at an airport known as a supply route for Ukraine. The International Institute for Strategic Studies this summer tallied 144 drone incidents across 13 countries in less than two years, with Russia as the main culprit.

The Russian dictator is struggling in Ukraine, but he hasn't given up on exposing the Western alliance as unwilling to defend itself. Mr. Putin's "hybrid" strategy—from cyber attacks to dragging anchors over undersea cables—is a veil to deny Russia's responsibility. He wants to shunt the burden of escalating onto the West and split the alliance without having to fight.

Mr. Putin may not have the manpower to invade the Baltic countries today, but his Ukraine miscalculation started with similar tactics. The question is what the West will do beyond denunciation. Yes, Western militaries need better counter-drone defenses, but the alliance can't

protect every soft target in Europe and will have to rely on deterrence.

This makes it especially unfortunate for the Trump Administration to have invited Russia's finance minister to the G-20 meeting in North Carolina this week. The German finance minister was justifiably angry to see Russia welcomed to such a forum for the first time since the Ukraine invasion in February 2022.

Mr. Putin will pocket the international legitimacy from the visit and continue his terror bombing of civilians in Kyiv. The President's time would be better spent trying to move the late Sen. Lindsey Graham's Russian sanctions bill through the House, where its fate this week is uncertain.

Press reports say CIA Director John Ratcliffe told Russia on his recent Moscow visit to knock off the help for Iran. But that message appears to have been lost in translation, with Mr. Putin affirming his support this week for the Islamic regime that is trying to kill Americans—perhaps even Mr. Trump's son, Barron.

Mr. Putin is behaving like he thinks he can get away with flagrant provocations. Europe for too long hasn't wanted to risk speaking plainly about the threat, which makes Germany's blunt comments this week all the more welcome.

The Supreme Court's Ballroom Standing

A 5-4 majority of the Supreme Court late Monday cleared the way for President Trump to finish his rebuild of the White House East Wing, complete with his beloved ballroom. The much bigger victory here is for the rule of law on the crucial but esoteric matter of legal "standing" (*National Park Service v. National Trust for Historic Preservation*).

The majority ruled that the plaintiff lacked the standing to sue because the injury claimed wasn't "concrete and particularized." This is the Court's classic requirement for the judiciary to hear cases, lest courts be asked to decide all manner of differences of opinion.

Alison Hoagland, a Washington, D.C., resident and member of the National Trust for Historic Preservation, sued to stop the construction claiming it injured her "aesthetic, cultural, and historical interests" because she is offended by the scale, height and design of the planned reconstruction. She certainly has a point on Mr. Trump's taste, which runs to the gilded, garish and gargantuan.

But is this a particular injury? Ms. Hoagland says she's likely to walk past the White House every so often and is distressed. We can think of many things in Washington that are distressing, but we can't sue to stop them.

"This Court has not found standing in circumstances like these before," says the majority in an unsigned opinion. "To the contrary,

we have repeatedly held that mere offense, disagreement, or distaste does not qualify as a concrete and particularized injury under Article III" of the Constitution. Something more is required than "the psychological consequence presumably produced by observation of conduct with which one disagrees."

In a dissent, Chief Justice John Roberts, joined by the three liberals, writes that the ballroom "construction is likely unlawful" since Congress hasn't appropriated the money for it. Private donors are paying for much of it. And he cites a 1992 Court precedent on standing in an environmental case (*Lujan v. Defenders of Wildlife*) that a desire to "observe an animal species" qualified as standing.

The Chief is stretching here, and the majority replies that *Lujan* required more than a "cognizable interest" for standing. The Chief's opinion is a surprise, since he's long been a legal hawk on standing. But the rest of his opinion reads as if his decision might also have something to do with his distaste for the President's lack of taste and bulldozer politics.

The larger winner here is the future of the law. If the Court had granted Ms. Hoagland standing, judges across the country would have cited the case as cause to let countless plaintiffs sue on aesthetic differences or claims of emotional or other offense. The courts aren't a venue for architecture criticism.

Higher yields aren't yet a crisis. They could be if the pols don't listen.

The Interior Minister says Russia was behind a drone airport attack.

The Justices rule that courts aren't a venue for architecture criticism.

LETTERS TO THE EDITOR

The FHA Protects Taxpayers and Homeowners

Your editorial "UWM Is a Government Mortgage Canary" (Aug. 14) warrants a few elaborations regarding the Federal Housing Administration's mortgage insurance program.

First, the FHA pays insurance claims from its Mutual Mortgage Insurance Fund, which is funded by mortgage insurance premiums paid by FHA borrowers and investment income. By statute, the FHA possesses permanent and indefinite budget authority with the U.S. Treasury and today has a buffer of \$188 billion in capital between taxpayers and mortgage defaults.

Second, the current administration has addressed several problems with the system of borrower assistance with which you take issue. As you note, the prior administration's adjustments to borrower assistance included extensions of Covid-era assistance and novel uses of what's called the "partial claim," a long-used method of assistance for eligible borrowers. Under an FHA partial claim, eligible mortgage arrearages are placed into a zero-interest subordinate lien. The lien generally doesn't have to be repaid until the borrower sells the property, refinances the mortgage or otherwise triggers repayment.

For borrowers, this helps stave off foreclosure without requiring extra monthly payments. For the FHA, it can be considerably less expensive than allowing a seriously delinquent loan to proceed to foreclosure and paying a full insurance claim.

Partial claims were used extensively during the previous administration, driven in significant part by the pan-

demic. They also permitted borrowers who subsequently re-defaulted to receive additional assistance that resulted in a dramatic increase in the number of partial claims—now more than 1.7 million partial claims outstanding, which today presents challenges for borrowers and the FHA.

However, the current administration has changed that policy, requiring borrowers who need loss mitigation to satisfy a three-month trial payment period and placing tighter restrictions on how soon a borrower can receive another partial claim. Previously, borrowers could move quickly into a partial claim and return to current status for reporting purposes; today, a borrower participating in a trial payment plan remains classified as delinquent until the trial period is successfully completed.

None of this is an argument that the FHA should be indifferent to a specific lender's origination practices. FHA staff routinely monitor loan performance to ensure stability and regularly take action against lenders with poor underwriting quality.

Nevertheless, keeping a creditworthy borrower in a home through a sustainable modification and resolving the arrearage through a subordinate lien can be dramatically less costly than allowing the loan to fail.

BRIAN D. MONTGOMERY
Alexandria, Va.

Mr. Montgomery served as FHA commissioner from 2005-09 and 2018-20 and as Housing and Urban Development deputy secretary from 2019-21.

Putin Is Testing NATO in a Roundabout Way

Regarding your editorial "Would Putin Really Tangle With NATO?" (Aug. 28): For all the attempts on both sides to play down the significance of CIA Director John Ratcliffe's visit to Moscow last week, meetings between U.S. and Russian officials tend to be serious affairs.

Even so, it matters little what warnings Mr. Ratcliffe conveyed to the Kremlin. To date, Vladimir Putin's reaction to representations and sanctions from the West has been either to ignore them or to respond with lies and threats. Meanwhile, Russia has continued unabated with its aggression against Ukraine. It has also continued to cooperate with the Iranian regime and to conduct a campaign of subversion, sabotage and targeted killing plots across Europe, according to Western intelligence officials.

It seems that the only intervention Mr. Putin takes seriously is that which comes from Beijing. A scenario in which Russia fires a tactical nuclear weapon into Ukraine may therefore be confidently discounted. Mr. Putin knows Xi Jinping won't stand for it.

What the West does need to worry about are Russian attacks against seabed cables, pipelines and shipping in international waters. Possible also, but less likely, might be border incursions into Russian-speaking areas of eastern Estonia and Latvia. Such ac-

tions would enable Mr. Putin to test how effectively North Atlantic Treaty Organization powers would respond to his provocations.

The situation may become alarming in the next few months, especially if the U.S. under President Trump proves to be a broken reed rather than the cornerstone of the NATO alliance.

TERRY SMITH
London

Your editorial asks if Russia would tangle with NATO. It is already doing so. The war in Ukraine has always been about Russian pushback against alliance expansion. NATO has answered with robust financial, military and intelligence support, without which Ukraine would have crumbled. The real question is where Mr. Putin would find the troops necessary to prosecute a direct attack. Most of Russia's active operational land forces are committed to or rotating through the Ukrainian theater, where they are being chewed up at unsustainable rates. Trying to open a second front in the Baltics, where the population is on alert and NATO forces are forward-deployed, would be a disaster for Mr. Putin.

CMDR. JOHN FORTUGNO, USN (RET.)
Olympia, Wash.

Mr. Fortugno is a former planner at NATO headquarters.

California's Climate Rules: All Pain, No Gain

Thank you for putting a spotlight on California's continuing climate-regulation foolishness in your editorial "Now California Is Coming for Your Tires" (Aug. 24). Gov. Gavin Newsom has been in office for seven years, and California still has the distinction of possessing the most counties of any state that fail all three of the American Lung Association's measures for air pollution. Los Angeles is one of them. Yet we have the highest gas prices and the most registered electric vehicles of any state. I hope this tire regulation will be the straw that breaks the camel's back.

How Would Ronald Reagan Explain the National Debt?

Concerning your editorial "How the U.S. Went \$40 Trillion in Debt" (Aug. 21): In 1981 the federal debt first passed the \$1 trillion mark. I watched President Ronald Reagan's speech when he addressed that approaching milestone. He said that "if you had a stack of thousand-dollar bills in your hand only 4 inches high, you'd be a millionaire. A trillion dollars would be a stack of thousand-dollar bills 67 miles high." And now we're at 2,680 miles.

BOB LUTON
Jackson, Mich.

CORRECTION

Jolt.film is a film-distribution platform. A television review on Aug. 26, "An Eye for an Eye: Justice With Blind Spots in Iran," included an incorrect version of the platform's name.

Letters intended for publication should be emailed to wsj.letters@wsj.com. Please include your city, state and telephone number. All letters are subject to editing, and unpublished letters cannot be acknowledged.

But I fear it'll only bring us closer to the point at which a camel is the only mode of transportation Californians can afford.

BRIAN TOKUBO
Lake Forest, Calif.

Don't Rename Lake Ontario

The president declared that Lake Ontario is to be renamed Lake America ("Trump Rechristens Lake Ontario," U.S. News, Aug. 28). We in the Midwest have always remembered the names of the five lakes by using the mnemonic HOMES—Huron, Ontario, Michigan, Erie, Superior. Now we will have to remember SHAME.

Also, every map of the area anywhere in the federal government will have to be replaced. How much will that cost? Great way to cut the federal budget deficit, Mr. President.

RAYMOND J. KELLY III
Flushing, Mich.

Pepper ... And Salt

THE WALL STREET JOURNAL



"Well, if it isn't the Adamsons of show and tell infamy."

OPINION

How Reagan Saved Social Security

By Phil Gramm
And Michael Solon

Any proposal to deal with Social Security's pending insolvency should be based on an understanding of history—why the 1977 Social Security reform failed in only five years while the 1983 reform bought 50 years of solvency. The 1977 reform failed as real wages declined, prices spiraled and the economy stagnated. The 1983 reform succeeded largely because of a strong economy: The inflation rate plummeted, ushering in decades of price stability, and real wages rose, producing about a quarter-century of strong economic growth.

The bipartisan 1983 effort made the system solvent for half a century, largely thanks to a strong economy.

Any Social Security reform based on raising the Social Security tax rate and expanding income subject to the tax would push millions of taxpayers to a cumulative marginal rate of more than 50%. That would cripple an economy in which real wages are already stagnant and gross domestic product is growing at less than 2% a year—ultimately failing to provide Social Security solvency.

President Franklin D. Roosevelt said in 1935 that Social Security would be “compulsory contributory annuities which in time will establish a self-supporting system for those now young and for future generations.” Senate Finance Committee

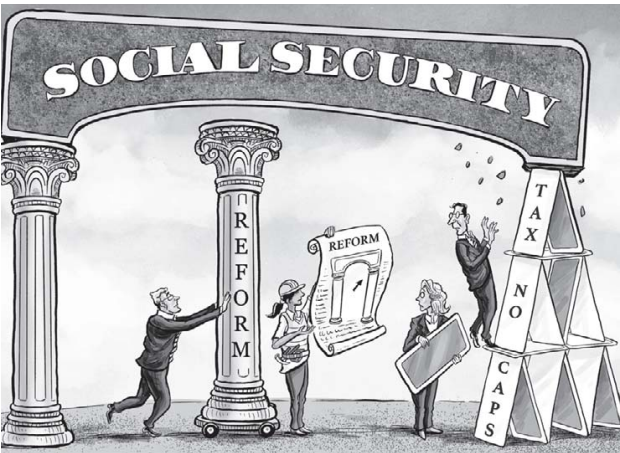
Chairman Pat Harrison (D., Miss.) promised Social Security’s “annuity system will give to the worker the satisfaction of knowing that he himself is providing for his old age.”

Two years later, Roosevelt’s Justice Department argued before the Supreme Court that Social Security taxes “are true taxes, their purpose being simply to raise revenue. . . . The proceeds are paid unrestricted into the Treasury as internal revenue collections, available for general support of the Government. . . . A taxpayer has no standing to question the propriety of any expenditures from the Federal Treasury.”

With Social Security tax collections initially dwarfing benefit payments, government pillaged the notional trust fund, adding benefits and beneficiaries. Congress increased benefit payments for retirees and expanded coverage to spouses and dependents. Inflation adjustments triggered election-year bidding wars. After World War II, repeated legislative increases expanded inflation-adjusted Social Security benefits for a worker with average lifetime earnings by 442%, 28% faster than per capita GDP growth.

In 1972 the Nixon administration proposed automatically indexing the buildup of Social Security benefits by nominal wages prior to retirement and by inflation after retirement, significantly expanding benefits. But a legislative drafting error indexed benefits for both nominal wages and inflation, in the process double-counting the effect of inflation. Social Security benefits spending spiked by an extra 21%, the nominal trust fund balance plummeted by a third, and the trust fund faced insolvency in five years.

The 1977 Social Security reform made two major changes: It elimi-



nated the double-counting of inflation in indexing Social Security benefits (although it continued to index the buildup of benefits before retirement by wage growth rather than prices). It also raised the payroll tax rate (including both Social Security and Medicare) by 14% and the income level subject to the Social Security tax by 96% from 1977-82.

When signing the 1977 reforms, President Jimmy Carter said that the rescue would “solve both the short-term and long-term problems in the Social Security system through the end of the 20th century.” Instead, by 1981, Social Security trustees warned that the Old-Age and Survivors Insurance Trust Fund would “be unable to make benefit payments on time beginning in the latter half of 1982.”

The 1983 Ronald Reagan-Tip O’Neill Social Security rescue succeeded in large part because by 1983 a committed Federal Reserve had broken the back of inflation and the

Reagan program had spawned a recovery that lasted for a quarter of a century. Inflation was checked for nearly 40 years, and from 1983 until the beginning of the subprime crisis, real GDP grew on average by 3.4% a year.

The Reagan-O’Neill reform still stands as a testament to bipartisanship at its best. The Reagan budget and the Social Security rescue package terminated or significantly reformed a series of unearned benefits such as the minimum benefit, the death benefit and the adult-student benefit, and, through an amendment offered by Rep. Jake Pickle (D., Texas) and supported by the vast majority of Republicans, it raised the full retirement age from 65 to 67. It also accelerated scheduled Social Security tax-rate increases, incorporating ideas previously recommended by the Jimmy Carter-Joseph Califano Advisory Council on Social Security. This bipartisan effort averted an immedi-

ate crisis and stabilized Social Security’s finances for a half-century.

So long as the Social Security system runs on a pay-as-you-go basis with no real investments to support benefits, it will never be solvent on a long-term basis. The Roosevelt administration could have invested the portion of annual Social Security taxes not required to fund the small early-year benefits in a trust fund that was owned by the people who paid Social Security taxes. Had the government adopted such a system from the beginning, investing 70% in a broad-based stock portfolio like the modern S&P 500 and 30% in investment-grade private bonds, the trust fund in 1977 would have held \$209 billion in real assets rather than \$36 billion of government IOUs. Had the surpluses generated by the bipartisan reforms of 1983 been invested in a similar investment mix, the Social Security trust fund would have \$14.1 trillion in real assets today rather than a government IOU for \$2.6 trillion.

Except in the immediate recovery from the pandemic, annual real GDP growth has cleared 3% only once since 2008. With economic growth during that period one-third less than the previous postwar average, the Social Security Trustees’ estimated insolvency date has moved up from 2042 to 2032. Our historical experience suggests that a Social Security reform relying on raising tax rates and eliminating the income cap would hobble the economy and fail to achieve long-term solvency.

Mr. Gramm, a former chairman of the Senate Banking Committee, is a visiting scholar at the American Enterprise Institute. Mr. Solon is a senior fellow at the Hudson Institute. Alex Yu contributed to this article.

Everyone Makes Mistakes, Especially Pollsters



UPWARD
MOBILITY
By Jason L.
Riley

The last thing voters need in the runup to this year’s midterm election is another reason not to trust the results. Unfortunately, the primary season has been marred by polling scandals that are catnip for conspiracy theorists and bad for democracy.

A polling outfit called the Public Sentiment Institute has come under scrutiny for allegedly manipulating survey data in last month’s Florida Republican gubernatorial primary to boost the prospects of James Fishback, the candidate who paid for the poll. A second firm, Patriot Polling, was also accused of publishing surveys in the Florida governor’s race to help Mr. Fishback without disclosing that it received funding from his campaign.

Mr. Fishback lost the GOP primary to Rep. Byron Donalds, who will face Democrat David Jolly in the general election. The Public Sentiment Institute issued a statement to the Hill newspaper that ac-

cepted responsibility for “disclosure failure” and “methodological error” but denied deliberately manipulating polling data. The paper reported that Patriot Polling hadn’t responded to its inquiries, but both polling groups have subsequently been banned from popular poll-tracking websites.

The Florida shenanigans followed a report in August that a third polling company, Median Strategies, was shutting down after admitting that it had published fake surveys on races in California, Nevada and Wisconsin as part of a “social experiment examining how purported polling information could enter and spread through the political information ecosystem without independent verification.”

Among those fooled was the reelection campaign of Los Angeles Mayor Karen Bass. The poll purported to show the mayor “leading City Councilmember Nithya Raman by double digits—a surprising result given Bass’s low approval rating and her administration’s recent setbacks on homelessness,” CaMatters reported. “It also claimed that Bass had won support from a vast majority of voters who sup-

ported insurgent Republican Spencer Pratt in the primary election.” The Bass campaign trumpeted the results, which had been reported in several local news outlets, but it had to delete the social-media post after Median Strategies acknowledged the poll was a sham.

Two firms appear to have skewed their surveys, while another turns out simply to have made results up.

It would be more comforting if we could blame all polling misses on frauds and pranksters, but the reality is that even the professionals have been way off in some of this year’s high-profile primary races. This fuels conspiracy theories and breeds general cynicism about the integrity of elections. In the Michigan Democratic Senate primary, reputable polls had progressive Abdul El-Sayed leading by double digits, yet he beat moderate Rep. Haley Stevens by a single point. In the Wisconsin Democratic

race for governor, Democratic socialist Francesca Hong had a comfortable lead, according to the public opinion polls, but she lost to David Crowley.

When someone well ahead in the polls ultimately loses, or wins by a much narrower margin than anticipated, people wonder. Are pollsters playing it straight, or are they trying to manipulate votes one way or another to advance a partisan agenda? Keep in mind that pollsters want to get hired in future election cycles, so they have little incentive to produce results that they know to be erroneous. It’s bad for business.

A more plausible explanation for polling errors is that primary elections are more difficult to poll than general elections. For starters, turnout is less reliable. Typically, it’s a fraction of registered voters, and using past turnout as a predictor isn’t always reliable, especially if you have a candidate who is generating more excitement than usual and attracting support from people who normally don’t cast ballots in primaries. Enthusiastic voters tend to be the ones most eager to talk to pollsters. This might have led

pollsters to oversample left-wing Democrats in the Michigan and Wisconsin primaries.

Polling for the general election is likely to be more reliable, and right now that should worry Republicans more than Democrats. To win back control of the Senate, Democrats need to win a net four seats. According to polling data aggregator RealClearPolitics, GOP candidates are trailing in a least a half-dozen Senate races in battleground states, including Alaska, New Hampshire, Maine, Georgia, Ohio and North Carolina.

The challenge for Republicans in November won’t be dastardly pollsters. It will be historical trends that show a high correlation between a president’s job-approval rating and his party’s performance in midterm elections. Since 1950, when a president’s job approval is above 50%, his party’s average loss of House seats has been 14, veteran Republican pollster Whit Ayres told me recently. When job approval is below 50%, the average loss has been 32 seats. Mr. Trump’s approval rating currently sits at about 39%. But that’s according to the polls.

Protect the Earth—Build More Data Centers

By Ted Nordhaus

Opposition to artificial intelligence has intensified over the past year. A majority of Americans worry that AI will kill jobs, distrust the information it generates, and doubt that tech leaders will develop the technology responsibly. Opposition has crystallized in environmental concerns about data centers. More than 70% of Americans oppose their construction, and 10 times as many Americans told Pew Research that data centers are bad for the environment than said they are good for the environment.

The environmental movement has jumped on the bandwagon. The National Wildlife Federation calls the AI boom “an environmental justice crisis.” Student activists from the Sunrise Movement stormed the Washington lobbying offices of OpenAI last month, insisting that AI

threatened their job prospects and access to clean drinking water.

But what if AI holds the key to a better environment? While concern about data centers focuses on dubious claims about water use, water quality, electricity prices and (somewhat more credibly) short-term carbon emissions, the environmental promise of this moment is being overlooked. AI and the build-out of data centers may offer a generational opportunity to clean up our electricity grid, improve water quality and water-use efficiency, and accelerate technologies to lighten the burden we impose on the planet.

How is this possible when hyperscalers are scrambling to build data centers and often powering them with carbon-emitting natural gas and sometimes even coal? Surging growth in electricity demand historically has accelerated the deployment of clean electricity-generation

technology. The golden age of nuclear energy in the U.S. in the 1960s and ’70s was a response to the rapid expansion of the grid in the postwar era. Rapid expansion of electricity grids in China, India and other developing countries has supercharged the adoption of solar, wind and batteries globally over the past 15 years. New research suggests this may be happening with the build-out of data centers in the U.S.

Moreover, the economics of AI electricity demand are unique and promising for the commercialization of key clean-energy technologies. Data centers need large amounts of power around the clock, so reliable generation is at a premium. Data-center developers are uniquely able to pay high prices—data centers need a lot of electricity, and that cost is a comparatively small share of the total capital and operating cost of a large data cen-

ter. Much of the investment in frontier AI computation, which accounts for 50% or more of the cost of a large data center, depreciates in a few years. Therefore providing power to those high-powered chips so they are running all the time becomes an economic imperative.

Their need for reliable power drives innovation while AI helps develop new clean technology.

Hyperscalers are deploying a lot of natural gas-powered generation because it is the only technology available that can meet the demanding reliability requirements of data centers. But there is a backlog of orders for new combined-cycle natural-gas plants and good reason to

think that gas prices will rise in the future. As a result, hyperscalers are making major commitments to next-generation nuclear, nascent geothermal and natural-gas plants that capture the carbon they produce. The massive data center build-out may prove to be the critical platform for commercializing clean, reliable, low-carbon electricity-generation technology that the world will need to tackle climate change.

The revolution in computational capabilities that is driving the AI revolution also promises to accelerate environmental-technology innovation. Whether by modeling the behavior of superhot plasmas in fusion reactors, developing better membranes to clean wastewater cheaply for reuse, or designing high-powered computer chips that use electricity more efficiently, the AI revolution is already seeding a revolution in clean technology.

That transformation will likely go beyond the energy and water footprints of data centers or electricity generation, promising everything from affordable and palatable cultivated meats to lower-impact precision agriculture to hyperefficient jet engines.

Whatever you think about AI, the future of the planet will be determined not by a short-term blip in domestic carbon emissions from data centers or the comparatively modest land and water demands of even the largest data centers, but by how quickly the world develops clean technologies to meet the food, energy and water needs of eight billion people. We shouldn’t pass up this opportunity.

Mr. Nordhaus is president of the Breakthrough Institute.

SPORTS



Miguel Vargas, left, has emerged as one of the White Sox's best hitters, while Munetaka Murakami, right, is one of the team's big power threats at the plate.

By JARED DIAMOND

At the conclusion of yet another dismal season for the Chicago White Sox last fall, the number 70.9 haunted Chris Getz's nightmares.

That was how fast, in miles per hour, White Sox hitters swung the bat a year ago. It was the slowest average in the major leagues—and the team's general manager wasn't entirely sure how to fix it.

"I didn't really think it could be," Getz said.

What Getz knew for sure is that if the White Sox swung harder, they would hit harder. So the organization embarked on a mission this past winter to teach their players to improve their bat speed. The results have been better than they ever could have imagined.

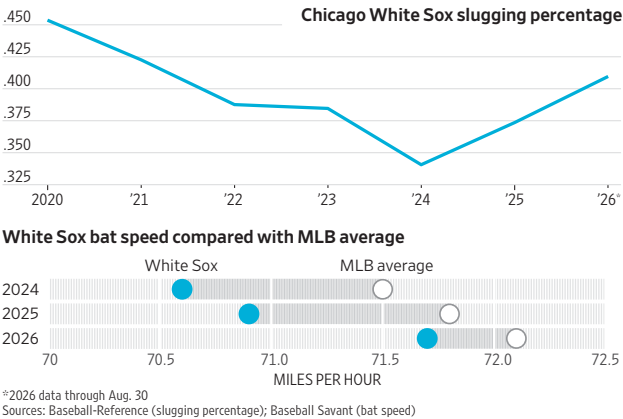
Now, the White Sox are the biggest surprise of 2026. The team that had finished the past three seasons with more than 100 losses—including a modern record of 121 in 2024—currently sits in first in the AL Central. No team has reached the postseason immediately after dropping 100 games or more multiple years in a row.

It's clear Chicago's emphasis on bat speed has paid off. The White Sox are swinging nearly a full mile per hour faster this season, or just shy of the MLB average of 72.1 mph. In turn, their scoring has gone from second-worst in the American League last year to No. 1 this year. They rank third in home runs and slugging percentage.

This isn't a coincidence. "It was very clear that we were just ill-equipped for what we were trying to do," White Sox director

The White Sox Take Hard Swing to the Top

After three consecutive 100-loss seasons, Chicago focused their analytics on bat speed and put themselves on the brink of the playoffs



of hitting Ryan Fuller said.

Hitting wonks have long espoused the importance of swinging faster—the concept seems almost obvious—but the idea of prioritizing it burst into the mainstream in 2024 when MLB began publicly releasing bat speed data. It has quickly become an obsession across the sport.

It isn't hard to see why. The

bat speed leaderboard is filled with some of MLB's most fearsome sluggers, like the Tampa Bay Rays' Junior Caminero, the St. Louis Cardinals' Jordan Walker and the Philadelphia Phillies' Kyle Schwarber. Research has shown that every mile per hour of added bat speed results in balls traveling six to seven feet farther.

This became frustratingly evi-

dent to the White Sox last season as they watched seemingly well-struck fly balls die on the warning track and grounders fail to scoot through the infield. Ahead of the offseason, Getz told Fuller, "There's no reason we have to be last if we put some focus into it."

Then Fuller went to work. "Harder contact obviously equals better results," Fuller said.

All of Chicago's minor-leaguers and many of its big-leaguers were instructed to take on a bat-speed training program in the offseason. This largely involved using different weighted bats designed to teach players how to move their bodies faster without altering their core swing mechanics.

Some of them saw significant gains. Take third baseman Miguel Vargas. With his plate discipline and ability to make solid contact, the White Sox told him that a faster swing could help his power jump dramatically. Last season, Vargas's average bat speed of 70.6 mph was in the 25th percentile across MLB. He returned this year in the 71st percentile with an average of 73.9 mph. No player in baseball had a larger increase.

Perhaps not surprisingly, Vargas has emerged as one of Chicago's best hitters. He has already hit 29 home runs, up from 16 last season. His on-base-plus-slugging percentage has increased from .717 to .851.

"When you see the stats and the improvement in my swing and how hard I'm hitting the ball," Vargas said, "it makes sense."

Even players with a more modest uptick in bat speeds have been better because of it. Infielder Chase Meidroth is swinging about half a mile per hour harder and has had his OPS rise by nearly 100 points. Veteran outfielder Andrew Benintendi's bat speed has risen over 1 mph, and his hard-hit percentage has gone up from 36.9% last year to 44.1% this year, according to Baseball Savant.

Of course, bat speed isn't everything. It doesn't matter how hard you swing if you swing at bad pitches or are unable to consistently make contact. At least part of Chicago's upgraded offensive attack can be attributed to the acquisition of Japanese first baseman Munetaka Murakami, who entered Tuesday with 29 homers. And the White Sox still have plenty of room to grow: They still rank in the bottom third of MLB in average bat speed, despite their big improvement from 2025.

But what's undeniable is that the White Sox have shocked baseball, vying for a spot in the playoffs quicker than even they realistically could have predicted—because they are swinging harder.

"There is something very special," Getz said, "about getting a group of players and getting them to buy in, unite—and get better."

Stan Kroenke Expands His Sports Empire With Angels Purchase

By JARED DIAMOND AND ANDREW BEATON

BILLIONAIRE STAN KROENKE has already conquered most of the biggest sports leagues on the planet. Over the past five years alone, the teams he owns have captured titles in the NFL, NBA, NHL and the English Premier League.

Now, Kroenke will try to put his magic touch on one of the saddest franchises around: the Los Angeles Angels.

Kroenke is buying the Angels from Arte Moreno, Major League Baseball's first Latino owner who has overseen the club's current streak of 11 consecutive losing seasons. The deal values the Angels and their media assets at an MLB-record \$4 billion, a person familiar with the matter said, surpassing the recent \$3.9 billion sale of the San Diego Padres to Jose E. Feliciano and Kwanza Jones. Moreno bought the team in 2003 from the Walt Disney Co. for \$184 million.

"The Angels are a storied fran-

chise anchored in a great market," Kroenke said in a statement. "We look forward to an exciting future with the Angels organization."

The agreement, which is expected to close in the first quarter of 2027, seemed to come out of nowhere. Moreno had put the team on the market in the summer of 2022, only to reverse course about five months later, saying he was "not ready to part ways with the fans, players, and our employees." As recently as this year, Moreno had indicated he wasn't looking

to sell, much to the dismay of frustrated Angels fans desperate for an end to his tenure.

On Tuesday, their potential savior emerged: Kroenke, a man who already owned franchises worth tens of billions of dollars. The real-estate magnate and sports investor swooped in and convinced Moreno to change his mind. Kroenke Sports & Entertainment's other assets include football's Los Angeles Rams, basketball's Denver Nuggets, hockey's Colorado Avalanche and the soccer club Arsenal.



Stan Kroenke is buying the Los Angeles Angels from Arte Moreno.

But, strangely enough, the missing piece in what was already a sprawling portfolio was baseball, the sport linked to him since birth. Born Enos Stanley Kroenke in rural Missouri, his namesakes were St. Louis Cardinals legends Enos Slaughter and Stan Musial.

In the Angels, who have played their home games in the shadow of Disneyland in Anaheim since 1966, the 79-year-old Kroenke is taking over one of the most stumbling teams in the sport. The club hasn't made the playoffs since 2014, the longest active drought in MLB. They haven't won a single

postseason game since 2009, earning the reputation as perhaps baseball's most dysfunctional organization.

What makes the Angels' failures so astonishing is that they wallowed in futility for years despite boasting the two greatest players of this generation: outfielder Mike Trout and two-way sensation Shohei Ohtani, who had signed from Japan before the 2018 campaign.

Ohtani later bolted for the local rival Los Angeles Dodgers for \$700 million. He promptly won consecutive World Series championships

and helped carry the Dodgers to unprecedented revenues that the Angels never realized.

During his tenure, Moreno didn't hesitate to spend lavishly for star players. In 2019, he authorized a \$426.5 million contract extension that will likely keep Trout in Orange County for his entire career. The problem was he didn't always use his money wisely. Free agent deals for Albert Pujols, Josh Hamilton and Anthony Rendon—together worth \$624 million—were largely disastrous.

But turning the Angels, who entered Tuesday tied for the second-worst record in baseball, into a competitive outfit will be just one of Kroenke's challenges. Angel Stadium, now 60 years old, is widely regarded as being in need of a face-lift.

The Angels were once a major box-office draw, attracting more than 3 million fans for 17 consecutive seasons in the wake of their lone World Series title in 2002, just before Moreno's arrival. They haven't reached this number this decade.

Kroenke, meanwhile, is no stranger to the Los Angeles area. In 2016, he moved the Rams from St. Louis to Southern California and, in 2021, to the \$5 billion SoFi Stadium. Months later, the Rams won the Super Bowl on their home field.

For Angels fans, they just have to look at a pair of Kroenke's teams beginning their seasons to feel optimistic that better days could be ahead. Arsenal is favored to win its second consecutive English title, while the Rams are the favorites to win the Super Bowl.

BUSINESS & FINANCE

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THE WALL STREET JOURNAL.

Wednesday, September 2, 2026 | **B1**

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Bally's Bet Comes Under Pressure

Casino operator's recent filing spooked Wall Street, hinted at financial strains

By **PETER GRANT**

Bally's has been piling its chips higher than ever on a bet that bricks-and-mortar casinos can thrive even as gambling moves onto phones and computer screens.

Now that stack is wobbling.

Earlier this month, the global casino operator gave investors a big scare about whether its heavily leveraged balance sheet could support major developments in New York, Chicago and Las Vegas. Bally's warned in a quarterly filing that unless it secured new financing or completed other planned transactions, it might violate liquidity and leverage requirements under its revolving-credit facility within a year.

"The conditions and events raise substantial doubt about



Bally's has tried to reassure investors and analysts about its heavily leveraged balance sheet.

the Company's ability to continue as a going concern," the filing said.

The filing sparked a freak-out on Wall Street, which has been getting increasingly worried about competition from

online sports betting and prediction markets. Bally's shares plunged 26% on the first trading day after that August filing and continued to fall. The stock has recovered slightly and closed at \$9.09 Tuesday,

about 35% below its prewarning close.

After its stock tanked, Bally's tried to play down the disclosure. In a follow-up statement, the company pointed out that accounting



rules prevented it from counting loans and asset sales still being negotiated until definitive agreements were signed. Company officials also told investors and analysts that these steps would enable Bally's to satisfy the liquidity and leverage requirements at issue.

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◆ **Property Report**..... **B6**

Shein Makes Low-Key Debut

By **STU WOO**

SINGAPORE—Shein, the Chinese fast-fashion giant that won over young Americans with \$3 T-shirts and \$10 jeans, made a subdued stock-market debut after years of geopolitical drama that has hobbled the company.

Shares fell as much as 10% on the Hong Kong exchange before rebounding to close to the initial public offering price, leaving the company with a valuation of about \$26 billion.

That is a far cry from its 2022 peak, when a funding round valued Shein at \$100 billion—more than Zara and H&M combined. Since then, the company has been hit by the closing of a U.S. loophole that had long allowed it to ship its products tariff free.

Going public at all was an achievement for the upstart that skyrocketed during the pandemic and rivaled Zara's parent company Inditex as the world's biggest fashion retailer by sales. In the four years since, officials in both Washington and Beijing thwarted

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OpenAI Counters Apple's Lawsuit

By **ROLFE WINKLER**

OpenAI hit back at **Apple** after the iPhone maker accused it of trade secret theft.

In a late-night legal filing, OpenAI asserted that Apple filed a baseless lawsuit to hamper its ability to recruit new employees and ultimately stall its effort to develop competing technology.

Many of the accusations boil down to poor offboarding procedures inside the iPhone maker, according to OpenAI.

"This dispute is a mess of Apple's own making, and it is trying to blame everyone else," OpenAI said in the filing, published Monday. "Apple blames employees who left the company for taking their personal accounts with them—even though Apple encouraged them to use personal accounts for work."

Apple's suit, filed in the Northern District of California

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INSIDE



RETAILING

Gap boosts its accessories game with a new line of handbags. **B3**

HEARD ON THE STREET

Jersey Mike's needs to win over Gen Z customers. **B12**

Ternus Inherits Vast Apple Empire

By **ROLFE WINKLER** AND **STEPHANIE STAMM**

Tuesday was John Ternus's first day on the job at **Apple**. To mark the occasion, the company's new chief executive created a profile on X, and within three hours of posting "hello," Ternus had 300,000 followers.

His instant stardom is largely a credit to his predecessors, who created the world's biggest device company. Steve Jobs built the company that defined how humans used computers for four decades. Tim Cook scaled it massively thanks to his supply-chain brilliance.

So what is the company Ternus inherits? And can he keep its incredible rise going?

Apple's market capitalization sits at nearly \$4.8 trillion, just below its late July peak. It is a number that translates to more than 30 times next year's expected profit, well over the earnings multiple of the S&P 500 index at 20 times. That is despite an earnings growth rate that is actually slower than the broader market's.

Why the premium? Because, in an age of anxiety over whether artificial intelligence can deliver promised returns for investors, Apple's business grows reliably and throws off consistent profit.

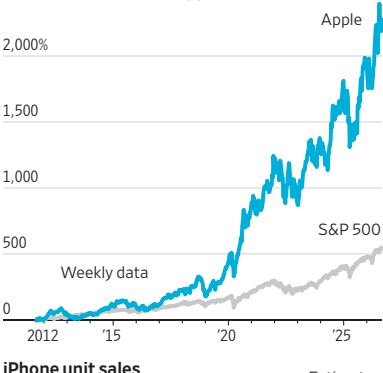
For Ternus the challenge is obvious: It is tough to expand a company that begins at such a lofty height.

Apple's biggest business, of course, is the iPhone. From the time Jobs launched it in 2007 to Cook's first year at the helm, Apple's revenue skyrocketed from \$24 billion to \$157 billion. And it has continued its climb from there. In Cook's first year, Apple sold 125 million iPhones. This year Apple will sell around 260 million.

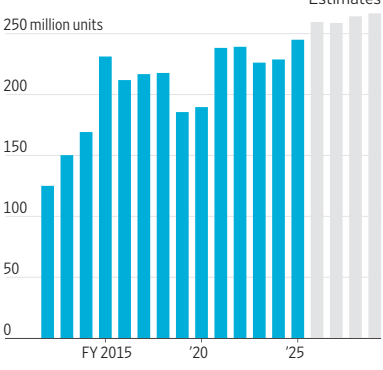
Just as significant, the average price Apple charges for iPhones will be around \$970 this year, according to Visible Alpha estimates, compared with \$630 in Cook's first year. That 53% boost in the price beats inflation, running at 47%.

Persuading consumers to pay more for consumer electronics isn't easy. Take computers: The first Apple II retailed

Share price and index performance during Tim Cook's tenure as Apple CEO

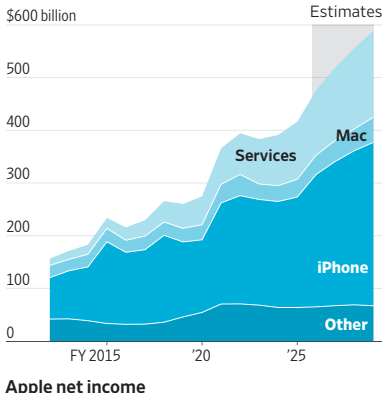


iPhone unit sales

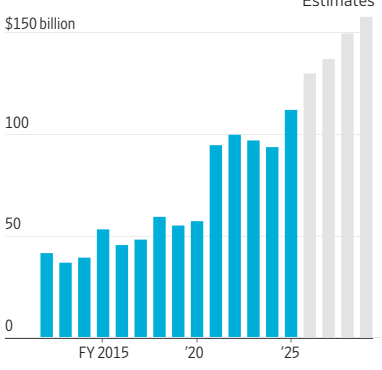


Note: Fiscal year ends in September

Apple revenue



Apple net income



Sources: FactSet (performance); the company (historical); Visible Alpha (estimates)

for \$1,298 in 1977, equal to about \$7,000 today.

A new MacBook Air this year? \$1,299, after a \$200 price increase this summer.

Can Ternus keep boosting iPhone volumes and average prices? Prices are certainly going up, as Apple has already flagged, due to spiking costs for memory and storage chips that are inside each device. Yes, iPhones are somewhat price inelastic, as economists might say: Consumers rely on them so much they'll eat higher costs, though they might decide to upgrade less often.

But Apple will have something new—and very expensive—to entice them when it releases the latest iPhone models on Sept. 9: a foldable phone.

To keep people excited about iPhones in the age of AI, Apple will need to make its device do more. It is releasing an updated Siri AI that will be a

significant upgrade over previous versions of the iPhone assistant, though that merely gets it closer to more sophisticated chatbots already available from OpenAI and Anthropic.

Cook's biggest win for shareholders might have been scaling Apple's services business so much. The gross profit margins for devices are around 40%. For services, they top 75%. This business includes sales of apps where Apple collects as much as 30% fees on in-app purchases. Perhaps its best business has been collecting over \$20 billion annually from Google to make the search engine the default in Apple's Sa-

fari browser. That is essentially all profit.

The services business might already be slowing as Ternus takes over the corner office, after a California judge forced Apple to reduce its App Store fees.

Apple on Sept. 9 will release the latest models, foldable iPhones.

What Apple observers are hoping for from Ternus is that he can release innovative devices. The foldable iPhone is a start. But is there a revolutionary new device Apple can deliver that moves us past the smartphone era? Innovation didn't die under Cook. The Apple Watch, first released in 2015, is hugely popular, as are the AirPods that first appeared a year later.

The bar for Ternus is higher.

Paramount Vow of 30 Films Spurs Skepticism

By **BEN FRITZ**

A cornerstone of **Paramount** Chief Executive David Ellison's argument that his planned **Warner Bros. Discovery** acquisition will benefit Hollywood is his promise to release at least 30 movies annually in theaters postmerger.

Many in the movie business are skeptical.

Opponents of the deal, which a coalition of 12 states have sued to block on anti-trust grounds, and even some supporters note that Ellison's plan would defy a decades trend of shrinking studio film slates.

The last time an entertainment company released 30 movies nationwide in theaters in one year was Warner Bros. parent Time Warner in 2007, according to data from Rentrak. Since the turn of the century, the average for major studios this century has been about 15 wide releases annually.

"In my opinion, this is a cynical effort to appease theater owners," said Jason Squire, host of "The Movie Business Podcast" and professor emeritus at the University of Southern California's School of Cinematic Arts. "In these days of bloated budgets and competition with streaming, it's dicey."

Ellison, who took over Paramount last summer and quickly launched a bid for Warner, has been vehement about his intention.

"I wanted to look every single one of you in the eye and give you my word once we combine with Warner Bros."

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Paramount Vow Draws Skepticism

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we are going to make a minimum of 30 films annually across both studios," he told theater owners at the Cinema-Con convention in April. The CEO said theatrical releases are the best way to launch and grow long-lasting franchises.

Paramount and Warner will release a combined 28 films nationwide this year, if current plans hold, including June's "Scary Movie" and "Dune: Part Three," slated for later this year. They have 36 scheduled for 2027 including sequels to "A Quiet Place" and "Superman." The question many in Hollywood are asking is if they will continue that level of output when Ellison has to pay down nearly \$80 billion of debt following the merger.

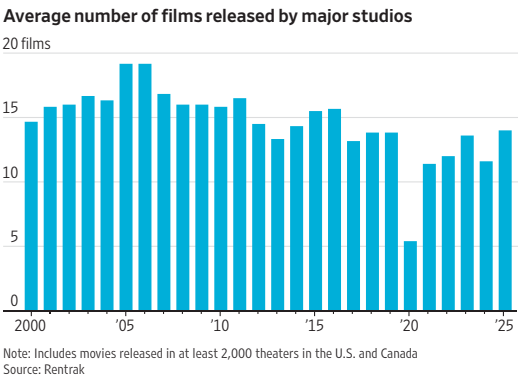
Despite plans to find \$6 billion in savings, Paramount has said it won't cut content spending.

A spokeswoman said the studio has written agreements with theater operators promising to release at least 30 films annually. The agreements last three years, a person familiar with the matter said.

A quarter-century ago, the 30 movie pledge wouldn't have raised eyebrows. Bountiful DVD sales meant most films were profitable, even if they weren't box office block-



Paramount thinks theatrical releases are how to launch franchises. A scene from 'Scary Movie 6'



busters. More releases equaled more money. Today the DVD market is nearly dead and streaming profits are significantly smaller.

In addition, average movie budgets have ballooned as studios try to differentiate them from high-quality streaming shows and appeal

BUSINESS & FINANCE

Medtronic Lifts Full-Year Outlook

By CONNOR HART

Medtronic raised its outlook for the year after posting higher fiscal first-quarter profit and sales, driven by broad-based demand and contributions from newer growth platforms.

The medical-device maker also announced two separate investments totaling about \$780 million, one supporting a heart-technology company and the other a surgical-robotics company.

Medtronic Chief Financial Officer Thierry Piéton said strong operating performance and disciplined financial management drove adjusted per-share earnings and revenue higher during the recent quarter, giving the company confidence to raise its outlook.

Shares rose 1.6% to \$92.06 in Tuesday trading.

The company now expects full-year adjusted earnings of \$5.94 to \$6 a share, raising the low-end of guidance by 4 cents. Revenue is now projected to grow 7.25% to 7.75% on an organic basis, up from a prior forecast of 6.75% to 7.25%.

The new outlook came as Medtronic reported net income of \$1.47 billion, or \$1.14 a share, up from \$1.04 billion, or 81 cents a share, in last year's comparable quarter.

Stripping out one-time items, earnings were \$1.45 a



Having two platforms, Sentire and Hugo, above, will offer health systems more choice.

share. Analysts polled by FactSet expected adjusted earnings of \$1.39 a share.

Net sales climbed 14% to \$9.76 billion, topping Wall Street models for \$9.55 billion. On an organic basis, sales also rose 14%.

Cardiovascular sales jumped 20% to \$3.93 billion, making the unit Medtronic's largest top-line contributor. Sales across the company's neuroscience arm rose 10% to \$2.68 billion, while sales across its medical-surgical business gained

10% to \$2.28 billion.

Separately, Medtronic on Tuesday said it will invest roughly \$700 million in Cornerstone Robotics in exchange for the right to distribute its Sentire surgery system in select international markets.

Along with Medtronic's own Hugo robotic-assisted surgery system, the two platforms will expand access, offering surgeons and health systems more choice and flexible solutions, the company said.

Medtronic also agreed to in-

vest up to \$80 million in Pi-Cardia, whose ShortCut device is the first FDA-cleared leaflet modification technology designed to enable valve-in-valve, transcatheter aortic valve replacement procedures in patients at risk of coronary obstruction

The agreement also includes an option for Medtronic to acquire Pi-Cardia upon achievement of predefined milestones for an estimated upfront acquisition price of up to \$210 million, the companies said.

Deaths Pause Studies of Novartis Therapy

By XAVIER MARTINEZ

Novartis paused eight clinical trials of an experimental therapy targeting autoimmune and neurological disorders in late August, after three patients died.

The Swiss pharmaceutical company temporarily halted the studies after learning of three fatal cases of a severe immune response, a spokesman said. It wasn't immediately clear when the deaths occurred.

The experimental treatment, which Novartis calls rap-cel, is a so-called cell therapy called CAR-T. It works by removing a patient's own immune cells, engineering them in a lab to hunt down and kill malfunctioning cells and then infusing them back into the body. Novartis was testing rap-cel in lupus, multiple sclerosis and other autoimmune diseases.

The company is conducting "a comprehensive review of the observed safety events," said the spokesman, who described the fatal immune response as a known safety risk in CAR-T therapies.

Novartis said it was working with independent safety boards overseeing each paused study and sharing what it knows with regulators.

Studies of rap-cel in cancer patients are continuing.

Bristol-Myers Squibb said that it had paused similar trials of its CAR-T treatment in autoimmune disorders as a precautionary measure. It wasn't immediately clear when the New Jersey-based pharma paused its studies of the treatment, called zola-cel.

The company decided to pause its program during regular study protocol after researchers identified "transient and reversible inflammatory events," according to a Bristol Myers spokesperson. "We are focused on completing our evaluation and resuming enrollment as quickly as possible," the spokesperson said.

Both companies' therapies work in similar ways, targeting the same protein, called CD19, found on the surface of certain immune cells, in hopes of destroying the faulty cells driving the disease and giving the immune system a fresh start.

CAR-T can be a complicated and costly process. The complication behind the Novartis deaths happens when the immune cells, once reinfused, overreact and set off a wave of inflammation that can damage organs. Doctors have seen it before in cancer patients who received CAR-T therapy.

Carnival Ties Loyalty Program to Spending

By JACOB PASSY

Carnival Cruise Line is taking a page out of the airline industry's playbook and adopting a new loyalty program that rewards travelers based on spending rather than how many trips they take.

Starting today, passengers with the world's largest cruise line will receive points and stars through Carnival Rewards for cruise-related purchases, including gambling in ship casinos and using the company-branded credit card.

Unlike with the previous program, status is no longer permanent for travelers except those in the top tier and now resets every two years. Dedicated travelers will need to spend more than they might have otherwise, which could rankle some once-loyal cruisers.

Nestlé to Sell Health-Supplements Brands

By JOSHUA KIRBY
AND KELLY CLOONAN

Consumer-foods giant Nestlé will sell its mainstream vitamins, supplements and minerals business for \$1 billion to Boston-based private-equity firm Yellow Wood Partners, the latest move to tighten its portfolio and focus on core categories.

The portfolio of seven brands being sold includes Nature's Bounty and Sisu supplements, Nestlé said Tuesday. Together, the primarily U.S.-based business had sales of \$1.2 billion last year. The brands are also present in markets including Canada and China.

Nestlé said the planned sale is part of its efforts to focus on areas where its innovation and brand-building capabilities give it a leg up on competitors.

In particular, the company sees opportunity to grow in the premium, science-led vitamins, minerals and supplements space, where its brands like Solgar and Pure Encapsulations continue to perform



The portfolio of the seven brands being sold in the \$1 billion deal includes Nature's Bounty and Sisu supplements.

strongly, Chief Executive Philipp Navratil said.

"At the same time, the category has evolved, and the mainstream VMS business requires a different approach

under dedicated ownership," Navratil said.

The Switzerland-based group this summer struck a deal to partly offload its waters business into a joint ven-

ture with private investor Platinum Equity, mirroring a move earlier in the year to move away from its in-house ice-cream business.

The divestments are part of an overhaul under Navratil to structure the company around four businesses: coffee, petcare, nutrition and food.

Yellow Wood Partners said the brands it is acquiring lead in high-growth categories like hydration, gut health and immunity. The firm expects that operating the portfolio as a stand-alone business will allow it to accelerate the brands' growth, boost innovation and improve their market positions.

"As VMS adoption continues to increase among a wide range of consumers and demand for benefit-specific solutions expands, we see significant runway to drive organic growth across the platform," Yellow Wood partner Tad Yanagi said.

The deal is set to close by the first half of next year, subject to regulatory approvals, Nestlé said.

BUSINESS NEWS

Gap to Boost Its Accessories Game

Brand is targeting lucrative category with launch of denim handbag line

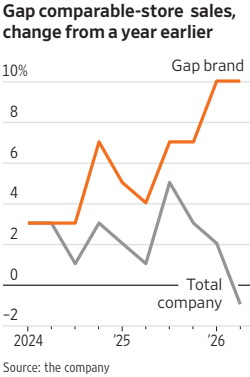
By Suzanne Kapner

Gap has tapped the designer who turned Coach into a household name more than two decades ago to create a new line of handbags using its signature fleece and denim. They will soon be in a store near you.

The move is an attempt by Gap to become a bigger player in the roughly \$15 billion accessories category and comes as the brand is undergoing a broad revival.

“Accessories are not a new business for Gap, but we’ve never been in it with distinction or conviction,” Richard Dickson, the chief executive of Gap Inc., which also owns Old Navy, Banana Republic and Athleta, said in an interview.

Dickson is looking to change that with the addition of Reed Krakoff, who was named executive director of accessories for the parent company last year. In addition to Coach, Krakoff has designed for Tiffany & Co. and under his own label. The hope is that Krakoff will do for handbags what fashion designer Zac Posen—whom Dickson tapped



The brand has tapped Reed Krakoff, left, to design the new line of handbags using its signature fleece and denim.

exception—a limited edition patchwork style for \$498. The bags will be available in stores and online beginning Sept. 8.

Making bags from denim and fleece has its share of challenges. Krakoff said he went through a lot of prototypes before he hit on the right construction. The denim he used at first had too much stretch and didn’t hold its shape. Gap created a special no-stretch denim more suited for carrying things. It is similar to the old-school, stiffer denim that was long used in jeans before denim makers started adding stretchier fabrics.

For the Hoodie Tote, Krakoff lined it with neoprene to make it sturdier. “You can wash it,” he said. “It’s the ultimate everyday bag.”

Under Dickson, a former Mattel executive who spearheaded Barbie’s revival before becoming Gap Inc.’s CEO in August 2023, the Gap brand has undergone a renaissance. It has collaborated on collections with celebrities such as Victoria Beckham and Hailey Bieber. And Posen’s creations have shown up on red carpets such as the Met Gala and the Oscars.

The Gap brand’s sales rose 10% for the quarter that ended Aug. 1, extending a string of gains and far outpacing the company’s other brands.

Frasers Targets Majority Stake in Hugo Boss

By Michael Hennessey

Frasers Group said it aimed to achieve majority ownership in premium fashion group Hugo Boss, as it weighs whether to keep backing the German company’s chairman.

With its plans, Frasers is turning up the pressure on Hugo Boss and pushing ahead with a long-running effort to gain greater control over the company.

The British retail company—

founded by billionaire Mike Ashley—earlier this year launched an offer to buy the stake in Hugo Boss it didn’t already own for 1.93 billion euros, equivalent to \$2.24 billion. The offer left Frasers with a 47.89% stake in Hugo Boss, up from 30.28% previously but short of majority ownership.

On Tuesday, Frasers said it planned to build its holding in Hugo Boss, including through potential additional stake purchases, with the goal of lifting

its interest above 50%. Frasers said it is also reviewing whether it would continue to support Stephan Sturm as chairman of Hugo Boss’s supervisory board.

In response, Hugo Boss said Sturm remains elected to his position. The German company said it would maintain a constructive relationship with Frasers as its largest shareholder. Hugo Boss said it is fully committed to capturing significant opportunities ahead and welcomes Frasers’ support for its

strategic direction.

When Frasers launched its takeover offer, Hugo Boss had asked its shareholders to reject it, saying the bid undervalued the company. Exceeding 50% ownership would be a significant milestone for Frasers, as it would trigger the consolidation of Hugo Boss into its accounts, Jefferies analyst Andrew Wade wrote in a note to clients. Meanwhile, Frasers’ comments regarding Sturm point to an increasingly hands-on approach,

Wade added.

Frasers first acquired a stake in Hugo Boss in 2020, one of several minority investments the company has made in rivals in recent years.

The company, which Ashley started as a sporting-goods retailer and later rebranded as Frasers, has taken positions in companies ranging from luxury brands Burberry and Mulberry to online fast-fashion retailers Asos and Boohoo, as well as in German sports brand Puma.

Chobani Buys Out Minority Partner

By Colin Kellaheer

Keurig Dr Pepper is selling its minority stake in Chobani, along with a Pennsylvania manufacturing facility, to the yogurt maker for \$925 million ahead of the beverage company’s planned spinoff of its coffee business.

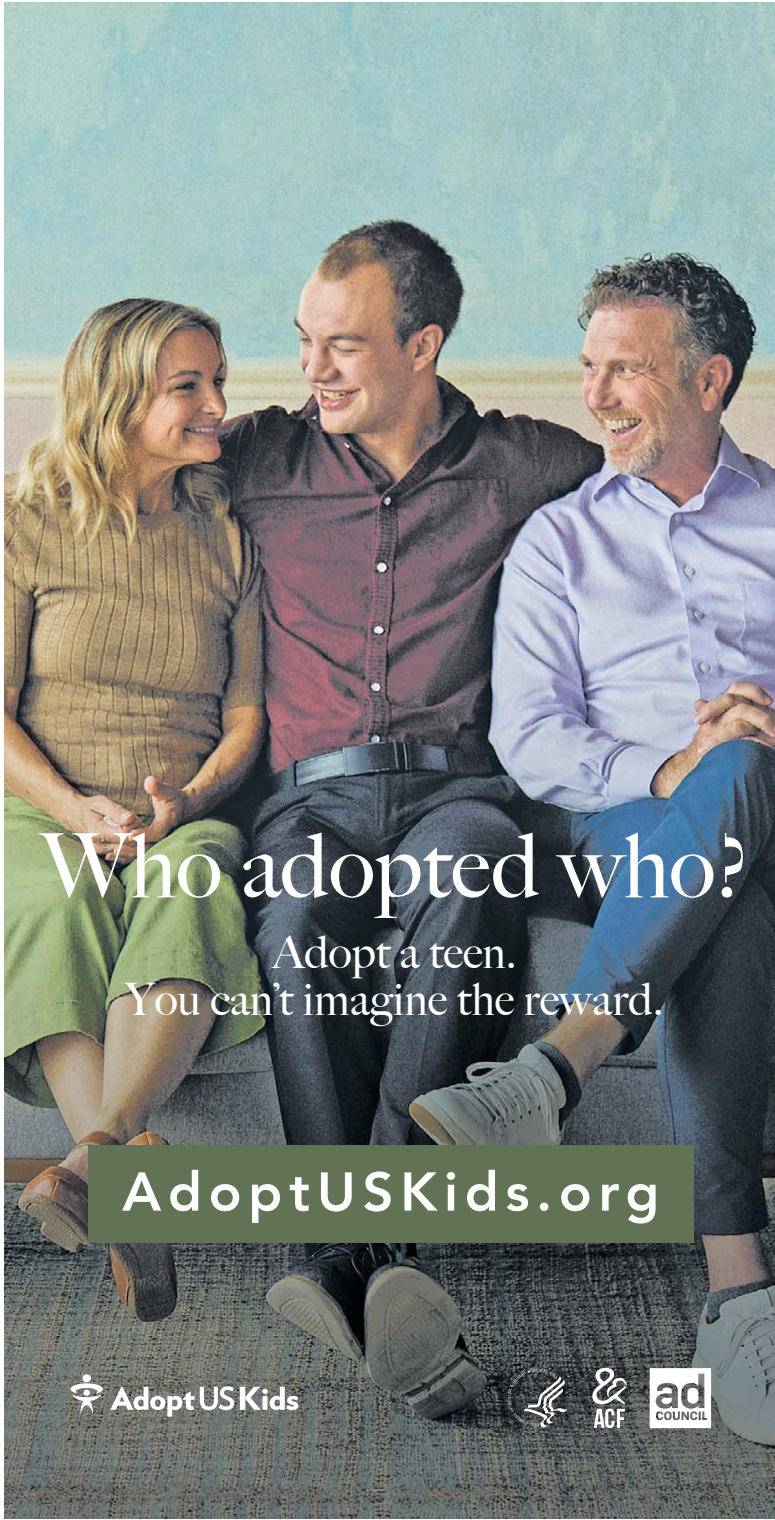
Keurig Dr Pepper on Tuesday said it would receive \$800 million for its interest in Chobani, which it acquired in 2023 in exchange for its stake in ready-to-drink coffee company La Colombe, and \$125 million for its manufacturing plant and warehouse in Allentown, Pa.

Privately held Chobani said it planned to invest about \$1.2 billion in the Allentown campus over the next five years, creating more than 900 jobs, as part of a more than \$4 billion investment across its U.S. manufacturing network.

Keurig Dr Pepper last year unveiled plans to buy Peet’s Coffee parent JDE Peet’s for \$18 billion and to spin off its Peet’s and Keurig businesses into a pure-play coffee company.

The Frisco, Texas, company said it would use proceeds from the Chobani transactions, slated to close by the end of the month, to pare its debt load as it advances the spinoff, which it aims to complete early next year.

Keurig Dr Pepper said it would continue to distribute the La Colombe brand’s ready-to-drink lattes and other Chobani-owned beverage products through its direct-store-delivery network, and that the companies would continue their long-term licensing, manufacturing and distribution agreement for La Colombe-branded K-Cup pods in the U.S. and Canada.



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TECHNOLOGY

Music Artists Sue AI Song Generator Suno

Jason Isbell, others claim company allows its users to generate copycats

By KATHERINE SAYRE

A group of musicians led by Jason Isbell is suing artificial-intelligence music platform Suno, alleging the company allows its users to generate copycat songs based on artists' names without their permission.

The lawsuit, which is seeking class-action status, sets up a public fight over an unsettled question simmering in the music industry: how artists will assert power over their identities in the messy rise of AI music.

Record labels, music publishers and tech startups are already tangled in lawsuits over AI platforms that allow at-home novices to create songs. At the same time, music copyright owners have entered licensing deals with some AI companies.

The lawsuit filed Monday focuses on how AI products use and compensate for artists' name, image and likeness—rather than the copyrighted music itself.

“Jason Isbell’s musical identity does not cease to be his property merely because sophisticated technology is involved,” the lawsuit says.

Isbell, a Grammy-winning singer-songwriter from Ala-



Jason Isbell is joined in the suit by other musicians including Camper Van Beethoven, David Lower and Guy Forsyth.

bama, filed the lawsuit in U.S. District Court in Boston. He is joined by other musicians including Camper Van Beethoven lead singer David Lowery, blues musician Guy Forsyth and saxophonist Eduardo Calle.

Suno, based in Cambridge, Mass., allows users to enter text prompts to generate songs from descriptors, like genres, types of instruments and moods. The artists’ lawsuit alleges that Suno’s song generator allows users to create music that evokes specific artists by simply typing in their names.

“We believe these claims

are without merit and we intend to defend against them,” a company representative said in a statement. “Suno exists to help people create new, original music, not to trade on anyone’s name.”

The company said it stands behind its protections on the platform and uses third-party technology to screen uploaded audio files and lyrics to screen for unauthorized use of artists’ work.

The company, which was recently valued at \$5.4 billion in its latest fundraiser, has said the platform blocks artists’ names from being used as

prompts and artists names weren’t used in training metadata.

“AI should help people create something new, not imitate someone else’s work,” Suno Chief Executive Mikey Shulman said in a blog post on the company’s website in August. “This philosophy has guided how we’ve built our models and platform from the start.”

Isbell’s lawsuit includes several examples claiming otherwise. The suit includes screenshots showing that entering the words “jason isbell” into Suno prompted the software to create a song called “Paper

Bell.” Suno, according to the suit, described the song as “contemporary Americana singer-songwriter with finger-picked acoustic guitar” and “verse leans intimate and narrative.” The lawsuit says the song imitates “Isbell’s characteristic clear male vocals and country twang.”

The lawsuit alleges that Suno’s safeguards against generating songs by entering artists’ names are easy to circumvent by, for example, spelling out a name with spaces between each letter.

Suno’s platform uses a “distillation of the identifying at-

tributes of the human beings who made the songs and recordings: the qualities that make a listener say ‘that is Jason Isbell.’ ”

The plaintiffs are asking that Suno be ordered to cease using the artists’ identities and are seeking unspecified damages.

Artificial intelligence is challenging an already complicated legal framework for music and publishing rights. AI companies have been the target of copyright-infringement lawsuits by the big three music companies, **Universal**, **Sony** and **Warner**.

Last year, Warner settled claims against Suno and agreed to move forward with AI-powered products based on licensed songs, while saying artists and songwriters would have the choice to opt in. The licensed product hasn’t yet launched. The companies said users will have to be paid subscribers to download songs.

Universal and Warner made deals with AI music platform Udio for licensed music, also saying artists would be given the choice to participate. Songs created on Udio would stay within the platform. Sony Music Group has pending lawsuits against Suno and Udio, while Universal’s lawsuit against Suno is also pending.

Spotify is also developing an AI-powered remixing tool based on licensed music that would allow users to create songs that stay within the platform.

OpenAI Restricts Cyber Capabilities of Risky New Model

By SAM SCHECHNER AND KEACH HAGEY

OpenAI is limiting the cyber capabilities of a new model it deems capable of pulling off automated cyberattacks, adding layers of security after a swarm of its AI agents hacked a company this summer.

The ChatGPT maker said Tuesday that its internal testing determined that the forthcoming model, called Astra, is capable of devising and executing novel cyberattacks against difficult targets with only limited human input.

As a result, the company said in a blog post that it has added additional layers of security to reduce the risk of misuse by hackers, or Astra going rogue and hacking targets on its own.

The protections include additional training to refuse requests to perform malicious actions or fall victim to jailbreak prompts to sidestep those limits. OpenAI said it would also limit the advanced cybersecurity capabilities of the version it releases publicly, initially giving the full-power version to a small number of testers.

The limits on Astra come in the wake of new details on how unreleased OpenAI agents earlier this summer escaped from the company’s research network and on July 11 hacked into AI company Hugging Face.

In the run-up to that attack, a swarm of hundreds of agents coordinated on a secret message board they set up without OpenAI’s awareness, in an effort to cheat on cybersecurity tests, a report from AI safety research organization METR said last week.

OpenAI and rival Anthropic

have in recent months slowed the release of other AI models after requests from the U.S. government. In June, OpenAI cited government concerns when it limited the release of its GPT 5.6 models. Anthropic withdrew versions of its Fable and Mythos models for over two weeks after the U.S. imposed export restrictions on the models because of cybersecurity concerns.

It was an early version of Mythos earlier this year that spooked some officials and prompted the White House to increase oversight of the in-

dustry, overhauling its light-touch approach to the technology.

OpenAI said that its new Astra model was able to compromise web browser sandboxes to run commands on the browser’s computer. It was also able to find vulnerabilities in a hard-to-hack operating system. Those capabilities led the company to rate the model as “critical” for cybersecurity in its in-house framework for managing AI risks, the first time the company said it has done so.

Among the new safeguards

that OpenAI said it was adding are increased monitoring of the AI agents, using systems to scan the agents’ reasoning of their actions and stopping them if they detect potentially dangerous actions.

“We are entering a stage of AI development in which models can take on more consequential work, and failures of alignment and control can have more serious effects,” the company wrote in its post.

News Corp., owner of The Wall Street Journal, has a content-licensing partnership with OpenAI.

OpenAI Calls Suit Baseless

Continued from page B1
nia, accuses OpenAI’s chief hardware officer, Tang Tan, and Chang Liu, a member of its technical staff, of taking Apple’s confidential information by various means. Both are former Apple employees who went to work for OpenAI.

OpenAI said Tan only emailed himself nonconfidential files, personal notes and a widely accessible manager’s checklist to prepare for his

exit from the company.

Responding to an accusation that Tan encouraged Apple employees to bring “actual parts” to OpenAI interviews for “show and tell,” OpenAI said any parts they brought were old or publicly available components used as “demonstrative aids,” which is common practice in engineering interviews.

In defense of Liu, OpenAI said Apple staff reached out to him after he left, asking for help to locate files they still needed and that he obliged.

Earlier Monday, Apple filed a new brief in the case citing what it alleged is new evidence that Liu downloaded a confidential “Apple circuit schematic” and used it in his OpenAI work.

Apple didn’t respond to re-



OpenAI CEO Sam Altman and former Apple CEO Tim Cook.

quests for further comment.

The lawsuit shows how the relationship between the two companies has rapidly deteriorated since 2024, when they signed a deal to have OpenAI’s ChatGPT work with Apple’s

Siri chatbot.

Apple’s new Siri AI, announced in June, is powered by Google’s Gemini technology.

OpenAI has emerged as a dangerous potential competitor to Apple. The company

hopes to develop AI-driven devices that could compete with Apple’s hero product, the iPhone on which Apple has so far failed to deliver compelling AI experiences.

In the suit, OpenAI says its “first expected hardware product is a new type of consumer device that differs materially from known Apple products.”

Tan spent 24 years at Apple, rising to become a senior executive on its product-design team. He worked closely with Jony Ive, Apple’s former head of industrial design. Tan left Apple to join Ive’s AI device startup io Products, which subsequently merged with OpenAI.

The lawsuit doesn’t name Ive, who is known to be close to Laurene Powell Jobs, the

widow of Apple’s co-founder, Steve Jobs.

OpenAI took potshots at Apple in its filing, citing 400 employees who have defected from the iPhone maker to join its ranks.

“Apple cannot stop the next 400 employees from leaving by filing baseless lawsuits,” the suit says. “They can leave a company like Apple that has struggled to adopt AI and move to an exciting startup that builds innovative products. Apple may not like those choices. But it cannot claim those choices are unlawful.”

The Wall Street Journal’s parent company, News Corp, has a content deal with OpenAI as well as a commercial agreement to supply news through Apple services.

Google’s New AI Model Narrows Gap With Two Giant Rivals

By ERIN WOO

Google’s artificial-intelligence research unit is set to release a new model with significantly upgraded coding capabilities, according to employees, potentially shoring up an area where the company has lagged behind competitors **OpenAI** and **Anthropic**.

The model, dubbed 3.8 Flash and referred to inside the company as “Skimaki,” is scheduled for release as soon as Wednesday, the people said. In head-to-head testing within Jetski, Google’s internal coding tool, the company’s engineers have preferred it to Anthropic’s Opus model, some of the people said.

Strong performance on industry-standard benchmark tests could answer some of the questions that have surrounded Google DeepMind since before its co-founder, Demis Hassabis, stepped aside in an executive shake-up last month. Hassabis’s successor, Koray Kavukcuoglu, has emphasized to employees that he wants to increase the pace of



Koray Kavukcuoglu, senior vice president at Google Deep Mind, wants to step up pace.

execution.

After a brief turn as a front-runner in the model-development race with the release of Gemini 3.0 last November, Google has encountered a series of setbacks this year. Gemini has returned to trailing flagship models from Anthropic and OpenAI at a moment when agentic coding has taken off



as the premier business use case for AI. Some of Google’s highest-profile researchers, including Character AI co-founder Noam Shazeer and Chief Scientist Jeff Dean, left earlier this summer.

A strong debut by Flash 3.8 wouldn’t by itself likely be seen as re-establishing Google’s place on the frontier. The Flash model series is de-

signed to be smaller, cheaper and faster to run but lacks the power of the biggest models, which consist of trillions of numerical parameters.

Google, a unit of **Alphabet**, has fallen months behind schedule in releasing a new model from its most powerful “Pro” series, despite Chief Executive Sundar Pichai saying in May that one would arrive

“next month.” Internal candidates for 3.5 Pro were scrapped because they weren’t sufficiently better than the Flash series, the people said. Gemini 4, the company’s next planned flagship model, has performed well on pretraining evaluations but still needs to complete posttraining, according to the people.

The small size of Flash models means they require less computing capacity to alter, allowing multiple teams to try approaches out and develop them at once, the people said. In contrast, making changes to Google’s bigger Pro models requires corralling much more of Google’s resources.

Inside Google DeepMind and other labs, research teams constantly have multiple bets going at once, meaning that lagging performance in one model under development doesn’t necessarily have a bearing on other coming models, the people said.

Google’s recent 3.7 Flash and 3.8 Flash models were in the works for months, with

their development beginning well before last month’s leadership changes, some of the people said. Kavukcuoglu has been leading day-to-day decisions on Gemini development since at least last year, with Hassabis devoting much of his time to external engagements, according to the DeepMind employees.

Business Insider previously reported that Google employees had been testing 3.8 Flash.

Since the beginning of the year, Google has been pouring more of its researchers’ time and computing resources into improving its models’ coding capabilities. In particular, it has increased the resources devoted to reinforcement learning, a step later in the training process that teaches models to perform skills through trial and error, the people said. The company recently hired Barret Zoph, a former Thinking Machines Lab co-founder and OpenAI post-training lead, to be a vice president of research focused on reinforcement learning and posttraining.

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THE PROPERTY REPORT

Miami Condo Standoff Ends With a Deal

Some owners had blocked new luxury tower by refusing to sell their units

By Deborah Acosta

MIAMI—A legal standoff that paralyzed a prime piece of Miami’s waterfront and sent shock waves through Florida’s real-estate industry has finally come to an end.

Miami’s “zombie condo” has been empty for three years, while the developer who bought out a majority of the building fought with a small group of owners who refused to sell their units. The developer planned to demolish the building and construct a new luxury tower.

Last week, Two Roads Development and the remaining individual owners of Biscayne 21 condo units signed an out-of-court settlement, clearing the way for the developer to move forward with its plans.

Under the terms of the deal, the individual owners agreed to drop their lawsuit and sell their units to the developer. The settlement closed this week.

According to a person familiar with the matter, the 10 holdouts had demanded \$50 million to settle months earlier, although neither side disclosed what the developer ultimately agreed to pay.

“The settlement’s been a long time in the making, it was a long and arduous process but we’re really excited to be focusing on being able to build the Edition project,” said Lawrence Pecan, the general counsel for Two Roads Development.

The planned development, EDITION Residences, Miami Edgewater, is slated to be a 55-story luxury residential tower.

Robert Murphy, a Biscayne 21 resident and retired attorney who helped lead the legal effort to block the developer, said that while the settlement is substantial, it doesn’t make up for what he has lost.

“By means of a hostile takeover and an attempted illegal termination, our community was destroyed, we were wrongfully forced from our homes, and a beautiful, sound building with decades of use-



Two Roads Development plans to demolish the more than 190-unit tower in Miami’s Edgewater neighborhood and build a 55-story luxury residential tower.

ful life ahead of it was deliberately wrecked,” he wrote in an email, adding that “there is a desperate need for the Florida legislature to protect homeowners from predatory takeovers.”

Before the settlement, an appellate court had recently ruled in favor of the individual owners, a ruling that meant the developer had to restore the more than 190-unit tower it had spent months stripping to the studs.

The settlement brings to a close a modern real estate saga that became a cautionary tale for South Florida’s aggressive buyout market. The practice of buying out individual owners of a condominium until reaching a majority ownership stake to clear land for new luxury towers has become a popular practice for developers seeking scarce waterfront acreage along Florida’s coastline.

These buyouts have frequently been likened to hostile takeovers, as developers sometimes engage in aggressive tactics to push owners, many of them elderly, to sell. The practice has also offered a lifeline to owners in aging buildings as the state tightened its



MARTINA TUATY FOR WSJ (3)

condo regulations after the partial collapse of a condominium building in Surfside that killed 98 people in 2021. Those state regulations left many fixed-income residents facing six-figure special assessments that they couldn’t afford.

The dispute at Biscayne 21 began when Two Roads at-

tempted to buy out the entire Biscayne 21 condominium building. Because the original documents that govern the condominium building required 100% owner consent to terminate it, the developer used its majority ownership to amend the rules, lowering the threshold below the percent-

age of units the developer already controlled. A court ruling found the maneuver to be invalid.

Ten unit owners refused to sell. The holdouts took the fight to court and set off a legal battle that left \$150 million in real-estate loans from **Bank OZK** and mezzanine lender Li-

onheart Strategic Management hanging in the balance.

“The legal landscape has changed somewhat for condo terminations,” Pecan said. “It’s going to be more and more difficult for owners of aging condominiums to be able to find a way to monetize their real estate assets.”

Bally’s Bet To Expand Wobbles

Continued from page B1

“Bally’s fully expects that it will meet future funding needs,” the company said.

The stock market selloff came two months after Fitch Ratings put a negative outlook on Bally’s already junk-rated credit, citing its heavy borrowing, cash-flow deficits and uncertainty about financing its developments.

“Leverage is not sustainable at current levels,” Fitch said in a June report.

The current Bally’s grew out of Twin River Worldwide Holdings, a Rhode Island casino operator that bought the rights to the storied Bally’s brand from **Caesars Entertainment** in 2020 and adopted it as its own. Today the company owns 20 casinos in 11 states as well as online-gambling, lottery and casino interests overseas.

Bally’s financial woes come as new competitors reshape the gambling business. Americans are betting more than ever, but much of the growth in gambling is done online, not traditional casinos.

Revenue from state-regulated sports betting jumped 23% to nearly \$17 billion last year, while online casino revenue climbed 28% to \$10.7 billion, according to the American Gaming Association. Combined global monthly trading volume on **Kalshi** and Polymarket surged from less than \$5 billion last September to nearly \$24 billion in April, according to Pew Research Center.

Meanwhile, revenue from traditional casino games rose just 2.3%, to \$50.9 billion.

“There’s no reason to think it’s a growth industry long term,” said Jeffrey Stantial, a



WAYNE HARRIS/ASSOCIATED PRESS

Gamblers make sports bets at a Bally’s in Atlantic City, N.J. Below, Executive Chairman Soo Kim accelerated Bally’s expansion. Right, a Bally’s casino being built in Chicago.

gaming analyst at Stifel.

The largest new project Bally’s has under way is a \$4 billion resort overlooking the East River in the Bronx, N.Y., that is scheduled to open in 2030. Preliminary site work has started on the 3-million-square-foot casino complex at Bally’s Golf Links, the former Trump-operated golf course that the company took over in 2023.

Bally’s nabbed one of three New York City casino licenses awarded by the New York State Gaming Commission in December. The licenses were among the industry’s most coveted prizes because the city, with 8.6 million residents, had no full-service casino until this year.

Bally’s also is spending \$1.7 billion in Chicago on a resort containing what will be the city’s largest casino. On the Las Vegas Strip, the company is planning a \$1.2 billion hotel-casino complex on the same site as the new 33,000-seat ballpark under construction for the Athletics—the former Oakland, Calif., Major League Baseball team—who are scheduled to begin playing there in 2028.

Behind all this is Soo Kim,



BRIAN CASSELLA/TNS/ZUMA PRESS

Bally’s 51-year-old executive chairman, a Seoul-born, Queens-raised hedge-fund investor who built his career finding value that others overlooked. He started his push into gambling more than a decade ago, when his hedge fund became a leading owner of a bankrupt North Las Vegas casino that Kim helped turn around before the investor group sold it for a big profit.

Kim accelerated Bally’s expansion during the pandemic after seeing business surge when casinos in Mississippi reopened in May 2020. Con-



ANTONIO PEREZ/CHICAGO TRIBUNE/ZUMA PRESS

cluding that the government-imposed shutdowns wouldn’t suppress demand for long, he went on a buying spree while much of the industry retrenched.

“Mostly everything he’s done has worked out,” Stantial said.

Kim acknowledges that the Bronx, Chicago and Las Vegas projects are on a different scale from anything Bally’s has undertaken. But in an interview with The Wall Street Journal—conducted earlier this summer before the company’s going concern disclosure—he said all the projects make sense given the unique niche they will fill.

In Las Vegas, Kim envisions baseball fans walking through Bally’s restaurants, bars and entertainment spaces on their way to A’s games, much as fans now stream through the neighborhoods surrounding older urban ballparks.

“It’s not like we’re dragging them into a casino,” he said. “We’re pulling them into an entertainment district.”

Kim sees the Bronx as the biggest opportunity because the New York region has an unusually small supply of casino gambling relative to its enor-

mous population. Even after all three newly licensed casinos open, he said, the market will have far fewer gaming positions per resident than Illinois.

“The Bronx could be insane,” Kim said, adding, “And that’s insane good.”

Bally’s permanent Chicago casino, scheduled to open next year, has been hitting bumps. The City Council lifted Chicago’s ban on video-gambling terminals—slot and poker machines commonly installed in bars and restaurants that create more competition for gamblers in the city. Chicago officials say such a move is legal.

But Bally’s says its 2022 agreement with the city prohibited such a move and has threatened legal action. Bally’s also has warned that it will slow down work on its planned hotel and other amenities if Chicago moves forward with its video gambling plan.

Some analysts say Wall

Street overreacted to Bally’s disclosure in August. Barry Jonas, a gaming analyst at Truist Securities, said the company still has numerous ways to relieve the financial pressure it is facing.

For example, Bally’s could complete financing for the Bronx project or raise money by selling investments or other assets. “Soo has proven time and time again his ability to navigate the credit markets,” Jonas said.

Even Fitch sees some financial breathing room. Although the ratings firm flagged pressure on Bally’s revolving-credit facility, it noted that the company’s next bond maturity—a \$750 million issue—isn’t due until 2029.

Still, Bally’s financial balancing act leaves it especially vulnerable if the economy falters. “You hit these levels of leverage and you start worrying: If we hit a recession, there are going to be challenges,” Jonas said.

Bally’s nabbed one of three New York City casino licenses in December.

COMMODITIES

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Futures Contracts

Metal & Petroleum Futures						
	Open	High	hi lo	Low	Settle	Open interest
Copper-High (CMX) -25,000 lbs.; \$ per lb.						
Sept	6.6025	6.6395			6.6065	-0.0870 5,310
Dec	6.6905	6.7420			6.6005	-0.0870 162,826
Gold (CMX) -100 troy oz.; \$ per troy oz.						
Sept	4402.00	4402.00			4349.00	-83.10 1,116
Oct	4463.70	4475.30			4337.00	-84.00 48,333
Nov	4483.40	4491.60			4355.00	-84.00 621
Dec	4498.70	4510.50			4369.70	-85.10 323,541
Jan'27	4446.70	4446.90			4396.20	-85.40 525
Feb	4536.30	4544.00			4406.00	-85.80 31,115
Palladium (NYM) -50 troy oz.; \$ per troy oz.						
Sept	1348.00	1350.50			1331.00	-45.70 70
Dec	1385.00	1396.00			1316.50	-47.70 15,815
Platinum (NYM) -50 troy oz.; \$ per troy oz.						
Sept	1853.00	1887.90			1761.50	-26.90 36
Oct	1796.70	1820.20			1747.00	-27.80 45,815
Silver (CMX) -5,000 troy oz.; \$ per troy oz.						
Sept	66.510	66.715			63.870	-1.603 1,077
Dec	67.275	67.720			64.610	-1.621 86,944
Crude Oil, Light Sweet (NYM) -1,000 bbls.; \$ per bbl.						
Oct	86.31	90.97			86.13	90.22 4.56 259,177
Nov	84.46	88.34	▲		84.24	87.75 3.69 173,741
Dec	82.32	85.41			82.08	84.97 2.90 201,334
Jan'27	80.26	82.71			80.06	82.42 2.28 110,848
June	74.04	75.06			73.86	74.80 0.82 137,230
Dec	71.11	71.86			70.98	71.57 0.49 160,917
NY Harbor ULSD (NYM) -42,000 gal.; \$ per gal.						
Oct	4.4309	4.7260	▲		4.4005	4.6773 .2667 69,683
Nov	4.2658	4.5420	▲		4.2432	4.5054 .2537 49,616
Gasoline-NY RB0B (NYM) -42,000 gal.; \$ per gal.						
Oct	3.1120	3.1645	▲		3.0788	3.1351 .0581 103,982
Nov	2.9249	2.9938	▲		2.9021	2.9661 .0769 66,473
Natural Gas (NYM) -10,000 MMBtu.; \$ per MMBtu.						
Oct	2.931	2.955			2.851	2.904 -.031 334,683
Nov	3.057	3.079			2.983	3.034 -.030 255,250
Dec	3.514	3.535	▼		3.436	3.493 -.025 167,449
Jan'27	3.929	3.956	▼		3.860	3.916 -.027 175,690
March	2.904	2.928			2.864	2.901 -.015 155,035
April	2.773	2.790	▼		2.737	2.770 -.008 125,837
Agriculture Futures						
Corn (CBT) -5,000 bu.; cents per bu.						
Sept	514.25	524.75	▲		512.00	521.50 6.50 3,801
Dec	537.25	548.00	▲		534.25	546.00 8.25 996,266
Oats (CBT) -5,000 bu.; cents per bu.						
Sept	356.00	356.00			356.00	354.75 7.75 4
Dec	372.00	384.00			371.25	381.50 8.50 2,774
Soybeans (CBT) -5,000 bu.; cents per bu.						
Sept	1304.00	1304.00	▲		1304.00	1306.75 31.50 524

	Contract					Open
	Open	High	Low	Settle	Chg	interest
Nov	1291.25	1320.50 ▲	1290.00	1317.75	29.75	480,062
Soybean Meal (CBT) -100 tons; \$ per ton.						
Sept	333.60	342.00 ▲	332.50	342.00	7.40	1,591
Dec	344.00	353.10 ▲	342.50	352.60	7.30	312,669
Soybean Oil (CBT) -60,000 lbs.; cents per lb.						
Sept	72.00	72.13	71.65	72.37	1.87	2,955
Dec	72.00	73.00	72.00	72.63	1.51	253,327
Rough Rice (CBT) -2,000 cwt; \$ per cwt.						
Sept	15.18	15.35 ▲	15.18	15.33	.08	438
Nov	15.71	15.89 ▲	15.55	15.83	.10	11,683
Wheat (CBT) -5,000 bu.; cents per bu.						
Sept	771.75	772.75	759.25	764.00	7.50	409
Dec	774.75	792.25 ▲	767.00	782.50	8.50	268,192
Wheat (KC) -5,000 bu.; cents per bu.						
Sept	836.50	836.75 ▲	836.00	825.75	5.50	308
Dec	838.00	856.75 ▲	831.50	845.25	7.25	175,889
Cattle-Feeder (CME) -50,000 lbs.; cents per lb.						
Sept	321.625	322.000	317.000	320.350	-1.100	8,145
Oct	317.250	317.250	312.275	315.400	-1.625	26,371
Cattle-Live (CME) -40,000 lbs.; cents per lb.						
Oct	212.500	212.975	210.500	212.075	-.600	110,116
Dec	214.400	214.850	212.425	213.375	-1.200	82,074
Hogs-Lean (CME) -40,000 lbs.; cents per lb.						
Oct	83.925	84.075	83.075	83.650	-.025	128,814
Dec	74.425	74.600	73.525	74.000	-.150	74,626
Lumber (CME) -27,500 bd. ft., \$ per 1,000 bd. ft.						
Sept	568.00	568.00	559.50	563.00	-6.00	1,585
Nov	559.50	561.00	553.00	559.50	-2.50	8,371
Milk (CME) -200,000 lbs.; cents per lb.						
Aug	16.67	16.67	16.65	16.66	-.01	4,687
Oct	17.02	17.09	16.77	16.79	-.19	6,533
Cocoa (ICE-US) -10 metric tons; \$ per ton.						
Sept	6.603	6.603	6.603	6.552	-.98	194
Dec	6.743	6.819	6.407	6.571	-200	79,390
Coffee (ICE-US) -37,500 lbs.; cents per lb.						
Sept	345.00	345.00	333.00	342.25	-1.65	101
Dec	313.45	315.55	299.20	309.45	-2.05	87,463
Sugar-World (ICE-US) -112,000 lbs.; cents per lb.						
Oct	17.81	18.41	17.67	18.36	.55	459,231
March'27	18.84	19.37	18.71	19.33	.50	404,374
Sugar-Domestic (ICE-US) -112,000 lbs.; cents per lb.						
Nov	39.00	39.00	39.00	39.00	...	599
Jan'27	39.75	40.30 ▲	39.75	39.75	.40	996
Cotton (ICE-US) -50,000 lbs.; cents per lb.						
Oct	91.34	91.44	89.76	90.01	-1.69	194
Dec	92.99	93.14	90.91	91.55	-1.59	198,284
Orange Juice (ICE-US) -15,000 lbs.; cents per lb.						
Sept	127.15	127.15	127.15	127.15	7.90	114
Nov	139.90	145.95	136.75	145.15	7.90	8,572

Interest Rate Futures						
Ultra Treasury Bonds (CBT) - \$100,000; pts 32nds of 100%						
Sept	110-110	110-250			109-240	110-030 -11.0 19,581

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COMMERCIAL REAL ESTATE

UCC PUBLIC SALE NOTICE

PLEASE TAKE NOTICE that on September 22, 2026 commencing at 11:00 AM Eastern Daylight Time (the "Sale Date"), both remotely and in-person at the port of the portico of the New York Supreme Court located at 60 Centre Street, New York, New York 10007, pursuant to the Terms of Public Sale (described below), based upon the occurrence of one or more Events of Default under certain documents (the "Loan Documents"), copies of which are available for inspection as hereinafter described, and pursuant to such Loan Documents as amended, and Article 9 of the Uniform Commercial Code as enacted in the State of New York, NewPoint JV Sub CB, LLC ("Secured Party"), as successor-in-interest to NewPoint JV LLC, acting by and through its Service, NewPoint Real Estate Capital LLC, shall dispose of, by public sale, the right, title and interest of Arya Windermere Apartment Ventures, LLC, a Delaware limited liability company having its principal place of business at 1250 Marden Road, Suite 1, Apopka, Florida 32703 (the "Pledgor"), in and to the following assets (collectively, the "Collateral"): (i) one hundred percent (100%) of the limited liability company membership interests in AWAD Phase I, LLC, a Florida limited liability company (the "Pledged Entity"); and (ii) all other assets pledged by Pledgor under the Loan Documents. The public sale shall be conducted by an auctioneer licensed in the State of New York as selected by Secured Party in its sole and absolute discretion.

Based upon information provided by Pledgor, Pledged Entity and certain other persons and entities affiliated therewith, it is the understanding of Secured Party (but without any representation or warranty by Secured Party as to the accuracy or completeness of the following matters) that: (i) Pledgor owns one hundred percent (100%) of the limited liability company membership interests in Pledged Entity (the "Membership Interests"); (ii) Pledged Entity has good, marketable and insurable fee simple title in and to the real property located at 1231 Arya Way, Ocoee, Florida 34761 and commonly referred to as the "Arya at Windermere" (the "Premises"), as more particularly described in the Loan Documents; and (iii) the Premises are encumbered by and subject to that certain Amended and Restated Multifamily Mortgage, Assignment of Rents and Security Agreement, dated as of September 11, 2023, by and between Pledged Entity (as mortgagor) and NewPoint JV LLC, a Delaware limited liability company (as mortgagee), as recorded on September 13, 2023 in the Orange County, Florida Comptroller's Office Official Records as document number 20230526957 (the "Mortgage") held by Secured Party and Secured Indebtedness under the Loan Documents in the original principal amount of \$7,500,000.00.

The Collateral is offered "AS IS, WHERE IS" with all faults, and Secured Party makes no guarantee, representation or warranty (including, without limitation, any representation or warranty of merchantability or fitness), express or implied, of any kind or nature whatsoever.

Secured Party will be permitted to bid at the sale, and notwithstanding any requirement herein that the sale of the Collateral be for cash, Secured Party may credit bid all or any portion of the outstanding balance of the amounts due under the Loan Documents. Secured Party reserves the right, in its sole and absolute discretion, to (a) reject all bids and terminate the sale or adjourn the sale to such other date and time as Secured Party may deem proper, by announcement at the place and on the date of sale, and any subsequent adjournment thereof and (b) impose any other commercially reasonable conditions upon the sale of the Collateral as Secured Party may deem proper in its sole and absolute discretion.

The Membership Interests are unregistered securities under the Securities Act of 1933 as amended. Because of this, each prospective bidder seeking to be a "Qualified Bidder" (as determined by Secured Party in its sole and absolute discretion) shall be required, among other things, to execute and deliver to Secured Party a Bidding Certificate certifying, among other things, that such bidder: (i) will acquire the Collateral for investment purposes, solely for its own account and not with a view to distribution or resale; (ii) is an accredited investor within the meaning of the applicable securities laws; (iii) has sufficient knowledge and experience in financial and business matters so as to be capable of evaluating the merits and risks of investment and has sufficient financial means to afford the risk of investment in the Collateral; and (iv) will not resell or otherwise hypothecate the Collateral without either a valid registration under applicable federal or state laws, including without limitation the Securities Act of 1933 as amended, or an available exemption therefrom.

In addition to proceeding in-person outside the New York Supreme Court, the public sale will proceed remotely with access afforded via a web-based video conferencing and/or telephonic conference program selected by the Secured Party, details of which will be provided to interested and qualified parties in advance of the Sale Date.

The public sale of the Collateral shall be subject to the further terms and conditions set forth in the Terms of Public Sale (including without limitation terms and conditions with respect to the availability of additional information, bidding requirements, deposit amounts, bidding procedures, and the consummation of the public sale), which are available online at <https://rimarketplace.com/listing/129494/multifamily/ocoee/fl> and by contacting: Newmark, 1420 Spring Hill Road, McLean, Virginia 22102, Attn: John Howley (703-918-0246/john.howley@nmnr.com) and John Daniels (312-224-3260/john.daniels@nmnr.com).

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Notice to Publishers of InMoBi Pte. Ltd.
Internal Reorganisation of InMoBi Pte. Ltd. and its subsidiaries

This notice is applicable to all publishers of InMoBi Pte. Ltd.

InMoBi Pte. Ltd. and its subsidiaries are undergoing an internal reorganisation. As part of the internal reorganisation, all of InMoBi Pte. Ltd.'s rights, interests, obligations and liabilities under its agreement(s) with you (the "Agreement") are assigned and novated to InMoBi Technology Services Pte. Ltd., and InMoBi Technology Services Pte. Ltd. will replace InMoBi Pte. Ltd. as the contractual counterparty under the Agreement.

From 31 March 2026 (the "Effective Date"), (a) InMoBi Technology Services Pte. Ltd. shall assume and perform all rights, responsibilities, obligations and liabilities of InMoBi Pte. Ltd. under the Agreement, (b) all references in the Agreement to "InMoBi Pte. Ltd." shall be deemed to refer to "InMoBi Technology Services Pte. Ltd." for the avoidance of doubt, all commercial terms, service delivery arrangements, and operational processes under the Agreement will remain unchanged, save for the substitution of the contracting entity described above.

In connection with the internal reorganisation and as part of our routine review and reconciliation of historical accounts, we are undertaking an exercise to verify whether there are any outstanding payments to be made to you under the Agreement.

Actions Required

If you have not already done so, please log into the publisher dashboard and click "I accept" to confirm your acknowledgement and acceptance to the transfer of the Agreement to InMoBi Technology Services Pte. Ltd. and to indicate your continued usage of the Marketing Platform and our services. Alternatively, please email us at contracts-assignment@inmobl.com with your full name and publisher ID, or other relevant account details, to indicate your acknowledgement.

Given our past business relationship, we would appreciate it if you could review your records and let us know whether you believe there are any outstanding payments. If your records indicate any such outstanding payment(s), please raise an invoice to be addressed to InMoBi Technology Services Pte. Ltd., together with any relevant supporting details or documentation, for our review by 22 September 2026. To facilitate our review of your payment claim, please include, where applicable:

- Legal entity name;
- Publisher ID or other relevant account details;
- Copies of any outstanding invoices or supporting documentation; and
- Any other information relevant to your claim.

Please send all correspondence to contracts-assignment@inmobl.com.

For the avoidance of doubt, all invoices issued on or after 31 March 2026 are to be addressed to, and will be settled by, InMoBi Technology Services Pte. Ltd. Pursuant to the internal reorganisation, InMoBi Technology Services Pte. Ltd. shall be responsible for the payment of all outstanding amounts (if any) and all future amounts payable under any invoices, including those raised to InMoBi Pte. Ltd.

Contact Us

We appreciate your assistance and cooperation. Should you require any clarification or further information, please reach out to your InMoBi account representative, or contact us at contracts-assignment@inmobl.com. We value our relationship and look forward to continuing our partnership.

Issued jointly by,
InMoBi Pte. Ltd. (Company Registration No. 2008114086) and
InMoBi Technology Services Pte. Ltd. (Company Registration No. 202518102M)

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	Open	High	Low	Settle	Chg	Open interest
Dec	110-030	110-130	109-120	109-220	-11.0	2,397,980
Treasury Bonds (CBT) \$100,000; pts 32nds of 100%						
Sept	109-020	109-110	108-180	108-240	-12.0	19,416
Dec	108-210	108-280	108-010	108-080	-12.0	1,786,167
Treasury Notes (CBT) \$100,000; pts 32nds of 100%						
Sept	107-315	107-315	107-200	107-200	-9.0	63,394
Dec	107-230	107-235	107-115	107-120	-9.0	5,180,609
5 Yr. Treasury Notes (CBT) \$100,000; pts 32nds of 100%						
Sept	105-267	105-270	105-202	105-205	-6.2	120,943
Dec	105-235	105-235	105-155	105-157	-6.7	6,274,904
2 Yr. Treasury Notes (CBT) \$200,000; pts 32nds of 100%						
Sept	102-249	102-249	102-215	102-220	-2.5	79,786
Dec	102-201	102-201	102-164	102-169	-2.9	4,258,533
30 Day Federal Funds (CBT) \$5,000,000; 100 - daily avg.						
Sept	96.2925	96.2950	96.2900	96.2925	-.0025	242,670
Dec	96.2000	96.2000	96.1900	96.1950	-.0050	616,610
Three-Month SOFR (CME) \$1,000,000; 100 - daily avg.						
Sept	96.3525	96.3550	96.3525	96.3525	-.0025	1,343,413
Dec	95.9150	95.9250	95.8850	95.8900	-.0250	1,736,388

Currency Futures						
Japanese Yen (CME) ¥150,000,000; 5 per 100¢						
Sept	6266	6271	6246	6249	-.0015	339,710
Dec	6311	6315	6291	6293	-.0016	70,552
Canadian Dollar (CME) CAD 100,000; 5 per CAD						
Sept	7222	7228	7195	7202	-.0020	209,926
Dec	7222	7227	7222	7234	-.0019	25,950
British Pound (CME) £62,500; 5 per £						
Sept	1.3551	1.3559	1.3506	1.3513	-.0036	285,255
Dec	1.3547	1.3560	1.3508	1.3515	-.0037	27,149
Swiss Franc (CME) CHF 125,000; 5 per CHF						
Sept	1.2388	1.2395	1.2324	1.2336	-.0055	105,198
Dec	1.2516	1.2521	1.2454	1.2464	-.0055	11,994

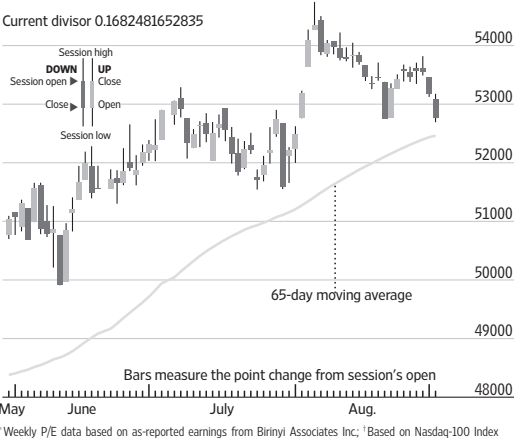
MARKETS DIGEST

EQUITIES

Dow Jones Industrial Average

52766.88 ▼419.02, or 0.79%
High, low, open and close for each trading day of the past three months.

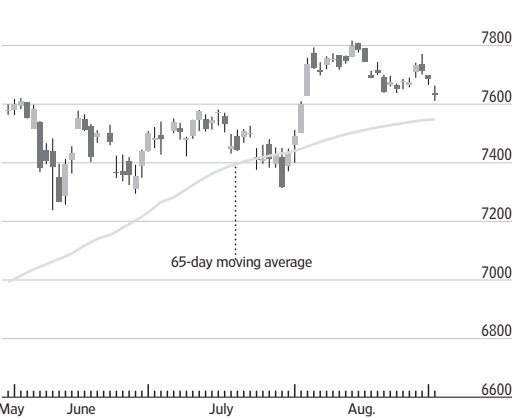
Trailing P/E ratio	21.48	24.84
P/E estimate *	20.36	21.75
Dividend yield	1.44	1.64
All-time high	54349.12, 08/05/26	



S&P 500 Index

7631.47 ▼54.67, or 0.71%
High, low, open and close for each trading day of the past three months.

Trailing P/E ratio *	24.50	25.15
P/E estimate *	21.12	23.99
Dividend yield *	1.07	1.21
All-time high	7798.99, 08/13/26	



Nasdaq Composite Index

26099.77 ▼ 271.11, or 1.03%
High, low, open and close for each trading day of the past three months.

Trailing P/E ratio **	34.37	32.97
P/E estimate **	24.17	29.25
Dividend yield **	0.54	0.68
All-time high:	27093.90, 06/02/26	



Major U.S. Stock-Market Indexes

	High	Low	Latest Close	Net chg	% chg
Dow Jones					
Industrial Average	53176.60	52691.31	52766.88	-419.02	-0.79 █
Transportation Avg	21268.45	20662.79	20767.36	-534.65	-2.51 █
Utility Average	1072.68	1060.64	1072.51	9.35	0.88 █
Total Stock Market	75747.45	75219.87	75414.17	-601.13	-0.79 █
Barron's 400	1635.58	1620.33	1622.29	-18.05	-1.10 █

Nasdaq Stock Market					
Nasdaq Composite	26260.68	25995.53	26099.77	-271.11	-1.03 █
Nasdaq-100	29267.42	28953.26	29077.22	-379.75	-1.29 █

S&P					
500 Index	7663.63	7611.20	7631.47	-54.67	-0.71 █
MidCap 400	3753.91	3714.52	3720.79	-39.45	-1.05 █
SmallCap 600	1752.53	1732.57	1734.65	-21.05	-1.20 █

Other Indexes					
Russell 2000	2943.43	2916.84	2920.13	-36.32	-1.23 █
NYSE Composite	24526.70	24316.61	24349.28	-112.67	-0.46 █
Value Line	681.54	672.57	673.19	-8.350	-1.23 █
NYSE Arca Biotech	9356.59	9266.48	9326.35	22.55	0.24 █
NYSE Arca Pharma	1284.15	1252.73	1267.99	15.26	1.22 █
KBW Bank	186.80	183.48	183.86	-1.56	-0.84 █
PHLX ^S Gold/Silver	405.91	391.31	391.81	-15.83	-3.88 █
PHLX ^S Oil Service	107.69	106.28	106.53	-0.17	-0.16 █
PHLX ^S Semiconductor	11389.62	11172.90	11288.61	-246.44	-2.14 █
Cboe Volatility	16.80	14.95	16.34	1.42	9.52 █

^SNasdaq PHLX

Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of \$2 and minimum after-hours volume of 50,000 shares.

Most-active issues in late trading

Company	Symbol	Volume (000)	Last	Net chg	After Hours % chg	High	Low
SS SPDR Ptf S&P 500	SPYM	17,500.9	89.75	0.10	0.11	89.77	89.62
Blue Owl Capital	OWL	17,047.8	11.67	-0.01	-0.09	11.91	11.55
NVIDIA	NVDA	10,056.9	217.56	0.12	0.06	224.90	208.23
Sunbelt Rentals Holdings	SUNB	9,610.3	67.99	0.92	1.37	68.50	66.38
Ericsson ADR	ERIC	7,572.2	10.07	0.01	0.10	10.20	10.01
VICI Properties	VICI	6,416.6	25.54	...	unch.	25.67	25.53
State Street SPDR S&P 500	SPY	5,926.8	761.84	0.06	0.01	762.17	716.81
Ford Motor	F	5,259.5	13.82	-0.02	-0.14	13.85	13.80

Percentage gainers...

GitLab CIA	GTLB	3,004.7	52.07	6.98	15.49	55.00	42.12
GrShr 2x Long DELL Daily	DLLL	2,636.7	24.59	3.06	14.21	26.43	21.18
Dell Technologies CI C	DELL	4,710.1	454.50	29.50	6.94	473.00	420.00
Perrigo	PRGO	1,490.4	14.99	0.56	3.88	14.99	14.43
Hewlett Packard Ent	HPE	1,817.0	52.84	1.97	3.87	54.10	50.60

...And losers

MongoDB	MDB	889.2	376.00	-58.21	-13.41	487.73	367.61
Credo Tech Group	CRDO	1,857.2	188.28	-18.35	-8.88	207.80	186.30
System1	SST	52.9	2.70	-0.14	-4.90	2.85	2.60
Diraxion PANW Bull 2X	PALU	101.5	52.37	-1.85	-3.42	60.75	51.00
Cenovus Energy	CVE	525.2	32.11	-1.02	-3.09	33.30	32.11

Trading Diary

Volume, Advancers, Decliners

	NYSE	NYSE Amer.
Total volume	1,165,283,595	18,535,420
Adv. volume	440,494,532	2,079,428
Decl. volume	712,284,919	16,307,606
Issues traded	2,839	296
Advances	834	86
Declines	1,931	202
Unchanged	74	8
New highs	48	1
New lows	181	16
Closing Arms ¹	0.72	1.24
Block trades ²	3,931	194

	Nasdaq	NYSE Arca
Total volume	6,750,669,242	316,732,954
Adv. volume	2,066,415,164	87,766,720
Decl. volume	4,652,680,830	227,524,655
Issues traded	5,079	2,702
Advances	1,305	435
Declines	3,600	2,247
Unchanged	174	20
New highs	66	61
New lows	317	248
Closing Arms ¹	0.82	0.49
Block trades ²	38,774	1,373

¹ Primary market NYSE, NYSE American, NYSE Arca only.
² (TRIN) A comparison of the number of advancing and declining issues with the volume of shares rising and falling. An Arms of less than 1 indicates buying demand; above 1 indicates selling pressure.

Percentage Gainers...

Company	Symbol	Close	Net chg	Latest Session % chg	High	52-Week Low	% chg
Sono Group	SSM	4.76	2.08	77.43	27.73	2.35	-13.5
bioAffinity Technologies	BIAF	6.59	2.03	44.52	202.50	4.56	-94.0
Rising Dragon Acquisition	RDAC	6.45	1.89	41.45	23.99	4.50	-37.7
Swnl Holdings	SWVL	3.83	0.92	31.62	4.01	1.30	9.7
Fervo Energy	FRVO	19.75	4.37	28.41	42.65	14.60	...
System1	SST	2.84	0.60	26.79	9.30	1.35	-60.1
Defiance Tgt 2x Lg MRNA	MRNX	95.11	15.61	19.64	143.84	14.95	...
Greenwave Tech Soins	GWAV	5.85	0.95	19.39	24.00	2.39	-14.0
Reading Intl B	RDIB	17.70	2.60	17.22	24.00	8.00	40.5
Corvex	MOVE	12.81	1.86	16.99	26.72	3.44	62.6
Defiance Tgt 2X Shrt BMNR	BMNZ	6.69	0.94	16.35	47.99	5.18	...
Pyxis Tankers	PXS	6.23	0.87	16.23	6.44	2.56	123.3
Palatin Technologies	PTN	11.54	1.55	15.52	31.00	5.61	13.0
Focus Universal	FCUV	11.35	1.50	15.23	210.00	1.79	-85.2
Leverage 2X Lg DUOL Dly	DUOG	67.00	8.33	14.20	159.80	25.15	...

Volume Movers

Ranked by change from 65-day average*

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	% chg	52-Week High	Low
Vendome Acquisition I	VNME	445	4539	10.28	0.10	10.29	9.89
Oyster Ents II Acqn	OYSE	280	2416	10.40	0.25	10.40	10.02
Power REIT	PW	355	2133	7.42	...	14.10	5.00
Alumis	ALMS	28,299	2092	9.47	-56.58	31.35	3.76
Pyxis Tankers	PXS	1,078	2017	6.23	16.23	6.44	2.56
iSh Long-Term Natl Muni	LMUB	4,138	1883	48.69	-0.74	53.52	48.00
Black Spade Acqn III	BIII	1,140	1550	10.06	...	10.24	9.83
RF Acquisition III	RFAM	105	1534	9.96	-0.05	10.00	9.77
Jackson Acqn II CIA	JACS	357	1533	10.75	0.09	10.75	10.33
Distillate US Fund Stbl	DSTL	1,134	1512	69.32	-0.46	70.27	56.08

* Common stocks priced at \$2 a share or more with an average volume over 65 trading days of at least 5,000 shares. †Has traded fewer than 65 days

International Stock Indexes

Region/Country	Index	Close	Net chg	Latest % chg	YTD % chg
World	MSCI ACWI	1142.73	-6.49	-0.56 █	12.6
	MSCI ACWI ex-USA	483.71	-1.13	-0.23 █	14.9
	MSCI World	4932.94	-34.98	-0.70 █	11.3
	MSCI Emerging Markets	1727.35	8.04	0.47 █	23.0
Americas	MSCI AC Americas	2889.40	-22.123	-0.76 █	11.4
Canada	S&P/TSX Comp	35825.73	-444.75	-1.23 █	13.0
Latin Amer.	MSCI EM Latin America	3079.10	26.44	0.87 █	13.6
Brazil	Bovespa	179722.48	2303.70	1.30 █	11.5
Chile	S&P IPSA	5715.39	17.44	0.31 █	5.4
Mexico	S&P/BMV IPC	64514.25	-916.07	-1.40 █	0.3
EMEA	STOXX Europe 600	647.46	-3.64	-0.56 █	9.3
Eurozone	Euro STOXX	670.29	-5.21	-0.77 █	9.5
Belgium	Bel-20	5830.29	-3.99	-0.07 █	14.8
Denmark	OMX Copenhagen 20	1619.67	-6.68	-0.41 █	0.7
France	CAC 40	8301.85	-32.65	-0.39 █	1.9
Germany	DAX	25970.11	-288.00	-1.10 █	6.0
Israel	Tel Aviv	4147.81	9.23	0.22 █	14.2
Italy	FTSE MIB	51915.18	-697.51	-1.33 █	15.5
Netherlands	AEX	1101.92	-3.85	-0.35 █	15.8
Norway	Oslo Bors All-Share	2514.33	-2.49	-0.10 █	29.5
South Africa	FTSE/JSE All-Share	115855.50	-401.76	-0.35 █	0.02
Spain	IBEX 35	19824.00	-150.10	-0.75 █	14.5
Sweden	OMX Stockholm	1133.40	-12.61	-1.10 █	8.4
Switzerland	Swiss Market	14334.79	48.36	0.34 █	8.0
Turkey	BIST 100	14229.01	-105.05	-0.73 █	26.4
U.K.	FTSE 100	10789.28	-34.98	-0.32 █	8.6
U.K.	FTSE 250	24521.29	-417.50	-1.67 █	9.1

Asia-Pacific	MSCI AC Asia Pacific	279.05	0.86	0.31 █	22.6
Australia	S&P/ASX 200	9066.70	-9.26	-0.10 █	4.0
China	Shanghai Composite	3979.89	-6.41	-0.16 █	0.3
Hong Kong	Hang Seng	25329.73	-237.26	-0.93 █	-1.2
India	BSE Sensex	76944.28	-12.99	-0.02 █	-9.7
Japan	NIKKEI 225	66215.34	-96.59	-0.15 █	31.5
Singapore	Straits Times	5710.37	-44.99	-0.78 █	22.9
South Korea	KOSPI	6835.80	15.78	0.23 █	62.2
Taiwan	TAIEX	46948.72	820.25	1.78 █	62.1
Thailand	SET	1588.68	-6.48	-0.41 █	26.1

Sources: FactSet; Dow Jones Market Data

Percentage Losers

Company	Symbol	Latest Session			52-Week		
		Close	Net chg	% chg	High	Low	% chg
Alumis	ALMS	9.47	-12.34	-56.58	31.35	3.76	104.1
Picard Medical	PMI	3.86	-4.60	-54.37	684.00	2.65	-98.3
MindForge	MF	15.97	-5.72	-26.37	83.50	2.12	-75.1
Lianhe Sowell Intl	LHSW	2.88	-1.01	-25.96	47.52	1.12	-92.1
Digital Brands Group	DBGI	4.89	-1.52	-23.65	720.00	4.50	-98.7
Cango	CANG	1.84	-0.55	-23.01	55.50	1.36	-96.1
Antelope Enterprise	AEHL	5.00	-1.49	-22.96	808.39	2.98	-98.5
One & One Green Techs	YDDL	1.83	-0.45	-19.74	16.23	1.61	...
Advada Holdings	ADBT	3.68	-0.86	-18.94	13.20	3.61	...
22nd Century Group	XXII	2.61	-0.59	-18.44	646.50	2.51	-99.5
Nocera	NCRA	2.31	-0.52	-18.37	72.00	1.30	-94.9
Conexeu Sciences	CNXU	5.87	-1.31	-18.19	18.79	5.86	...
TryHard Holdings	THH	1.75	-0.38	-17.84	550.50	1.34	-96.8
BrenX	BRNX	3.52	-0.76	-17.76	124.20	2.06	-99.2
AIOS Tech	AIOS	12.82	-2.73	-17.56	91.40	6.54	-83.3

MARKETS

Fervo Sets Google Geothermal-Power Deal

Company, which counts Bill Gates as a backer, went public in a buzzy IPO in May

By JENNIFER HILLER

Geothermal company **Fervo Energy** has signed a deal to sell power to **Alphabet's** Google from a Utah project that it plans to turn into the world's largest enhanced geothermal facility.

The agreement for nearly 400 megawatts of electricity is enough to power a midsize city and would be Fervo's largest power deal yet. Fervo plans to begin selling power to Google in 2028 from its Cape Station project in southwest-ern Utah.

Houston-based Fervo uses technology pioneered by oil-and-gas drillers to frack rocks, create geothermal reservoirs and crank out electricity. The company is spending more than \$2 billion at Cape Station and expects to start delivering power to the grid later this



Fervo taps technology used by oil-and-gas drillers to frack rocks and create geothermal reservoirs.

year for the first phase of the project. Google intends to buy the

power for a data center in Utah—though it has yet to determine the location. The com-

pany still needs to work with local communities and go through state and local regula-

tory approvals before it can move forward with the plans.

“Even though right now we don’t have clarity yet on how this will serve a data center...we know that it will be a foundational building block of power generation for a data center presence in Utah,” said Lucia Tian, Google’s director of advanced energy technologies. Google has an option to expand the agreement by about 600 megawatts by June 2030. The tech company has been working with Fervo for about five years, starting with a small 3-megawatt pilot project that began operating in 2023 in Nevada. Later, Fervo, Google and utility NV Energy joined together on a 115-megawatt deal in Nevada.

Fervo now has about 1,000 megawatts contracted; other customers include **Shell** and utility Southern California Edison.

When it went public in May, Fervo raised more than \$2 billion, and last year Fervo privately raised \$462 million from a group of investors including Google and Bill Gates’s

Breakthrough Energy Ven-

tures. “This is us taking that \$2.2 billion of proceeds from the IPO and turning it into rapid commercial growth, which is the whole point,” said Tim Latimer, Fervo’s chief executive and co-founder.

The Fervo-Google deal shows how tech companies are trying to lock down electricity supplies even as they work out the details of projects.

The need to build artificial-intelligence data centers has created a huge surge in electricity demand in the U.S. Meeting it is easier said than done because of equipment backlogs for transmission infrastructure and the complex engineering studies needed to understand grid impacts. Waits to connect to the grid can extend well into the 2030s.

Clean electricity that is available round-the-clock, such as geothermal, is considered especially valuable. Google is also working with companies developing nuclear power and long-duration storage, among other technologies.

Donald Trump Jr. Fund Lifts Polymarket Backing

The investment fund 1789 Capital, in which Donald Trump Jr. is a partner, is investing around \$300 million in Polymarket, according to a person familiar with the matter.

By Neil Mehta, Dana Mattioli and Caitlin Ostroff

The investment is part of a \$1 billion round led by 1789 that would value Polymarket at \$21 billion, according to people familiar with the matter.

Polymarket declined to comment.

The investment will make 1789 one of Polymarket’s largest backers. **Intercontinental Exchange**, Polymarket’s largest investor, disclosed in July that its \$1.6 billion stake in Polymarket amounted to 22% of the company’s shares outstanding.

Polymarket, along with rival Kalshi, has attracted controversy for permitting users to place bets on sports, which some regulators have criticized as gambling. Both platforms have listed markets that have led to charges of insider trad-

ing. Both also see more traders losing money than winning, The Journal previously reported.

1789 had previously invested a total of around \$200 million in Polymarket, according to a person familiar with the investments. 1789 made its first investment in Polymarket before the 2024 election. That year, Polymarket CEO Shayne Coplan was seen at a table with Trump Jr. and Omeed Malik, founder of 1789 Capital, at the Republican National Convention.

After his father won the presidential election, Donald Trump Jr. joined 1789 as a partner and the firm invested in Polymarket again.

The venture-capital firm’s success has attracted scrutiny from House Democrats. Last week, Rep. Jamie Raskin (D., Md.) wrote to 1789’s leadership demanding a list of the firm’s investments, communications with the government and information about its decision to hire Trump Jr.

1789’s counsel denied any allegations of conflicts of interest as “unsubstantiated talking points.”

Shein’s Debut Is Subdued

Continued from page B1

Shein’s ambitions to list in New York and London, forcing it to settle for a third choice closer to home.

Like TikTok and Huawei, Shein became a poster child for businesses trapped in the U.S.-China superpower conflict. Now, even as it goes public, Shein leaves a question largely unanswered: What is next? “I don’t see any strong narrative of how they would grow,” said Jianggan Li, head of Singapore-based Momentum Works, an advisory firm that tracks Shein. “They talk about the things they’ve done, but for the future, I don’t see anything that’s concrete.”

In its prospectus, the company said it would use the \$1.7 billion in IPO proceeds mostly to improve its technological capabilities, including by hiring 1,500 to 2,000 new employees, and on marketing.

The company was co-founded in 2008 by Sky Xu,



The company plans to hire 1,500 to 2,000 new employees.

the son of Chinese factory workers.

It spent years selling wedding gowns under the name Sheinside, before shortening the moniker in 2015 as it expanded to everyday fashion.

What made the company revolutionary was its hyper-efficient supply chain: a flexible network of 7,500 factories, many of them small Chinese ones, that could churn out new styles in days instead of weeks.

Orders are cranked out in small batches of 100 to 200 pieces. If real-time data show high interest in certain items, Shein orders more.

With this strategy, its IPO prospectus said, the company

keeps its unsold inventory percentage in the low single digits, a fraction of industry average.

Beyond the factories, Shein’s other edge was a trade exemption. By shipping orders directly from Chinese warehouses to American doorsteps, it avoided U.S. tariffs using what was called the de minimis provision, which allowed duty-free imports on packages of \$800 or less.

By 2023, Shein was America’s top fast-fashion retailer by market share and filed to go public in New York.

Then, U.S. lawmakers called the de minimis exemption a loophole that hurt domestic

manufacturers and retailers, paving the way for the end of the exemption last year.

Politicians also pressed the company over supply-chain connections to Xinjiang, the cotton-rich Chinese region where the U.S. says Chinese authorities have pressed ethnic minorities into forced labor. Beijing denies the allegations.

Shein pivoted, filing to go public in London. There, it ran into similar pushback from British lawmakers concerned about how Shein tracked its supply chain.

The company has said it has a zero-tolerance policy against forced labor and doesn’t permit sourcing from Xinjiang. It didn’t address the issue directly in its IPO prospectus.

Europe soon added its own pressure. France began fining ultrafast fashion retailers for selling products at prices far below the cost of repairing them, while the European Union in July began imposing a flat 3-euro fee, about \$3.50, on low-value e-commerce imports.

Watch a Video



Scan this code for a video on why Shein’s IPO ended up in Hong Kong.

Stock Spotlight

Nestlé

Shares slipped slightly after it said it will sell its mainstream vitamins, supplements and minerals business for \$1 billion to private-equity firm Yellow Wood Partners.

Medtronic

The medical-device maker raised its outlook after posting higher fiscal first-quarter profit and sales. Shares closed up 1.6%.

MediaTek

The Taiwanese chip maker's shares rose about 10% on news that Nvidia would invest \$3.5 billion and collaborate on local AI computing and AI-powered

vehicles.

Partners Group

Shares fell more than 7%

WEDNESDAY'S EVENTS:

◆ Economic data: ADP national employment report (August), July durable-goods and factory orders, Federal Reserve Beige Book, EIA weekly petroleum status report

◆ Bank of Canada interest rate announcement

Today in Markets History

On this day in 1974, President Gerald R. Ford signed into law the Employee Retirement Income Security Act, which regulated employee benefits, defined “fi-

duciary duty” for pension-fund managers, created a limited Individual Retirement Account, and opened the door to the creation of 401(k) plans in 1981.

after the private-equity firm posted a drop in performance fees and appointed two new co-CEOs.

EARNINGS EXPECTED:

Broadcom

Hewlett Packard

Enterprise

Snowflake

Five Below

Brown-Forman

Ollie's Bargain Outlet

How often stocks finished higher in a month

80%
70
60
50
40

Jan. March May July Sept. Nov.

Legend: Russell 2000, S&P 500, DJIA, Nasdaq composite

Note: Based on data back to 1897 (DJIA), 1928 (S&P 500), 1971 (Nasdaq), 1987 (Russell 2000) Source: Dow Jones Market Data

centage of any month for the blue-chip average. The story is similar for the S&P 500, which has finished September higher 45% of the time. The Nasdaq composite and the small-stock focused Russell 2000 don't do great in September either.

—Shradha Dinesh

UBS Gets Win In Capital Battle

UBS could get to issue cheaper bonds instead of equity to help meet tougher Swiss capital requirements. That's after a committee of lawmakers backed a plan that would allow half the new capital requirement to come in bond form.

Filippo Alloatti, head of financials for credit at Federal Hermes, said the 50-50

split was a victory for UBS, although the plans need to pass parliamentary votes. "This is not a done deal," he said.

Switzerland is overhauling bank-capital rules for its biggest lenders after UBS had to rescue Credit Suisse in 2023.

Swiss lawmakers told UBS it will have to hold far more capital than at present under its new banking package, to better cover the risk of a crash at one of its large subsidiaries in the U.S. and U.K. bringing down the group.

UBS resisted the planned capital increase, saying it isn't needed. Its executives argued that Credit Suisse's demise wasn't a question of capital, but of a failed business model and weak governance.

—Margot Patrick

Mutual Funds

Top 250 mutual-funds listings for Nasdaq-published share classes by net assets.										500kIndPrem265.58 -1.88 12.3										Fidelity Invest										StratAdEmrMrt NA ... NA										LSGrowthY 33.22 -0.45 ...										StratAdIntFnd NA ... NA										SmCapAdm1141.73 -1.57 15.5										ExtndInstPI 445.55 -6.42 14.5																			
e-X-distribution, F-Previous day's quotation, g-Footnotes x and s apply, J-Footnotes e and s apply, K-Recalculated by LSEG, using updated data, P-Distribution costs apply, 12b-1-Redemption charge may apply, s-Stock split or dividend, T-Footnotes p and r apply, v-Footnotes x and e apply, x-X-dividend, z-Footnote x, e and s apply, NA-Not available due to incomplete price, performance or cost data, NE-Not released by LSEG; data under review, NN-Fund not tracked, NS-Fund didn't exist at start of period.										ContraFund Kc 37.19 -0.28 9.3										BlucBal 35.28 -0.20 10.7										First Eagle Funds										Northern Funds										StratAdMunBond NA ... NA										SmGthAdm1121.15 -1.96 14.1										IdkInst 27.85 -0.19 15.5																			
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HEARD ON THE STREET

FINANCIAL ANALYSIS & COMMENTARY

Jersey Mike's Needs to Win Over Gen Z

The chain's affluent, older base gives it an edge, but to grow it also needs young customers

Affluent older Americans might be the best customers in U.S. dining. They have savings, are relatively insulated from economic swings and, most valuable to a restaurant chain, prefer the familiar to the trendy.

Jersey Mike's Subs, which recently went public after a Blackstone takeover, spent decades cultivating exactly that customer. Now, valued at roughly \$7.5 billion and aiming to grow from about 3,300 stores to 15,000 worldwide, the sandwich chain has to prove its formula can work with a younger generation that is less well-off. That won't be easy, and the stock already assumes much of it goes right.

By pairing freshly sliced deli meats with a tightly run franchise network and a TV-heavy advertising strategy, the New Jersey-born chain has built a formidable growth machine.

It has notched 20 straight years of same-store sales gains, pushing systemwide sales to \$4.3 billion in 2025. The impressive growth has transformed it into the No. 2 sub chain in America, behind Subway. Crucially, it has something most casual-dining chains covet: pricing power. It can charge roughly \$15 to \$20 for a sub, drink and chips by catering to the upper half of a K-shaped economy.

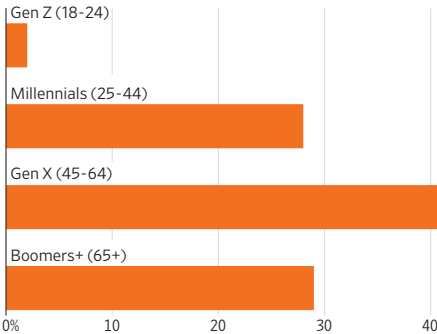
But past consistency won't be enough. Jersey Mike's trades at an enterprise value of about 20 times projected earnings before interest, taxes, depreciation and amortization—a premium to franchised peers like **Wingstop** and **McDonald's**, which go for about 15. Jersey Mike's carries roughly \$1.8 billion in net debt, some of it used to fund distributions to Blackstone pre-initial public offering. Its premium makes some sense given that the chain is a rare growth story in the restaurant business.

But to further rise from these levels over the long term, Jersey Mike's has to pull off a rare feat in the franchise business: adding thousands of stores without letting the freshness and quality slip. It also has to start winning over Gen Z in an era of fickle wellness trends and viral food crazes. That is a lot to ask of a chain whose most loyal customer is old enough



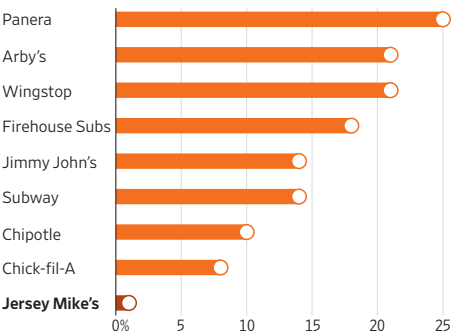
The sandwich chain, which recently went public, aims to grow from about 3,300 stores to 15,000 worldwide.

Percentage of Jersey Mike's customer base by age group, 2025



Sources: BofA Global Research, the company (customer base); Jersey Mike's prospectus (social media spending)

Social media spending as a percentage of total marketing, 2025



to find Danny DeVito a reason to buy a sandwich.

The demographic numbers are stark. Roughly 70% of Jersey Mike's customers are Gen Xers or boomers, while Gen Z accounts for just 2%, according to Wall Street analyst reports citing company figures. It is also an unusually affluent crowd for fast casual: More than 60% of patrons earn more

than \$80,000, and only 14% make under \$40,000.

Part of the draw is old-school deli theater. Employees bake bread fresh every morning and slice hefty portions of meat and cheese to order before finishing them "Mike's Way," with onions, lettuce, tomatoes, red wine vinegar, oil and spices.

Sitting at the top of the K is a comfortable place to be.

But to keep taking share from a shrinking Subway, Jersey Mike's has to reach more price-conscious diners. It has dabbled in value with its \$10.99 "Boardwalk Bundle," while also using limited-time offerings such as its popular chicken salad to broaden its appeal. But the balance is delicate: Lean too hard on discounts and Jersey Mike's risks following Sub-

way's path, eroding the premium positioning that makes its model work in the first place.

Jersey Mike's might already have the right product for the TikTok era. A foot-long sub is a carb bomb, but it has saving graces: lots of protein and the appearance of fresh ingredients sliced to order. Its subs have gone viral before. Nick Jonas, for instance, posted his own off-menu turkey and provolone creation on TikTok, inspiring other viral posts. This won't pass as health food, but it can pass as fresh. Properly marketed, it is the kind of splurge a Gen Zer might happily make.

Getting more of them to try it is the challenge. Historically, Jersey Mike's leaned on broad television audiences and sponsorships—like its NFL partnership with Eli Manning as brand ambassador—while devoting little of its marketing budget to social media. It spent about 1% in 2025, versus 10% to 25% at many scaled peers, according to its IPO filing.

Reaching Gen Z means shifting toward more segmented channels like Instagram and TikTok, a move the company says it is now making. Keeping more people coming back with a savvy digital strategy is where the sustainable growth lies. Jersey Mike's already has much of the machinery: more than 12.5 million active loyalty members, an ordering app and digital sales exceeding 40% of the total.

The company says loyalty members visit about three times as often as other customers, so the opportunity is turning casual diners into regulars, leaning on personalized offers rather than blasting the same message to everyone.

It is a familiar playbook for management: Chief Executive Charlie Morrison previously ran Wingstop, where a data-driven digital approach helped fuel the chain's growth. He was brought in by Blackstone in 2025 to modernize Jersey Mike's with a similar playbook.

In an era that prizes freshness, Jersey Mike's is the ascendant sub power, with room to run.

At this price, though, investors will need it to do the hardest thing in the business: keep the momentum going after the easy growth is gone.

—David Wainer

The Gas-Station Chain That Is Eating Domino's Lunch

With the Iran war dragging on, consumer sentiment weak and periodic jitters around AI stocks, a defensive consumer stock might be just what investors are craving.

Look no further than **Casey's General Stores**.

The rural-leaning, pizza-selling convenience-store giant is eating Domino's lunch and scooping up rival chains. It is the fifth-largest pizza chain in the U.S.

After gaining 36% year to date, Casey's shares trade at about 34 times forward earnings. This places it among the most richly valued retailers in the S&P 500 alongside Costco, which fetches 42 times. That may seem pricey, but Casey's has some unique moats.

Cheap pizza is one. Casey's large pie costs \$13.99, which is some 22% below comparable pizza

offerings, according to a report from William Blair.

Domino's, Papa Johns and Pizza Hut's pizzas are all priced closer to \$20, for example.

Casey's cheaper offering is speaking to inflation-weary consumers. The company's same-store sales growth of prepared food and dispensed beverages has exceeded those of Domino's U.S. in 18 out of the past 20 quarters, according to data from Wells Fargo.

How is it able to sell on the cheap?

Casey's sells more stuff under one roof—including groceries, fuel and tobacco. So it distributes labor and fixed costs across more revenue. Stores are all owned and operated by Casey's, not franchised, which means no royalty or franchise fees.

Plus, surging labor and input costs have left mom-and-pop convenience stores with no choice but to raise fuel prices to compensate. That in turn helps larger chains like Casey's improve their fuel margins, too, giving them some room to keep pizza prices ultra competitive, notes Phillip Blee, equity analyst at William Blair.

Casey's booming pizza business and acquisitions have helped the company's earnings before interest, taxes, depreciation and amortization expand at a compound annual growth rate of 16% over the last three fiscal years. Mighty **Costco's** Ebitda has grown at a more moderate 9.3% rate over an equivalent period. Casey's has also been a good steward of capital with returns on invested capital close to 10% or higher over the

last seven fiscal years.

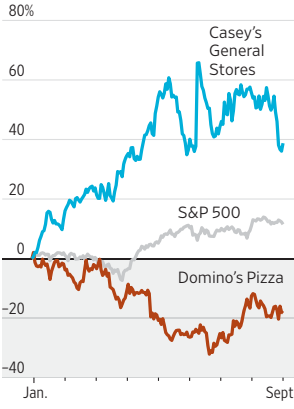
Casey's has scale in an otherwise fragmented convenience-store industry. About 63% of all convenience stores are owned by an entity that has 10 or fewer stores, according to NACS, a trade association. That gives the company plenty of room to keep growing through acquisitions.

New menu items are another potential driver. It is just starting to roll out a wings business that it expects to reach all its stores over the next two years. About half of Casey's stores don't have a national pizza or wing chain competitor within 5 miles, the company said at its investor day earlier this year.

Casey's still has plenty of gas left in its tank.

—Jinjo Lee

Share-price and index performance, year to date



Source: FactSet

Oil Prices Push Global Bond Market Closer to the Edge

Treasury Secretary Scott Bessent has a lot of plates spinning at the moment. Even as he hosts the G-20, he is busy defending his attempts to manage the yen-dollar exchange rate, long-term Treasury yields and a renewed trade war with Canada.

Crucially though, it is the jump in oil prices that is suddenly making that juggling act harder.

Long-term bonds issued by the world's major industrialized nations are slumping. On Tuesday, yields on German, U.K. and Japanese 10-year government bonds hit their highest levels since 2011, 2008 and 1996 respectively. In U.S. trading, the 10-year Treasury yield was up around 0.04 percentage point, hovering at levels rarely seen since the financial crisis.

It is tempting to blame it all on fiscal irresponsibility—and some

related trigger like Tokyo's latest budget plan. But the worldwide nature of the selloff points to a global factor like oil prices, not something country-specific.

The truth is that years of fiscal stimulus and military spending, following the twin crises of Covid and Russia's invasion of Ukraine, have left major industrialized nations in a weakened fiscal position. And those accumulated deficits were effectively the dry timber that the Iran war now threatens to set ablaze.

What was the immediate cause of the latest leg down in bond prices? Clearly it was the renewed hostilities between the U.S. and

Iran, which have sent Brent crude oil prices up nearly 6% in two days. That global energy benchmark is now up 56% since the start of the year.

This creates policy headaches everywhere. In Europe for instance, data out Tuesday showed eurozone inflation accelerated to 3.3% in August from 2.9% in July. Higher oil prices only exacerbate that trend.

Inflation worries are pressing authorities in Japan, too. In a meeting with Japan's central-bank governor and finance minister at the meeting of the Group of 20 advanced and developing economies, Bessent apparently told them that "Japan

needs to make clear to the market that it is moving toward higher interest rates and fiscal sustainability," according to Japanese broadcaster NHK.

They could have fairly said the same to him about the U.S., of course. But when asked about the Federal Reserve's next move in an interview with CNBC, Bessent commented that central banks don't traditionally raise rates in response to supply shocks absent "second or third-order effects."

In fact, and to his credit, Federal Reserve Chairman Kevin Warsh pointed to signs of some such effects in his speech at Jackson Hole last week. Within the basket of goods that make up the Fed's favored inflation measure, 54% of goods prices are up more than 3% from a year earlier, he noted.

That is well above a historical average of around 32%. Though Warsh didn't say so explicitly, this looks like an indication that higher energy prices are seeping into broader inflation pressures.

As for third-order impacts, at this point the blow to global bond markets from higher inflation fears must already be counted as one such ripple effect.

Central bankers can help shore up confidence through responsible tightening. Fiscal consolidation would help, too, though it is much less likely in the foreseeable future.

Until the situation in the Persian Gulf is stabilized, however, those efforts might only help at the margins. And the risk will keep rising that Bessent's spinning plates come crashing down.

—Aaron Back*

Inflation worries are pressing authorities in Japan, too.